# Overvalued Geographic Familiarity in International Asset Management

Kevin Zheyuan Cui* Yinan Qiu†

October 25, 2026

**Abstract**

International equity funds increasingly hire foreign-educated managers. Within funds over time and across similar funds, greater foreign-educated representation is associated with lower factor-adjusted net returns. Outside the countries where current managers studied, foreign-educated teams' stock selection is weaker in markets bordering or more socially connected to those countries, where familiarity should help. We connect this investment pattern to how funds select and evaluate managers. Funds are more likely to hire managers educated in a country after their holdings there underperform. Yet foreign-educated recruits arrive with weaker prior team records than U.S.-educated recruits, even in their potential country specialty. After appointment, their retention is less sensitive to deteriorating fund performance than that of U.S.-educated colleagues. High-conviction local stocks earn high alphas, but their contribution at funds' actual portfolio weights is small. Funds appear to credit geographic familiarity more broadly than demonstrated investment performance warrants.

**Keywords:** Manager selection; local expertise; familiarity; manager education; international mutual funds; stock selection.
**JEL Codes:** G11, G15, G23, G41, J24.

*Department of Economics, Princeton University.
†Guanghua School of Management, Peking University.

# 1 Introduction

International equity funds allocate capital across countries by choosing both investments and the people who make them. Manager choice is especially consequential in this setting: information barriers make foreign firms and institutions harder to assess (French and Poterba, 1991; Kang and Stulz, 1997; Brennan and Cao, 1997; Van Nieuwerburgh and Veldkamp, 2009). Hiring managers educated abroad is a natural response, as their knowledge of local companies, languages and business practices can provide a home-field advantage (Coval and Moskowitz, 2001; Jagannathan et al., 2022). Their responsibilities, however, typically span many countries beyond their education or home country. The central challenge is therefore to distinguish expertise in a particular market from investment ability across an international portfolio. Noisy returns and shared team decisions make individual skill hard to observe (Fama and French, 2010; Chevalier and Ellison, 1999a). Funds consequently rely partly on observable backgrounds, which can signal local expertise but may be credited too broadly. We ask how far geographic familiarity improves investment decisions, and whether funds distinguish its local value from broader investment ability when recruiting and evaluating managers.

We find that greater foreign-educated representation accompanies lower factor-adjusted net returns. A central portfolio pattern appears outside the countries where current managers studied: foreign-educated teams' stock selection is weaker in markets bordering or more socially connected to those countries. Familiarity accompanies weaker selection precisely where it would be expected to help. Within education countries, selected high-conviction stocks earn high alphas, but their contribution at funds' actual portfolio weights is small. We connect these investment outcomes to how funds select and evaluate managers. Funds seek managers educated in a country after their holdings there underperform, yet foreign-educated recruits arrive with weaker prior team records than U.S.-educated recruits, even in the countries where their schooling supplies a potential specialty. After appointment, their retention is less sensitive to deteriorating fund performance than that of U.S.-educated

colleagues. Together, the findings suggest that funds credit geographic familiarity more broadly than demonstrated investment performance warrants.

We study 1,663 U.S. actively managed international equity funds over 2000–2024, linking managers' education and dated fund assignments to portfolio holdings and returns. Foreign-educated managers have at least one recorded degree outside the United States; the U.S.-educated comparison group has recorded degrees only in the United States. The funds operate within a common U.S. asset-management market but invest across many foreign countries, with a median of 19 per fund. This setting lets us assess the geographic scope of investment performance through country allocation, stock selection, and overall fund returns, alongside recruits' prior team records and the sensitivity of subsequent departures and new assignments to fund performance.

We begin with overall fund performance. We compare each fund with itself as its team changes over time, and with funds that share its benchmark in the same month. After adjusting for market and style exposures, a change from an entirely U.S.-educated to an entirely foreign-educated team is associated with net returns about 70 basis points a year lower. The gap is nearly identical in gross returns, so fees do not explain the shortfall. Holding foreign-educated representation and education-country composition constant, subsequent fund performance is also worse when managers' education countries have greater benchmark relevance before appointment. This challenges the simple explanation that their knowledge is useful but poorly matched to the fund's investment mandate.

We next examine stock selection outside the countries where current managers studied. To measure stock picking, we compare the returns funds earn on their investments in the same country and quarter, adjusted for stock characteristics. This comparison asks whether familiarity is associated with better choices in the markets where information could plausibly extend beyond the country of study. If studying in a country also conveys knowledge of nearby or closely connected markets, foreign-educated teams should pick stocks better in markets close to their education countries, where their background would be expected to

add the most value. We measure closeness in three ways: a shared border; a common official language; and social connectedness based on Facebook friendship links (Bailey et al., 2018). We find the opposite. Foreign-educated teams select stocks 184 basis points a year worse in markets bordering an education country than in other outside markets, and their selection declines as social connectedness to an education country rises. U.S.-educated teams show no such disadvantage in markets close to the United States. By all three measures, closeness is significantly less favorable for foreign-educated teams than for U.S.-educated teams; for a shared border, the difference is 484 basis points a year. The negative border and social-connectedness slopes locate the adverse selection within foreign-educated teams themselves; the comparison with U.S.-educated teams shows that relatedness does not carry the same disadvantage for both groups. This pattern is consistent with familiarity bias (Huberman, 2001; Pool et al., 2012).

We then turn to the countries where managers studied. Relative to their benchmarks, funds put about 1.1 percentage points more weight in a country when one of their current managers studied there, and this overweight rises when the team gains a manager educated there and falls when it loses the last one. Managers' educational geography thus shapes where funds invest. Using the same stock-picking measure as above, however, foreign-educated teams show no clear average advantage over U.S.-educated teams within their education countries: the estimated difference is 0.2 basis points a year and statistically insignificant. The strongest evidence of a local advantage comes from high-conviction positions. The positions that funds overweight most heavily within an education country earn a 4.0% annual alpha, 3.6 percentage points more than other positions in the same countries and 3.9 points more than similarly overweighted positions outside education countries, with every portfolio reweighted to the same country mix. At the country weights funds actually choose, however, the alpha of these positions falls close to zero, and they make up only 3.6% of funds' observed equity holdings, so their contribution to portfolio alpha is small and statistically insignificant. These local gains identify a productive use of familiarity. They can coexist with weaker

selection in related outside markets and lower factor-adjusted fund returns: the question is how broadly the background adds value, not whether it ever does.

To understand the demand for geographic familiarity, we first ask when funds hire managers educated in a particular country. Both weaker country-market returns and weaker performance of the fund's own holdings there predict a linked appointment. Relative to comparable funds that do not hire, these appointments are followed by better local stock selection, without a statistically clear improvement outside education countries or in overall NAV returns. The local gain also fades. Following the same appointments and comparison funds for two years, the estimated local improvement is 195 annualized basis points in the first year and near zero in the second; the 205-basis-point decline is significant at 5%. The local response provides an investment rationale for seeking country expertise, while locating its benefit in a particular market and period. We next ask whether funds distinguish that specific value from broader investment ability through the records accepted at recruitment and the role of performance in later careers.

We next compare records across the broader set of experienced appointees, using the stock selection of the teams they served on during the four quarters before appointment. Including both education and other non-U.S. countries, the prior teams of foreign-educated recruits selected stocks 86 basis points a year less successfully than those of U.S.-educated recruits hired by the same fund, controlling for previous-fund benchmarks, school rankings, and other observed qualifications. Outside-country checks also yield negative gaps when performance is measured relative to funds sharing the same benchmark, country, and quarter, and when comparing recruits hired in the same round. Nor do they bring stronger fundraising records: their previous funds attracted weaker flows, and funds employing more foreign-educated managers show no clear gain in subsequent flows or fees. Thus, foreign-educated recruits arrive with weaker investment records and without a stronger fundraising record.

A demonstrated-specialist explanation for accepting a weaker general record would predict stronger prior performance in the market where a recruit's knowledge is needed. We test

this prediction in countries the hiring fund already holds but where none of its continuing managers studied. In the countries needing coverage, the prior teams of recruits educated there selected stocks 274 basis points a year worse than those of U.S.-educated recruits hired by the same fund, measured in the same country and conditional on prior overall fund performance. Thus, the weaker general records are accompanied by weaker observed specialty records. These records concern recruits' previous teams; the local improvement after hiring concerns the destination fund. A hiring fund can improve relative to comparable non-hiring funds while accepting a recruit with a weaker prior record than other recruits.

Finally, we examine how careers respond to performance after appointment. If funds give the qualification more weight and realized performance less, foreign-educated managers should receive relative protection after poor returns and smaller relative rewards after good returns. We find these paired responses among colleagues on the same fund. A ten-percentage-point deterioration in benchmark-relative quarterly returns widens the foreign-minus-U.S. retention difference by 1.45 percentage points. A ten-point improvement lowers their relative probability of receiving a new fund assignment by 1.07 points. Both patterns persist after controlling for the performance of the managers' education-country holdings, so observed local performance does not account for their relative career responses.

Together, the results distinguish the demand for local knowledge from the investment ability credited to it. Country losses predict linked hiring, and first-year local gains show why such knowledge can be useful. Those gains fade in the following year and do not establish a broader portfolio benefit. But the records accepted at entry are weaker, including in the potential specialty, and later career outcomes respond as if less weight were placed on realized performance. Combined with adverse selection in familiar outside markets, these findings suggest that funds credit geographic familiarity more broadly than demonstrated investment performance warrants. This interpretation resembles the "kernel of truth" in stereotypes described by Bordalo et al. (2016): a characteristic with a real advantage in a limited domain is treated as evidence of broad ability.

The paper contributes to research on the scope of investment information. Geographic, educational and offshore connections can improve investment decisions (Coval and Moskowitz, 2001; Cohen et al., 2008; Baik et al., 2010; Bai et al., 2022), while familiarity and perceived competence can affect portfolios without a corresponding advantage (Heath and Tversky, 1991; Huberman, 2001; Grinblatt and Keloharju, 2001; Graham et al., 2009; Pool et al., 2012). Relatedness also shapes international allocations (Schumacher, 2018; Kuchler et al., 2022). We connect these questions by showing where familiarity accompanies worse stock selection, where selected local investments benefit, and how funds select and evaluate the managers with that background. The concentration of value complements evidence on industry specialization, active share and best ideas (Kacperczyk et al., 2005; Cremers and Petajisto, 2009; Antón et al., 2021).

The personnel evidence contributes to research on manager selection and evaluation. Education and background predict fund outcomes (Chevalier and Ellison, 1999a; Gottesman and Morey, 2006; Chuprinin and Sosyura, 2018), and performance matters for replacement and reassignment (Khorana, 1996; Chevalier and Ellison, 1999b; Fang et al., 2014). Qualifications provide signals of productivity (Spence, 1973; Phelps, 1972; Aigner and Cain, 1977); subsequent outcomes allow employers to update those assessments (Farber and Gibbons, 1996; Altonji and Pierret, 2001), although fund returns are noisy (Fama and French, 2010). We bring these margins together by studying accepted general and country-specific records, later career responses and the geographic scope of investment performance. The result complements work on professionals' beliefs (Linnainmaa et al., 2021) by examining personnel and portfolio outcomes surrounding a particular qualification.

Our closest comparison is Jagannathan et al. (2022), who document a home-field investment advantage in international mutual funds. We ask whether funds credit that background beyond the markets where it helps, by connecting performance across the whole portfolio to how funds recruit and evaluate the managers who have it.

Section 2 develops the empirical questions, and Section 3 describes the data, summary statistics and the prevalence of foreign-educated managers. Section 4 proceeds from fund NAV to familiarity in outside countries, education-country allocation and education-country returns. Section 5 examines country-linked hiring and its local payoff, accepted recruitment records, and later career responses. Section 6 concludes.

# 2 Institutional Setting and Empirical Framework

## 2.1 Institutional setting

International equity funds give U.S. investors access to equity markets abroad. Morningstar classifies a fund in this group when foreign holdings account for at least 40% of its equity portfolio on average over the preceding three years. In a typical sample quarter, about 760 active funds operate, with mean assets of $1.6 billion. Most have global or global-ex-U.S. benchmarks; others follow emerging-market, regional or single-country mandates. The median fund holds roughly 80 stocks in 19 countries, compared with more than 5,000 stocks in about 50 countries in the Morningstar Global ex-US index. This setting lets us distinguish the allocation across countries from the selection of stocks within each country, while observing the overall return investors receive.

Investment decisions are delegated to small teams. The average fund has 3.1 managers with mean tenure of 5.6 years, and managers often serve on several funds simultaneously. Returns and holdings are observed for the team even when research responsibilities are divided among its members. We therefore use team education in the performance tests and the records of a recruit's previous teams in the appointment tests. Individual spells identify later departures and assignments. We use education countries to locate each manager's potential specialty.

The adviser or sub-adviser selects the managers assigned to a fund. Appointees may come from another firm, from the same family or from outside the recorded fund-management pop-

ulation. Experienced recruits bring observable fund-team records alongside the educational qualifications in their biographies. These records allow us to compare the performance accompanying appointments; subsequent spells show how colleagues' careers vary with shared fund performance. The two comparisons capture entry and later evaluation within the same organizational setting.

## 2.2 Competing explanations and empirical implications

Foreign education can provide knowledge of institutions, business practices and local companies, or make further information gathering less costly (Coval and Moskowitz, 2001; Jagannathan et al., 2022). The question is how far that advantage extends. A country specialist can be useful without possessing superior investment ability across a fund's international mandate.

The overvaluation hypothesis concerns the extension of familiarity beyond its productive scope. Managers may treat connections to nearby or socially related markets as useful information even when those connections accompany weaker stock selection. Fund families may treat a country specialty as evidence of broader investment ability when selecting and evaluating managers. We refer to this extension as overgeneralization, following Bordalo et al. (2016). Rational specialization offers a competing explanation for weaker general records: the family may value a sufficiently useful country specialty or a commercial benefit. The empirical tests therefore examine broad performance, recruits' demonstrated specialist and fundraising records, and the role of local performance in career evaluation.

The first set of tests concerns investment performance. If foreign education signals broad investment ability, funds with more foreign-educated managers should earn higher factor-adjusted NAV returns, which include any gains in education countries. We then examine where familiarity should be useful. If information extends to nearby or socially connected markets, foreign-educated teams should select stocks better there. If familiarity is overgeneralized, those ties may instead accompany weaker selection. We compare these gradients

with those of U.S.-educated teams. In education countries themselves, we examine capital allocation and the returns on both ordinary and high-conviction positions, allowing useful local stock choices to coexist with unfavorable outcomes elsewhere. A supplementary NAV test asks whether greater benchmark relevance before appointment makes the performance relation more favorable. Together, these tests distinguish the geographic scope of investment value from the overall fund return.

The second set concerns recruitment. We first examine whether country-specific investment problems predict linked appointments and whether the targeted country subsequently improves relative to comparable non-hiring funds. These tests assess the demand for local expertise and its subsequent payoff. We then use the broader set of experienced appointees to examine the demonstrated records that funds accept. If familiarity substitutes for demonstrated performance in recruitment, foreign-educated appointees can enter with weaker general records. Two observable sources of compensating value are a stronger demonstrated country specialty and a stronger fundraising record. We therefore compare accepted recruits' general investment and fundraising records, and then their prior selection in the countries where the hiring fund lacks an incumbent schooling link. The first comparison establishes the accepted-record difference and addresses the commercial alternative; the second asks whether superior observed specialist performance explains the difference.

The third set examines how funds respond to performance after appointment. Suppose a family's assessment combines a qualification-based view of a manager with the evidence in realized returns. Placing more weight on the former and less on common fund returns predicts weaker career responses in both directions: greater relative retention as returns worsen and smaller relative gains in new assignments as returns improve. Common fund returns may also rationally receive less weight if they reveal less about a specialist's work. We therefore compare colleagues exposed to the same fund return and add performance in the observed local specialty. If local performance accounts for the different responses,

conditioning on it should attenuate them. This connects the record accepted at entry to the performance used in later evaluation.

# 3 Data and Measures

## 3.1 Funds, holdings and returns

Our sample consists of U.S. actively managed international equity funds in Morningstar over 2000–2024, including funds that later liquidated or merged.[1] For each fund we observe quarterly stock holdings, the holdings of its assigned benchmark, monthly net returns and assets in U.S. dollars, reported gross returns, and annual expenses and turnover. Security returns and market capitalizations come from Datastream. We assign each company to the country of its primary business activity rather than its listing, which aligns country weights with economic exposure (Demirci et al., 2022).[2]

## 3.2 Manager education

Morningstar biographies list each manager's post-secondary institutions, and dated fund spells identify the managers serving together at each quarter-end, as well as appointments and departures. We map institutions to countries by hand and exclude professional certificates and executive programs.[3] A manager is foreign-educated if at least one recorded degree is from outside the United States and U.S.-educated if all recorded degrees are from the United States. Education is known for 85.5% of manager-quarters in the NAV sample.

[1] The extraction sets U.S. Category Group to International Equity, Oldest Share Class to Yes and Index Fund to No, without restricting the sample to surviving funds. Each fund is identified by the ISIN of its oldest share class, whose returns we use; identifiers that share a Morningstar fund identifier form one economic fund, the unit of clustering.

[2] Where total-return series are unavailable, returns are constructed from prices and dividends. Missing returns are excluded rather than set to zero.

[3] A manager with degrees from several countries is linked to each. Conflicting profiles are coded as unknown education. Education is reconstructed from collected profiles; it is not an archive of the biography visible to an employer at the appointment date.

Our main variable, $\text{ForeignShare}_{jq}$, is the fraction of fund $j$'s managers at quarter-end $q$ who are foreign-educated, among those with known education. The fraction with unknown education, $\text{UnknownShare}_{jq}$, enters separately.[4] Coefficients compare an entirely foreign-educated team with an entirely U.S.-educated team; a ten-percentage-point change is one tenth as large. The measure captures where managers studied, not their nationality or the diversity of the team (cf. Lu et al., 2024). Appointment and career tests use the individual indicator $\mathbb{1}_i^{\text{Foreign}}$, which equals one if manager $i$ is foreign-educated.

For a given team, education countries are the non-U.S. countries in which at least one current manager studied, and we refer to holdings there as local. All other foreign markets are outside countries. In the country panel, $\mathbb{1}_{jcq}^{\text{Link}} = 1$ if a current manager studied in country $c$. Because a team can include foreign-educated managers without a link to a particular country, $\mathbb{1}^{\text{Link}}$ and ForeignShare capture different things. We measure how closely a market is related to an education country by shared borders and official language from CEPII GeoDist (Mayer and Zignago, 2011) and by the Facebook Social Connectedness Index (Bailey et al., 2018). For U.S.-educated managers, these ties are measured relative to the United States.

Except where noted, the regressions control for five observed team traits, covering gender composition, CFA charters, biography coverage and fund-management experience, to account for differences in team composition and experience.[5]

## 3.3 Performance measures

Our first measure is the fund's net return, which captures the outcome for investors across the entire portfolio, including country allocation, stock selection, cash, trading and costs (Kacperczyk et al., 2008). To compare funds with different mandates and styles, we deduct

[4] For a team with two foreign-educated, one U.S.-educated and one unknown-education manager, the foreign-educated share is 2/3 and the unknown-education share is 1/4.

[5] The traits are the female share among managers with known gender, the CFA share among managers with biographies, the fractions with unknown gender and no biography, and mean log one plus years since the manager's first recorded fund spell. Appointment tests also include indicators for degrees from top-100 and 101–500 institutions in the 2003 Academic Ranking of World Universities, so ranking-controlled appointment comparisons begin in 2004.

the return explained by predetermined exposures to thirteen factors: the five factors and momentum for developed ex-U.S. markets and for emerging markets (Fama and French, 2015), plus the U.S. market. For fund $j$ in month $m$,

$$r^a_{jm} = R^{\text{net}}_{jm} - R^f_m - \hat{\beta}'_{j,m}\mathbf{f}_m. \tag{1}$$

Here $R^{\text{net}}_{jm}$ is the net return, $R^f_m$ the one-month Treasury-bill return, $\mathbf{f}_m$ the factor returns and $\hat{\beta}_{j,m}$ the fund's loadings estimated over the preceding 60 months. Estimating loadings before the evaluated month lets exposures evolve and keeps the evaluated return out of its own loading estimate.[6] We express this factor-adjusted return in annualized basis points, $R^a_{jm} = 12 \times 10^4 r^a_{jm}$.

Our second measure evaluates stock selection within a country. A fund can benefit from a strong national market without picking better companies there; comparing its holdings with similar local stocks separates the choice of stocks from the choice of countries (Brinson and Fachler, 1985; Coval and Moskowitz, 2001). For each country $c$ in which fund $j$ holds stocks at quarter-end $q$, we compare the return on the fund's holdings in that country over the next three months with the return on a matched portfolio of similar local stocks, following characteristic-adjusted performance evaluation (Daniel et al., 1997; Wermers, 2000). Each stock $k$ the fund holds receives a benchmark return. Within the country and quarter, stocks are sorted into terciles by market capitalization at the quarter-end and, within each size tercile, into terciles by their cumulative return over the eleven months before the quarter-end month. The benchmark return $\tilde{r}_{km}$ in month $m$ is the capitalization-weighted return of the other stocks in the same size and past-return group, excluding stock $k$ itself.[7] In each of

[6] Loadings require at least 36 observed returns. Without that history, we use loadings estimated on other funds with the same benchmark over the same window, excluding the focal fund, with broader peer groups where needed; 32,584 of the 206,847 main-sample months use peer loadings. The adjustment deducts only the factor component of the loading regression.

[7] The comparison stocks are all stocks held by sample funds in that country and quarter, and their capitalization weights drift with returns within the quarter. When fewer than five other stocks in the group have a return that month, the benchmark uses the size tercile alone and, failing that, the country's market return; about three quarters of holdings capital receives the full size and past-return match.

the three months $m$ that follow quarter-end $q$, the return on the fund's holdings in country $c$ in excess of these benchmarks is

$$r_{jcm}^{\text{adj}} = \frac{\sum_k \omega_{jkm} \left(r_{km} - \tilde{r}_{km}\right)}{\sum_k \omega_{jkm}}, \tag{2}$$

where $r_{km}$ is stock $k$'s return in month $m$, and $\omega_{jkm}$ is stock $k$'s weight in the fund's portfolio at quarter-end $q$, grown with the stock's returns from the quarter-end through month $m-1$. The sums run over the fund's stocks in country $c$ that have a return in month $m$; stocks with missing returns are dropped rather than set to zero. We refer to the fund's holdings in a country as its country basket. The fund's adjusted country return, $R_{jcq}$, is the average of $r_{jcm}^{\text{adj}}$ over the three months, annualized and expressed in basis points per dollar of the basket. A positive value means that the fund's holdings in country $c$ beat similar local stocks. Holdings and teams observed at quarter-end $q$ are thus paired with returns over the following quarter, and both are updated each quarter. The same measure underlies the prior-record tests in Section 5.

NAV coefficients describe performance per dollar of fund capital; country-return coefficients describe performance per dollar invested in a particular market. The country tests locate geographic stock-selection patterns within the broader NAV comparison. Because the regressions use different comparisons and weights, their coefficients are not components of the NAV coefficient. Appendix Table A19 summarizes the outcomes, units and timing.

## 3.4 Sample and summary statistics

All analyses start from the same 1,663 funds with manager records, an assigned benchmark and valid country weights, and each test uses the observations its outcome requires. The main NAV sample has 206,847 fund-months at 1,418 funds with at least 24 months of eligible return history; including all 1,536 funds with usable returns gives a similar coefficient. The joint country-selection panel has 974,924 fund-country-quarters at 1,428 funds, including

38,806 in education countries; the outside-country panel used in Section 4.2 has 936,076 at 1,423 funds.

Table 1 reports summary statistics. The average fund has $1.6 billion in assets, annual expenses of 1.22% and about three managers. The mean foreign-educated share is 0.35, and about half of fund-quarters have no foreign-educated manager. Among the 2,992 managers with recorded education, 26.9% studied only outside the United States, and the United Kingdom is the most common foreign education country. Figure 1 shows that the fraction of funds with at least one foreign-educated manager rose from 27.8% in 2000Q1 to 49.5% in 2024Q4.[8]

Panel standard errors are clustered by fund, allowing for dependence over time and across a fund's countries (Petersen, 2009; Cameron and Miller, 2015). Unless stated otherwise, fund-months and fund-quarters receive equal weight; precision-weighted estimates are supplementary checks (Solon et al., 2015). Portfolio alphas use monthly time series.[9]

# 4 Investment Performance and Geographic Familiarity

We first establish the fund-level performance association and then examine the geographic pattern of investment choices. NAV captures the return on the entire portfolio, including any local gains. The outside-country tests ask whether familiarity accompanies better stock selection where information might extend beyond the country of study. We then examine education countries themselves: how much capital funds allocate there, how their stock selection compares with U.S.-educated teams, and whether useful information is concentrated in high-conviction positions. This sequence allows familiarity to be valuable locally while assessing its broader investment payoff.

[8]Each fund receives equal weight, and funds with unknown education remain in the denominator; because the figure covers all active sample funds, its shares differ from the NAV-sample statistics in Table 1. Appendix A.1 examines the foreign-educated share of new appointments.

[9]Country-allocation regressions cluster by fund identifier. Portfolio regressions use a monthly risk-free rate converted from the Treasury-bill yield, conventional standard errors for individual alphas and robust Wald tests for differences between alphas.

## 4.1 Fund returns and expenses

The NAV comparison asks whether greater foreign-educated representation accompanies better performance across the entire fund, after accounting for market and style exposures (Carhart, 1997; Fama and French, 2010). The outcome $R^a_{jm}$ is the factor-adjusted net return of Equation (1), in annualized basis points. We follow the same fund as its team changes and compare it with funds sharing its benchmark in the same month:

$$R^a_{jm} = \alpha_j + \lambda_{bm} + \rho \text{ForeignShare}_{j,q-1} + \Gamma' X_{j,q-1} + u_{jm}. \tag{3}$$

Here $q$ is the quarter containing month $m$, so the team at the preceding quarter-end determines ForeignShare for the three months of quarter $q$ and education precedes the evaluated returns. Fund effects $\alpha_j$ account for persistent differences across funds; benchmark-month effects $\lambda_{bm}$, where $b$ is the fund's assigned benchmark, compare funds facing the same mandate and date. The coefficient $\rho$ is the annualized return difference associated with a zero-to-one change in the foreign-educated team share.

Staffing can respond to the fund's recent performance and business conditions. We control for those conditions using prior-year benchmark-relative returns and volatility, preceding-quarter flows and lagged assets. The remaining controls capture team scale and observed qualifications, expenses, turnover and top-ten holdings concentration.[10] Because portfolio operations may themselves reflect earlier staffing decisions, we also report the model without expenses, turnover and concentration. Fund-months receive equal weight, with standard errors clustered by economic fund.

[10] $X$ contains unknown education; log team size and log lagged assets with spline terms; prior-year relative performance and volatility; preceding-quarter flows; prior-year expenses and turnover; prior-quarter top-ten concentration; and the five team traits defined in Section 3. Prior-year returns require nine observed months and use benchmark peers excluding every share class of the focal fund. Volatility is log one plus annualized relative volatility; flows enter directly in percentage points of assets at the beginning of the preceding quarter, with a missing-flow indicator. Expenses are annual basis points, turnover is log one plus the reported percentage divided by 100, and concentration is the observed top-ten equity weight. Missing-value indicators retain unavailable controls.

Funds earn lower factor-adjusted net returns when a larger share of their managers is foreign-educated. Table 2, column 1, estimates −69.5 annual basis points for the full zero-to-one difference in the team share, with a standard error of 35.4. At the sample mean share of 0.35, the fitted difference from an otherwise comparable zero-share observation is approximately 24 basis points a year. For scale, the full-share coefficient exceeds half the sample's average annual expense ratio of 1.22%. The sample and operating-control comparisons in Table 2 and Appendix Table A7 give estimates between −66 and −70 basis points. Weighting funds by the precision of their returns gives −70 with $p = 0.002$. These comparisons show a similar economic magnitude when supported observations or their relative weights change; the equally weighted model remains the primary estimate. Because NAV includes education-country investments, the estimate already incorporates any local gains.

To ask whether the shortfall arises before or after expenses, we replace net NAV with reported gross NAV in Equation (3), keeping exposures, observations, controls, effects and weights fixed. On 205,773 common fund-months, both coefficients are approximately −71 annual basis points (Table 3). Their paired difference, $\rho_{\text{gross}} - \rho_{\text{net}}$, is −0.47 basis points, with a 95% interval of $[-2.45, 1.51]$. This interval is narrow relative to the return gap, and the comparison without operating controls gives the same conclusion: the shortfall arises in gross returns, not in the expenses deducted from them.

Could weaker fund performance reflect a poor match between managers' country knowledge and the fund's mandate? A supplementary test asks whether the NAV association is more favorable when their education countries matter more to the benchmark. For each manager, we measure those countries' combined benchmark weight over the four quarters before appointment, using all recorded degree levels, and hold it fixed throughout the spell. We average these measures over the current team and add the resulting relevance measure to Equation (3), retaining foreign-educated share, the original sample, controls and fixed ef-

fects. Appendix Table A6 reports this comparison with and without controls for the team's education-country composition.[11]

Holding both foreign-educated representation and education-country composition constant, greater relevance predicts lower subsequent factor-adjusted NAV returns. The coefficient is −688.3 annual basis points per unit of team relevance (standard error 244.6), significant at 1%. For a fully foreign-educated team with measured relevance, an increase from the lower to upper quartile of benchmark exposure to education countries, 0.6% to 11.1%, implies 72.3 basis points lower annual returns; at a fixed foreign share of one-half, it implies 36.1 basis points. This comparison asks whether familiarity performs better when it is more relevant to the mandate, rather than estimating another loss to add to the main NAV coefficient. The adverse gradient challenges poor matching as a simple explanation and motivates the later tests of what demonstrated performance funds accept in exchange for the background.

Additional specifications examine portfolio controls, staffing timing and performance beyond the initial appointment period (Appendices B.3, B.4 and B.5). Team composition four quarters ahead adds little: its coefficient is −3 basis points (standard error 37), and the current-share coefficient stays near −72. The shortfall is also present for managers beyond their first two years at the fund (−81 basis points, standard error 38). The holdings tests next examine whether the fund-return shortfall is accompanied by unfavorable stock selection where familiarity should help. They compare investments within the same country and quarter, starting outside managers' education countries.

## 4.2 Stock selection and familiarity outside education countries

We now examine a central implication of the familiarity interpretation: how stock selection varies with ties to education countries, outside the countries of study themselves.[12] If

[11] Appendix B.1 defines the team denominator, country shares and unknown-relevance control. Historical country weights come from the fund's recorded benchmark rather than a dated mandate history.

[12] Appendix B.6 shows how the foreign-versus-U.S. comparison in these countries changes over the sample period.

information acquired in one country extends to nearby or closely connected markets, foreign-educated teams should select stocks better in those markets. If familiarity instead creates confidence beyond the reach of useful information, selection can be worse. We compare these patterns for foreign- and U.S.-educated teams, using only countries where no current manager studied. The test therefore asks where familiarity helps or hurts, rather than only whether one education group performs better on average.

We measure how closely a market is tied to where a manager studied in three ways, each in a separate regression: a shared border; a common official language; and the log of Facebook social connectedness from the October 2021 snapshot. For foreign-educated managers, the tie is measured between the market and the manager's non-U.S. education countries, using the closest tie when there are several. For U.S.-educated managers, it is measured between the market and the United States. Both groups therefore face the same question: is stock selection better in markets close to where the manager studied?

Ties are defined for managers, but returns are observed for the team, so we average the ties over the team. Let $z_{ic}$ measure how closely market $c$ is tied to where manager $i$ studied: a zero–one indicator for border and language ties, or log social connectedness. For fund $j$ at quarter-end $q$, with $N_{jq}$ managers of known education, we form two team averages:

$$\text{Tie}_{jcq} = \frac{1}{N_{jq}} \sum_i z_{ic}, \qquad \text{ForeignTie}_{jcq} = \frac{1}{N_{jq}} \sum_i \mathbb{1}_i^{\text{Foreign}} z_{ic},$$

where both sums run over the team's managers with known education and $\mathbb{1}_i^{\text{Foreign}}$ equals one if manager $i$ is foreign-educated. Tie averages every manager's tie; ForeignTie averages the same ties but counts U.S.-educated managers as zero. For example, consider a team with one manager educated in Germany and one educated only in the United States. For its holdings in Austria, which borders Germany but not the United States, Tie = ForeignTie = 1/2. For its holdings in Canada, which borders the United States but not Germany, Tie = 1/2 and ForeignTie = 0. ForeignTie is therefore an average of manager-level interactions, not the

product of the team's foreign share and its average tie. For each tie measure, we regress the fund's adjusted country return in the market, $R_{jcq}$, on these team averages:

$$\begin{aligned} R_{jcq} = \alpha_{jc} + \lambda_{cq} + \gamma \text{ForeignShare}_{jq} + \delta \text{Tie}_{jcq} \\ + \theta \text{ForeignTie}_{jcq} + \Gamma' X_{jcq} + \varepsilon_{jcq}. \end{aligned} \tag{4}$$

Each coefficient has a direct interpretation. Raising a U.S.-educated manager's tie raises only Tie, so $\delta$ is the U.S.-educated slope: how selection in a market changes with its closeness to the United States. Raising a foreign-educated manager's tie raises both Tie and ForeignTie, so $\delta + \theta$ is the foreign-educated slope: how selection changes with closeness to the manager's education countries. The focal coefficient $\theta$ is the difference between the two slopes; it is negative if closeness is associated with less favorable selection for foreign-educated managers than for U.S.-educated managers. Finally, $\gamma$ is the foreign-versus-U.S. difference in markets with no tie to either group's education.[13] For the border and language measures, a unit change compares an entirely tied team with an entirely untied team; for social connectedness, slopes are per log point.

Fund-country effects $\alpha_{jc}$ compare the same fund in the same market over time, and country-quarter effects $\lambda_{cq}$ remove returns common to all funds investing in that market in that quarter. Because each manager's tie to a market is fixed, the slopes are identified from changes in a team's composition within a fund and market, measured relative to other funds investing in the same market that quarter. The sample contains only markets outside the team's current education countries. Controls $X$ contain $\text{MissingShare}_{jcq}$, log country stock count, log team size, unknown-education share and the five team traits.[14] Countries receive equal weight within each fund-quarter, and standard errors are clustered by fund.

[13] For social connectedness, $\gamma$ refers to zero log connectedness, outside the observed range, so we interpret only the slopes in that model.

[14] Unavailable pair measures contribute zero to the tie averages, and $\text{MissingShare}_{jcq}$ records the share of managers whose tie cannot be classified: U.S.-educated managers with unclassified geographic ties in the border and language models, and foreign-educated managers with a missing social-connectedness pair in the social model.

Table 4, column 1, reports the border results. For foreign-educated managers, the slope $\delta + \theta$ is $-184$ basis points (standard error 67, significant at 1%): their teams select stocks worse in markets bordering an education country than in other outside markets.[15] For U.S.-educated managers, the slope $\delta$ is $+300$ basis points (standard error 135, significant at 5%): their teams select stocks better in markets bordering the United States. Only Canada and Mexico border the United States, whereas the foreign-education tie varies across many country pairs. The difference, $\theta = -484$ basis points (standard error 158), is significant at 1%: the same border tie is associated with selection 4.84 percentage points a year less favorable for an entirely foreign-educated team than for an entirely U.S.-educated team. These are returns per dollar of the country basket, not differences in whole-fund NAV.

The other two measures also yield a negative difference between the groups' slopes. With social connectedness (column 3), the foreign-educated slope is $-43$ basis points per log point (standard error 17, significant at 5%), and the difference from U.S.-educated managers is $\theta = -110$ basis points per log point (standard error 42, significant at 1%); for a one-standard-deviation increase in log connectedness, this difference amounts to 117 basis points a year. With a common official language (column 2), the difference is $\theta = -231$ basis points (standard error 67, significant at 1%). Most of it comes from U.S.-educated teams, whose selection is 155 basis points better in markets that share an official language with the United States (standard error 75, significant at 5%); the foreign-educated slope of $-75$ basis points is negative but not significant. Each measure enters a separate regression, so the estimates do not depend on conditioning one correlated tie measure on another.

The adverse familiarity gradients also appear without the size and past-return adjustment. With raw country returns, which still compare funds holding the same country in the same quarter, the differences $\theta$ are $-346$ basis points for a shared border, $-195$ for a common official language and $-81$ per log point of social connectedness, significant at 5%, 1% and 5%, and the foreign-educated slopes remain negative (Appendix B.7). The familiarity

[15] Standard errors of $\delta + \theta$ use the joint covariance of the two coefficients from the same regression.

pattern is therefore present in observed holdings returns as well as characteristic-adjusted returns.

The central finding is an adverse familiarity gradient outside education countries. Foreign-educated teams themselves select stocks worse in bordering and more socially connected markets, and all three measures yield less favorable gradients than for U.S.-educated teams. The border and social results thus show more than an absence of a broad return advantage: selection is weaker in the markets where familiarity would be expected to help. This is the portfolio evidence for familiarity bias. We next examine the education countries themselves to establish whether direct local knowledge has a different payoff, beginning with capital allocation and then returns.

## 4.3 Allocation to education countries

We next examine managers' education countries, beginning with whether funds put more capital in a country when one of their managers studied there. Because a large national market receives a large weight mechanically, we measure each country's weight relative to the fund's assigned benchmark. For fund $j$, country $c$ and month $m$, we estimate

$$\text{Overweight}_{jcm} = \alpha_j + \lambda_{cm} + \psi \mathbb{1}^{\text{Link}}_{jcm} + \Gamma' X_{jm} + e_{jcm}. \tag{5}$$

Here $c$ ranges over non-U.S. countries, $\text{Overweight}_{jcm}$ is the percentage of the fund's portfolio invested in country $c$ minus that country's weight in the fund's assigned benchmark, in percentage points, and $\mathbb{1}^{\text{Link}}_{jcm}$ equals one if a current manager studied in $c$. The coefficient $\psi$ measures how much more a fund overweights a country when one of its current managers studied there. A second specification replaces the indicator with $\text{LinkedShare}_{jcm}$, the fraction of the fund's current managers, including those with unknown education, who studied there, so that $\psi$ compares an entirely linked team with an unlinked one. Country-month effects remove what all funds do in a country in a given month. We first include fund effects $\alpha_j$ and

then replace them with fund-month effects $\alpha_{jm}$; the latter compare countries within the same portfolio in the same month, so $\psi$ then measures how a fund distributes its capital between linked and unlinked countries. Controls $X$ contain the five team traits and are absorbed by fund-month effects.[16] The return comparisons that follow evaluate the investment value of this allocation.

Both measures show an active education-country tilt (Table 5). The indicator coefficients are 1.11 percentage points with fund effects and 1.09 with fund-month effects. The linked-share coefficients are 2.63 and 2.59, all significant at 1%. The latter compare a team with no linked manager with an entirely linked team; a ten-percentage-point increase in linked-manager share corresponds to about 0.26 percentage points more country overweight. The similar within-fund-month results locate the tilt in how funds distribute capital across destinations. This establishes an education-related allocation tilt; the return tests assess whether it accompanies an investment advantage.

Figure 2 traces the overweight around changes in the team. An event is the arrival of the first manager educated in country $c$, or the departure of the last such manager. With $\text{Overweight}_{jcq} = w_{jcq} - w^b_{jcq}$, where $w_{jcq}$ and $w^b_{jcq}$ are the fund's and its benchmark's percentage weights in country $c$ at quarter-end $q$, we estimate separately for arrivals and departures

$$\text{Overweight}_{jcq} = \alpha_{jc} + \lambda_{cq} + \mu_{jq} + \sum_{\ell \neq -1} \psi_\ell \, \mathbb{1}\{q - q^*_{jc} = \ell\} + e_{jcq}. \tag{6}$$

Here $q^*_{jc}$ is the quarter of the event for fund $j$ and country $c$, so $\mathbb{1}\{q - q^*_{jc} = \ell\}$ equals one $\ell$ quarters after the event, for $\ell$ from $-6$ to 12, and each $\psi_\ell$ measures the change in the country's overweight relative to the quarter before the event, $\ell = -1$, which is omitted. Fund-

[16] The equally weighted panel starts with all 1,663 funds and contains approximately 5.6 million fund-country-months from January 1999 to December 2024; because these tests use only holdings and benchmark weights, not subsequent returns, they also include the 1999 holdings that precede the return sample; the fund-month models retain 1,661 funds after singleton fixed-effect groups are dropped. A missing-trait indicator retains teams without biographies, and the team record assigned to each month defines $\mathbb{1}^{\text{Link}}$ and $X$. Errors are clustered by fund identifier.

country effects remove the fund's usual weight in that country, country-quarter effects remove changes common to all funds investing there, and fund-quarter effects remove changes in the fund's overall portfolio.[17] Weights rise about 0.5–0.7 percentage points after arrivals and fall 0.2–0.55 after departures, without a clear movement beforehand. Educational geography is therefore reflected in capital deployment as teams change. The next comparison asks whether stock selection in these education countries produces a return advantage over U.S.-educated teams.

## 4.4 Stock selection in education countries

Funds allocate more capital to managers' education countries. Table 6 asks whether they also select stocks better there, on average, than U.S.-educated teams investing in the same markets. This comparison evaluates the entire country basket before we examine high-conviction positions separately. We use the same adjusted country return, $R_{jcq}$, as in the outside-country tests, now in a joint panel of education and outside countries:

$$R_{jcq} = \alpha_{jc} + \lambda_{cq} + \beta \mathbb{1}_{jcq}^{\text{Link}} + \gamma \text{ForeignShare}_{jq} + \Gamma' X_{jcq} + \varepsilon_{jcq}. \tag{7}$$

Here $\mathbb{1}_{jcq}^{\text{Link}}$ equals one if a current manager studied in country $c$, and $\text{ForeignShare}_{jq}$ is the team's foreign-educated share. Two coefficients describe distinct comparisons. The coefficient $\gamma$ is the difference between an entirely foreign-educated team and an entirely U.S.-educated team in markets where no current manager studied. The coefficient $\beta$ is the additional difference when a current manager studied in the market. The comparison of interest, a fully foreign-educated team investing in its education country versus a U.S.-educated team investing in the same country, is therefore $\beta + \gamma$. As before, fund-country effects compare the same fund in the same market over time, and country-quarter effects compare funds investing in the same market and quarter, so $\beta$ is identified when a link to a

[17] The 977 arrivals and 793 departures use up to twelve-quarter windows, a six-quarter clean pre-period, no overlapping events and truncation if the link reverses. The panels retain fund-identifier clustering.

market begins or ends within a fund. Controls $X$ contain log country stock count, log team size, unknown-education share and the five team traits. Countries have equal weight within a fund-quarter, and standard errors are clustered by fund.

The joint panel contains 974,924 fund-country-quarters at 1,428 funds, including 38,806 in education countries; links begin or end in 1,037 fund-country pairs at 525 funds.[18]

The comparison to focus on is the sum of the two focal coefficients, not the education-country link alone. In column 1 of Table 6, the outside-country coefficient is −46.31 and the local increment is 46.52, giving a linked-country comparison of +0.21 annualized basket basis points (standard error 56.61). The joint model therefore shows no clear average advantage over U.S.-educated teams in education countries. The precision-weighted comparison in column 2 is similar (+5.57 basis points, standard error 51.39). This is an average comparison across country holdings, distinct from whether a fund improves after a targeted appointment, which we examine in Section 5.1.

We next ask whether local information is concentrated in managers' largest active positions, and how those positions contribute under actual fund allocations.

## 4.5 The concentrated local value of geographic expertise

An average country basket can conceal information concentrated in a few companies. We therefore compare the positions managers overweight most with their ordinary holdings, first under a common country mix and then at actual capital weights. The first comparison evaluates selected stocks under benchmark country weights; the second measures their contribution to the pooled covered equity portfolio at actual weights.

[18]The identifiers represent 1,429 oldest share classes. Formation quarters run from 1999Q4 through 2024Q3, with payoffs from January 2000 through December 2024. Country weights are renormalized over all supported foreign destinations within each fund-quarter. Unknown stock returns are excluded from covered baskets, not set to zero.

### 4.5.1 High-conviction local positions

Country overweighting says where capital goes, but not which companies are well chosen. If local knowledge is most useful for particular companies, the advantage should be stronger in the fund's largest active stock bets. We identify those positions before observing their returns using a country-normalized version of the I-measure of Antón et al. (2021):

$$I_{jkq} = \frac{\omega_{jkq}}{\sum_{k' \in \Omega_{jcq}} \omega_{jk'q}} - \frac{\mathrm{MC}_{kq}}{\sum_{k' \in \Omega_{jcq}} \mathrm{MC}_{k'q}}. \tag{8}$$

Here $k$ is a stock that fund $j$ holds in country $c$ at quarter-end $q$, $\Omega_{jcq}$ is the set of such stocks and $k'$ runs over it, $\omega_{jkq}$ is the stock's weight in the fund's portfolio, as in Equation (2), and $\mathrm{MC}_{kq}$ is its market capitalization at quarter-end $q$. The measure subtracts the stock's capitalization share among those holdings from its weight in the fund's country basket. A positive value identifies an active overweight within the local stock selection. Normalizing within countries prevents a large country allocation from mechanically making every stock there a high-conviction position. High conviction here refers to revealed active weights among stocks the fund holds.

Within each fund-country-quarter, the top I-measure quartile defines high conviction and the other three quartiles define ordinary holdings. We form calendar-time portfolios for each group, separately in education and outside countries. Each portfolio pools the group's positions across all funds: within a country, positions are weighted by their dollar value, and countries are weighted by their shares in the Morningstar Global ex-US index. Reweighting to these benchmark country shares removes differences in aggregate national-market weights from the group comparisons. Each portfolio's alpha comes from the calendar-time regression

$$R_{pm} - R^f_m = \alpha_p + \beta_p' \mathbf{f}^{(10)}_m + \beta^G_p (R^G_m - R^f_m) + \varepsilon_{pm}. \tag{9}$$

Each regression uses the 300 months from January 2000 to December 2024. The portfolio index $p$ identifies the country group and weighting rule; all local and outside conviction portfolios use this same model. All regression returns are monthly decimals: $R_{pm}$ is the constructed portfolio's return, $\mathbf{f}_m^{(10)}$ contains the developed- and emerging-market five factors, and $R_m^G$ is the return on the Morningstar Global ex-US index, with loading $\beta_p^G$. This common portfolio benchmark differs from the fund-specific assigned benchmarks in the NAV model. The focal intercept $\alpha_p$ is monthly excess performance beyond these exposures; multiplying it and its standard error by $12 \times 100$ gives annual percentage points, or by $12 \times 10^4$ gives annual basis points. Direct alpha differences use stacked portfolio series and robust Wald tests on intercept equality. The intercept evaluates the disclosed-holdings strategy.

The highest active local bets have a substantial alpha advantage. The top education-country quartile earns a 4.0% annual alpha (standard error 1.3), compared with 0.4% for ordinary local holdings (Table 7). Their direct 3.6-percentage-point difference is significant at 1%. Because both portfolios are reweighted to common benchmark country shares, this comparison evaluates stock selection within the same local investment opportunity set. It identifies a productive portfolio application associated with the education link.

Comparing top positions across country groups provides a second test of the local link. Top positions in education countries outperform top positions outside them by 3.9 percentage points a year ($p = 0.002$). Together with the 3.6-point top-versus-ordinary local difference, this contrast identifies a productive combination of an education link and an active stock bet. Figure 3 plots the four alphas, their confidence intervals and the direct tests. The top-versus-ordinary difference remains significant at 5% in six of the eight alternative constructions in Appendix Table A17, which vary the stock ranking, U.K. coverage, undergraduate links, risk models and trading costs; it is marginal with an expanded reference set ($p = 0.057$) and imprecise when benchmark weights define conviction ($p = 0.251$).

Figure 4 compounds the same monthly gross strategy returns over 2000–2024, starting with one dollar before January 2000. It shows when the local top portfolio separates from

ordinary holdings and the benchmark, alongside the outside-country comparison. The curves track gross returns on the constructed strategies under benchmark country weights. The next test measures the payoff under the capital allocation funds actually choose.

### 4.5.2 The size of the local contribution

To assess economic scale, we measure these positions' contribution per dollar of pooled covered equity capital: the value of sample funds' disclosed stocks with usable returns, including U.S. stocks. Let $s_m^L$ be the education-country share of covered equity capital in month $m$ and $R_m^L$ the return on those holdings at actual capital weights. Their monthly contribution to the covered equity return is

$$C_m^L = s_m^L R_m^L, \qquad R_m^{\text{all}} = C_m^L + C_m^O. \tag{10}$$

Here $R_m^{\text{all}}$ is the return on the entire covered equity portfolio and $C_m^O$ the contribution of the other covered equities. The annualized raw contribution is the average of $C_m^L$ over the 300 months, times twelve, expressed in basis points. Weighting each month's return by that month's capital share captures their comovement, which multiplying the average share by the average return would miss. To measure the contribution beyond risk exposures, we use the excess-return contribution $C_{pm}^{\text{ex}} = s_{pm}(R_{pm} - R_m^f)$ as the dependent variable in Equation (9), where $s_{pm}$ is the share of covered equity capital in group $p$, all local, top local or ordinary local positions, and $R_{pm}$ is now the group's return at actual capital weights. The intercept is then the alpha these positions add per dollar of pooled covered equity, rather than per dollar invested in them (Table 8). Education-country holdings represent 8.7% of covered capital and contribute 57.5 annual basis points of raw equity return. Their alpha contribution is $-10$ basis points (standard error 11): a positive realized equity payoff, but no clearly positive contribution beyond measured risk exposures.

High-conviction local positions occupy 3.6% of covered equity capital and have an actual-weight alpha contribution of 0.3 annual basis points (standard error 6.1). This differs from the 4.0% strategy alpha for two reasons. First, actual country weights change the return on the local stock portfolio: on a common sample of local holdings, the top local portfolio earns 406.7 basis points a year under the common country mix but 16.6 (standard error 159.3) at funds' actual country weights (Appendix Table A18). Second, the contribution series weights each month's return by its contemporaneous share of covered capital. The strategy alpha evaluates selected stocks under a common country mix; the contribution alpha measures their payoff at actual deployment.

The high-conviction results identify a productive application of local knowledge: selected stocks perform well under a common country mix. At actual capital weights, their estimated contribution is small. These findings distinguish the value of particular local stock choices from the payoff to broad geographic familiarity; a local advantage can coexist with unfavorable selection in related outside markets. Appendix C reconciles the weights and contributions.

The investment evidence raises an organizational question. Greater foreign-educated representation accompanies lower factor-adjusted NAV returns, and foreign-educated teams select stocks worse in familiar outside markets. Useful local stock choices coexist with these patterns. Moreover, greater measured country relevance does not make the conditional NAV association more favorable. As foreign-educated appointments become more common (Appendix A.1), we first ask when funds seek this background and whether the targeted country improves. We then examine accepted investment and fundraising records and later career responses. This connects the reason for seeking familiarity to the evidence used to assess the managers who supply it.

# 5 Recruitment and Career Evaluation

The portfolio results show that geographic familiarity has uneven investment value. We now examine how funds recruit and evaluate managers with that background. The tests follow three questions: when do funds seek country expertise, what records do they accept, and how do they respond to performance afterward? Country losses and subsequent local gains assess the rationale for hiring. Prior records and later career responses ask whether demonstrated performance explains the treatment of managers with that background.

## 5.1 Country performance and the demand for expertise

A fund may seek a manager educated in a country when investing there becomes difficult. We test this possibility using countries already held at the preceding quarter-end. An observation is a fund $j$, country $c$ and calendar quarter $q$, including quarters with no appointment. The outcome records a verified new appointment during $q$ by a manager who studied in $c$. We express appointment probabilities in basis points: the zero-one indicator is multiplied by 10,000, and one probability basis point equals 0.01 percentage point. We distinguish two prior-year signals: $L^M_{cq}$ is minus the compounded country-market return over the preceding twelve months, and $L^P_{jcq}$ is minus the fund's average country-market-adjusted holdings return over the preceding four quarters. Both are expressed in percentage points, so a larger value means worse performance.[19] We estimate

$$Y^g_{jcq} = \alpha_{jc} + \lambda_{jq} + \beta^g_M L^M_{cq} + \beta^g_P L^P_{jcq} + \Gamma'_g X_{jcq} + \varepsilon^g_{jcq}. \tag{11}$$

Here $g$ denotes the direct schooling link or, in a separate comparison, schooling in a bordering country without schooling in $c$ itself. Fund-country effects remove persistent destination

[19] The market proxy weights the covered stocks by lagged market capitalization, using the existing stock-return quality safeguard. The fund-specific signal averages annualized country-market-adjusted basket returns, requiring at least three of the preceding four payoff quarters. It differs from the size-and-momentum-adjusted country return used in the stock-picking tests. All predictors precede the appointment quarter; no appointment-quarter return enters.

preferences, while fund-quarter effects compare countries within the same fund and calendar quarter. Controls $X$ include the preceding country weight and stock count in logs and the incumbent team's direct and bordering-country schooling shares. Fund-quarter effects also absorb team size and other common fund conditions. We weight countries equally within each fund-quarter and cluster by fund. Country-quarter effects would absorb the country-market signal and are not included.

Both signals predict direct-country hiring (Table 9, column 1). A ten-percentage-point lower prior market return predicts a 0.43-basis-point increase in the quarterly linked-hiring probability; a ten-point worse own country-relative record predicts a 0.48-basis-point increase, holding the market signal constant. Both coefficients are significant at 5%. Against an average country-specific hiring rate of 11.80 probability basis points (0.118%) per quarter, these are increases of about 3.7% and 4.1%. The comparison uses 978,521 fund-country-quarters at 1,540 funds, with 1,027 linked country appointments. The evidence connects demand for a schooling link to disappointing performance in the relevant market. The corresponding bordering-country comparison is reported in column 2.

After a linked appointment, does country performance improve relative to comparable non-hiring funds, and does improvement extend to the rest of the portfolio? We compare each linked appointment after disappointing performance with up to three funds holding the same country, under the same benchmark and in the same quarter, with similar prior country performance, allocation, stock count and incumbent coverage but no appointment that quarter. We follow both groups for four quarters before and four quarters after appointment, omitting the appointment quarter. Matching precedes the examination of subsequent returns.

To make the local, outside-country and whole-fund comparisons consistent, we use the same observations, controls and fixed effects for all three outcomes. Let $a$ index a matched

country-appointment case, $j$ a fund in that case and $t$ the calendar quarter in which returns are earned. We estimate

$$Y_{jat} = \alpha_{ja} + \lambda_{at} + \beta_H \mathbb{1}_{ja}^{\text{Hire}} \times \mathbb{1}_{at}^{\text{Post}} + \Gamma' X_{jt} + \varepsilon_{jat}. \tag{12}$$

Here $Y_{jat}$ is the adjusted return on the focal country's holdings, the adjusted return on holdings outside the hiring team's education countries, or factor-adjusted NAV, each annualized in basis points. The first two outcomes are returns per dollar invested in the respective basket; NAV is a whole-fund return. The education-country set is fixed at appointment and applied to both hiring and comparison funds throughout the window. Fund-case effects $\alpha_{ja}$ remove persistent differences between the funds, and case-quarter effects $\lambda_{at}$ remove common changes within the comparison. The indicators identify the hiring fund and the post-appointment quarters. Thus $\beta_H$ measures the hiring fund's change relative to the change at its comparison funds. Controls $X_{jt}$ follow the headline NAV model, including team size, and errors are clustered by economic fund. Appendix B.10 describes matching, weights and support.

The local improvement is economically substantial. On 511 country appointments at 267 hiring funds, adjusted returns in the focal country improve by 228 annualized basket basis points relative to non-hiring funds (standard error 80), significant at 1% (Table 10). This is a 2.28-percentage-point improvement per dollar invested in that country, after the same stock-characteristic adjustment used in the earlier country-return tests. The companion estimates are −15 basis points for outside-country holdings (standard error 34) and +37 for whole-fund NAV (standard error 37). Neither is precisely estimated. The comparison therefore identifies a local improvement without establishing either an offsetting outside loss or an overall NAV gain. A large return gain in one country need not be a large whole-fund gain because only part of the portfolio is invested there.

Does this local improvement persist? We extend the comparison through the second year after appointment, retaining the same funds for the pre-appointment year and both subsequent years. In Equation (12), we replace the single hiring-by-post interaction with separate interactions for the first and second years; the pre-appointment year remains the baseline. The fund-case effects, case-quarter effects, controls and fund clustering are unchanged. The two-year requirement yields 430 country appointments at 231 hiring funds, with 514 fund clusters. On this common cohort, the first-year local improvement is 195 annualized basket basis points (standard error 78), whereas the second-year estimate is −11 (standard error 84). The direct second-minus-first-year difference is −205 basis points (standard error 97), significant at 5% (Table 11). The local gain is thus concentrated in the first year and fades in the next. This temporal comparison uses the same appointments in both years; the earlier 228-basis-point estimate uses the larger one-year cohort. The corresponding NAV estimates show no clear change between years. The evidence identifies the timing of the local benefit, while the first-year comparison above assesses whether that benefit extends beyond the country of appointment.

This targeted payoff and the negative NAV association in Section 4 answer different questions. The appointment comparison asks whether hiring accompanies improvement from the fund's own starting position relative to comparable non-hiring funds. The NAV regression asks how performance covaries with the current team's foreign-educated share over the full sample. Much of its negative association is already present before the country-linked appointments studied here; those funds often already employ foreign-educated managers (Appendix B.11). Targeted hiring can therefore address a local investment problem without explaining the broader performance shortfall. The next tests ask whether the demonstrated records accepted at entry and the subsequent evaluation of managers warrant crediting familiarity as broad investment ability.

## 5.2 Records at appointment

We now turn from the hiring fund's investment problem to the incoming manager's demonstrated record. A useful local appointment could reflect knowledge that compensates for a weaker general record. We ask whether that compensation is visible in accepted recruits' prior investment or fundraising performance. This comparison uses the broader set of experienced appointees, with one observation for each manager's appointment to a fund. We measure the previous teams' average adjusted country return over the four full quarters before hiring, including both education countries and other non-U.S. countries. As in Section 3.3, these returns compare country holdings with similar local stocks. Including education countries allows any demonstrated local advantage to enter the recruit's overall international record; Section 5.3 separately examines the exact market needing expertise.[20]

Let $h$ identify manager $i$'s appointment to fund $j$ in year $y$. The prior average return, $\bar{R}_h^{\text{pre}}$, is expressed in annualized basis points per dollar of country holdings; the bar denotes an average and pre means before appointment. An outside-country comparison, $\bar{R}_h^{\text{peer}}$, further subtracts returns of funds sharing the previous funds' benchmark, country and quarter (Appendix B.12). Thus, $Y_h$ below is $\bar{R}_h^{\text{pre}}$ in the main regression or $\bar{R}_h^{\text{peer}}$ in the peer comparison. We estimate each separately:

$$Y_h = \alpha_j + \lambda_y + \delta \mathbb{1}_i^{\text{Foreign}} + \eta' \mathbf{B}_h + \Gamma' X_h + v_h. \tag{13}$$

The coefficient of interest is $\delta$, on the indicator for a foreign-educated recruit. A negative $\delta$ means that foreign-educated recruits had weaker prior team records than U.S.-educated recruits accepted by the same fund, conditional on the controls. Hiring-fund effects $\alpha_j$ account for each fund's persistent recruitment standards, and appointment-year effects $\lambda_y$ remove common recruitment conditions. The comparison uses hires across years within

[20] Countries have equal weight within origin fund-quarter. We average quarters, combine share classes of an economic origin and then average distinct origin funds. The characteristic-adjusted record covers non-U.S. stocks and is not a whole-fund NAV return.

a fund. Because records partly reflect the previous funds' mandates, $\mathbf{B}_h$ controls for the benchmarks of the recruit's previous funds.[21] Controls $X_h$ include school-ranking categories, gender, CFA, experience, the size and unknown-education share of the origin and destination teams, and the origin teams' country stock count. Appointments receive equal weight, and standard errors are clustered by hiring fund.

The comparison covers experienced appointees whose previous teams have observable records: 1,321 appointments at 300 hiring funds.[22]

Foreign-educated recruits arrive with weaker investment records. Table 12, column 1, estimates a difference of −86 annualized basket basis points (standard error 38), significant at 5%. Their previous teams' adjusted country returns are about 0.86 percentage points lower per year than those of U.S.-educated recruits accepted by the same hiring fund, accounting for origin benchmarks and observed qualifications. The record includes education countries and predates the recruit's entry into the new fund.

An outside-country check further accounts for conditions facing the previous funds through $\bar{R}_h^{\text{peer}}$. On the same appointments and with the same regressors, the foreign-minus-U.S. gap is −72 annualized basket basis points (standard error 41), significant at 10% (Appendix Table A15, column 1). The difference therefore remains negative when the comparison uses other funds operating under the same benchmark, country and quarter conditions. The outside-country gap also remains negative among recruits hired by the same fund in the same quarter, which holds the fund's common appointment conditions fixed (−81 basis points, standard error 41; Appendix Table A15, column 2).

[21] These are benchmark shares, weighted as in the record, for the 551 appointments with multiple origin benchmarks; Global ex-U.S. is the omitted category among 16. Prior NAV does not enter this equation, so the record is not conditioned on another realized performance measure.

[22] Of the appointments at the 1,663 funds, 1,600 have prior selection records, and support for the paired histories and the fund and year comparisons leaves 1,322 at 300 hiring funds. The appointment sample is held fixed at that of the earlier outside-country comparison, which required a same-benchmark peer and excluded one appointment. The current outcome restores all supported non-U.S. country baskets for these appointments, including education countries; it does not require peer-return availability. The same-round and needed-country tests use their own samples. Managers without a recorded prior fund role cannot enter this comparison.

A weaker investment record could be acceptable if the recruit brings fundraising value. We assess this possibility first through prior fundraising records and then through subsequent fund flows. For the prior-record test in column 2, we use $Y_h = \text{Flow}_h^{\text{pre}}$ in Equation (13). This outcome is the quarterly net flow into the recruits' previous funds, in percentage points of beginning-of-quarter assets, minus the mean flow of other funds with the same benchmark, averaged over the four quarters before the appointment quarter and across previous funds. Because flows follow returns, this regression controls for the previous funds' benchmark-relative NAV return, $R_h^{\text{NAV,pre}}$, in place of $\mathbf{B}_h$; it uses the 1,322 experienced appointments and otherwise follows Equation (13).[23]

The foreign-education coefficient is $-1.8$ percentage points per quarter, significant at 10%: relative to U.S.-educated recruits, foreign-educated recruits come from funds with weaker fundraising records even after accounting for prior returns. We also examine subsequent flows to funds with foreign-educated teams. Conditional on past performance and fund and team characteristics, funds with an entirely foreign-educated team receive monthly net flows 0.21 percentage points higher than funds with an entirely U.S.-educated team, with a standard error of 0.15 (Appendix Table A12). Quarterly flows and expense ratios show no clear difference either (Appendix Table A13). The prior-flow result provides no compensating fundraising strength. The subsequent-flow premium is positive but imprecise, leaving its commercial value unresolved. We next examine the investment rationale: whether those recruits bring stronger records in the countries the hiring fund needs.

## 5.3 Prior performance in the country needing coverage

The weaker international record raises a specialization question: do foreign-educated recruits bring stronger records than U.S.-educated recruits in the particular market needing expertise? We define needed countries before examining the incoming manager's education:

[23] This signal is the mean quarterly relative NAV return in the payoff quarters from five to two quarters before the appointment quarter, in percentage points. It is observed before hiring and does not enter either the main or the peer-adjusted investment-record equation.

foreign destinations already held without a continuing manager's schooling tie.[24] Both education groups are evaluated in this same set, so their prior stock selection is compared in the same needed market. Here an observation is an appointment $h$ paired with a needed country $c$. The outcome $\bar{R}^{\text{pre}}_{hc}$ is the average adjusted return that the recruit's previous teams earned on holdings in that country over the four full quarters before appointment. Thus, we evaluate the recruit's prior record in the potential specialty rather than averaging across all non-U.S. countries.[25] We estimate

$$\bar{R}^{\text{pre}}_{hc} = \alpha_{jc} + \lambda_{cy} + \beta_G \mathbb{1}_i^{\text{Foreign}} + \beta_L \mathbb{1}_{ic}^{\text{OwnLink}} + \Gamma' X_h + u_{hc}. \tag{14}$$

Here $\mathbb{1}_{ic}^{\text{OwnLink}}$ equals one if the incoming manager studied in country $c$. Fund-country effects compare recruits to the same fund for the same needed market, and country-year effects remove conditions common to that market in a year. The coefficient $\beta_G$ compares a foreign-educated recruit with a U.S.-educated recruit in needed countries where the foreign-educated recruit did not study, and $\beta_L$ is the additional difference in the country where the recruit did study. Their sum, $\beta_G + \beta_L$, therefore compares a recruit educated in the needed country with U.S.-educated recruits in that same country. This is a comparison across recruits; appointment fixed effects would instead ask whether the same recruit performed better in a schooling country than elsewhere. This specialist comparison retains the manager and team controls, including continuing-team unknown education, and conditions on the previous funds' benchmark-relative NAV return in place of the benchmark shares. It therefore compares same-country records conditional on overall prior fund performance. Each appointment's supported countries have total weight one, and standard errors are clustered by hiring fund.

[24] Continuing managers are present before and at the end of the appointment quarter. Departures and simultaneous recruits do not supply incumbent coverage. Missing prior holdings remain unclassified.

[25] We average share classes within economic origin-quarter, then quarters and then distinct origins. Every origin fund must have a record in all four quarters. A missing country record remains unavailable rather than becoming zero.

The same-country record is weaker, rather than stronger. For a foreign-educated recruit linked to the needed market, and comparing recruits from funds with similar overall prior returns, the estimated difference from U.S.-educated recruits is −274 annualized basket basis points, with a standard error of 101, significant at 1% (Table 13). Their previous teams underperformed the comparison recruits' teams by about 2.7 percentage points a year on holdings in the very market where the schooling link is relevant. The estimate combines the general foreign-education coefficient (−55) and the own-country increment (−219), using their joint covariance. The comparison uses 9,446 country-appointment records at 1,083 appointments and 257 funds; linked records cover 145 appointments and 85 funds.[26]

The two local comparisons use different benchmarks for success. Section 5.1 follows the hiring fund's improvement from its own pre-appointment performance, relative to matched non-hiring funds. The test here compares recruits' previous teams in the same potential specialty. The destination fund can improve while the recruit still has a weaker demonstrated record than U.S.-educated recruits. The specialty comparison therefore challenges stronger observed local performance as the reason for accepting weaker general records. We next ask how funds use performance when evaluating managers already on their teams.

## 5.4 Careers and performance evaluation

The record comparisons concern entry; the career tests ask whether performance receives different weight afterward. Once managers are on the same team, does deteriorating fund performance bear less on foreign-educated managers' retention than on that of U.S.-educated colleagues? Giving foreign education more weight and realized performance less also predicts a smaller relative gain in new assignments as returns improve. We test both directions of the performance response among all current managers, linking the records accepted at entry to

[26]The 152 linked records span 22 countries, including 72 in the United Kingdom. Starting with 1,131 appointments with supported pre-hire holdings and hiring-fund/year histories, prior-country availability supplies 11,117 records at 1,105 appointments and 269 funds before singleton fixed-effect groups are dropped. Appointments span 2004Q1–2024Q4 and prior payoffs 2003Q1–2024Q3. No fund supplies more than 5.28% of the combined contrast's identifying variation.

later evaluation rather than restricting attention to the appointments observed in Section 5.2. Each observation is a manager $i$ on fund $j$ at quarter-end $q$. We study two outcomes over the following quarter: $\mathbb{1}_{ijq}^{\text{Exit}}$ equals one if manager $i$ departs from fund $j$ between quarter-ends $q$ and $q+1$, and $\mathbb{1}_{ijq}^{\text{NewFund}}$ equals one if the manager receives a new assignment at another fund. We multiply both indicators by 100, so coefficients are in percentage points. The signal $R_{jq}^{\text{rel}}$ is the fund's compounded net return over quarter $q$ minus the mean return of other funds sharing its benchmark, also in percentage points. It uses reported whole-fund NAV, covering both U.S. and foreign investments. We estimate one common specification separately for departures and new assignments:

$$Y_{ijq} = \mu_{jq} + \nu_{ij} + \kappa \mathbb{1}_{i}^{\text{Foreign}} \times R_{jq}^{\text{rel}} + \Gamma' X_{ijq} + e_{ijq}. \tag{15}$$

Here $Y_{ijq}$ is either $100 \times \mathbb{1}_{ijq}^{\text{Exit}}$ or $100 \times \mathbb{1}_{ijq}^{\text{NewFund}}$. For colleagues on the same fund, the coefficient $\kappa$ is how much more a foreign-educated manager's probability of leaving, or of a new assignment, changes than a U.S.-educated colleague's when the fund's return rises by one percentage point; we denote the departure and new-assignment coefficients by $\kappa_{\text{Exit}}$ and $\kappa_{\text{NewFund}}$. Fund-quarter effects $\mu_{jq}$ absorb the common return and fund characteristics shared by colleagues, including the benchmark, mandate and team size. Fund-manager effects $\nu_{ij}$ absorb each manager's education and persistent differences in their career prospects at the fund. The coefficient is therefore identified from how colleagues' outcomes diverge as their shared fund return varies.

Controls $X_{ijq}$ include log spell length, log one plus management experience, and interactions of $R^{\text{rel}}$ with the female, unknown-gender, CFA and unknown-biography indicators and log experience. Each fund-quarter receives equal total weight, divided equally among its managers, and errors are clustered by economic fund.

Departures indicate whether an existing assignment continues; new assignments indicate additional opportunities. A new assignment is a first appearance on another fund's team in

the next quarter, including a new fund launch, and can occur without leaving the original fund. The records track assignment changes without classifying their reasons. The two outcomes distinguish relative retention after weak performance from relative access to new assignments after strong performance.

The departure interaction is $\kappa_{\text{Exit}} = +0.145$ percentage points per return percentage point, significant at 1%, on 154,677 manager-quarters at 1,334 funds (Table 14, columns 1–2). A ten-point deterioration lowers the foreign-minus-U.S. departure gap by 1.45 percentage points: foreign-educated managers become less likely to leave relative to their U.S.-educated teammates. For new assignments, $\kappa_{\text{NewFund}} = -0.107$, significant at 5%; a ten-point improvement lowers the foreign-minus-U.S. assignment-probability gap by 1.07 percentage points. The paired signs describe relative protection as returns worsen and a smaller relative gain as returns improve. Both signs are consistent with the hypothesis in Section 2.2 that qualifications receive more weight and shared fund returns less weight in career evaluation. The next comparison asks whether evaluation based on the local specialty can instead explain them.

A specialist may be evaluated on local performance rather than common fund returns. We therefore add the observed performance of education-country holdings and ask whether the foreign-minus-U.S. response to common returns becomes smaller. This extends the hiring test from demonstrated expertise at entry to the specialty's realized payoff afterward.[27]

Columns 3–4 add this local performance to Equation (15). The local return $R^{\text{loc}}_{ijq}$ is the return on the fund's holdings in a foreign-educated manager's education countries over the same quarter, less those countries' index returns, in percentage points. We add it as $\chi \mathbb{1}^{\text{Observed}}_{ijq} \times R^{\text{loc}}_{ijq}$, where $\mathbb{1}^{\text{Observed}}_{ijq}$ equals one for foreign-educated managers whose local return is observed and zero otherwise, including for all U.S.-educated managers, together with the indicator itself, $\phi \mathbb{1}^{\text{Observed}}_{ijq}$. The coefficient $\chi$ measures the association between observed local performance and career outcomes, conditional on shared fund performance. If differences

[27] Appendix B.13 examines recorded coverage categories separately.

in observed local returns account for the groups' different career responses, conditioning on those returns should move $\kappa_{\text{Exit}}$ and $\kappa_{\text{NewFund}}$ toward zero.[28]

Adding local performance leaves the career pattern largely unchanged. The fund-return interactions are +0.138 for departures and −0.108 for assignments, close to the baseline +0.145 and −0.107, and remain statistically significant. The local-return slopes themselves are small and imprecise: 0.017 percentage points for departures and 0.002 for new assignments, per return percentage point. The stability of the fund-return interactions shows that the measured local payoff does not account for the relative career pattern. This complements the weaker same-country records observed at recruitment.

The personnel evidence connects demand, recruitment and evaluation. Disappointing country performance predicts hiring a manager educated there, and local results subsequently improve relative to comparable non-hiring funds. Across experienced recruits, however, foreign-educated managers enter with weaker prior team records, including in the potential specialty. Once on a team, their retention is less sensitive to deteriorating fund performance than that of U.S.-educated colleagues, and measured local returns do not account for the different career responses. Seeking local knowledge has an observable rationale; the weaker accepted records and relative career responses suggest that funds credit the background beyond demonstrated performance. Together with unfavorable selection in familiar outside markets, this supports the overvaluation interpretation while locating familiarity's useful role in particular local applications.[29]

# 6 Conclusion

Geographic familiarity does not translate uniformly into investment value. Within funds over time and across funds sharing the same benchmark, greater foreign-educated represen-

[28] All 154,677 manager-quarters remain; 48,073 at 832 funds have observed local returns, and the added return term is zero elsewhere. The local return weights holdings by initial country capital. The coefficients $\chi$ and $\phi$ are estimated separately for each outcome, and controls, effects, weights and clustering are unchanged.

[29] The comparisons use recorded benchmarks and accepted recruits' team-level histories. Individual responsibilities, rejected applicants and employers' private information are unobserved.

tation accompanies lower factor-adjusted net returns, with a similar shortfall before expenses. A central pattern appears outside the countries where current managers studied: foreign-educated teams' stock selection is weaker in markets bordering or more socially connected to those countries, where familiarity would be expected to help. Geographic, language and social ties are also less favorable for these teams than for U.S.-educated teams. Greater benchmark relevance of schooling before appointment does not make the conditional NAV association more favorable. Funds overweight education countries, but their teams show no clear average stock-selection advantage there. Selected high-conviction local stocks earn high alphas under a common country mix, while their contribution at actual capital weights is small.

The personnel evidence connects the demand for expertise to the records accepted at entry and the role of performance afterward. Funds are more likely to hire managers educated in a country after their holdings there underperform, and linked appointments are followed by local improvement relative to comparable non-hiring funds. The local gain is concentrated in the first year and fades in the second, with no clear improvement elsewhere in the portfolio. This provides a rationale for seeking country knowledge, but its observed payoff is narrow. Yet foreign-educated recruits' previous teams have weaker investment records, including in the potential specialty, and weaker fundraising records. After appointment, their retention is less sensitive to deteriorating fund performance than that of U.S.-educated colleagues, while their relative gain in new assignments is smaller as returns improve. Accounting for observed education-country performance leaves these career differences largely unchanged.

Funds appear to credit geographic familiarity more broadly than demonstrated investment performance warrants. Useful local applications coexist with weaker selection in familiar outside markets, weaker accepted general and specialist records, and career responses consistent with less weight on realized performance. Together, these findings connect the scope of expertise to how financial institutions select and evaluate investment professionals.

# References


Aigner, D. J. and Cain, G. G. (1977). Statistical theories of discrimination in labor markets. *Industrial and Labor Relations Review*, 30(2):175–187.

Altonji, J. G. and Pierret, C. R. (2001). Employer learning and statistical discrimination. *The Quarterly Journal of Economics*, 116(1):313–350.

Antón, M., Cohen, R. B., and Polk, C. (2021). Best ideas. Working paper, available at SSRN.

Bai, J. J., Tang, Y., Wan, C., and Yüksel, H. Z. (2022). Fund manager skill in an era of globalization: Offshore concentration and fund performance. *Journal of Financial Economics*, 145(2):18–40.

Baik, B., Kang, J.-K., and Kim, J.-M. (2010). Local institutional investors, information asymmetries, and equity returns. *Journal of Financial Economics*, 97(1):81–106.

Bailey, M., Cao, R., Kuchler, T., Stroebel, J., and Wong, A. (2018). Social connectedness: Measurement, determinants, and effects. *Journal of Economic Perspectives*, 32(3):259–280.

Bordalo, P., Coffman, K., Gennaioli, N., and Shleifer, A. (2016). Stereotypes. *The Quarterly Journal of Economics*, 131(4):1753–1794.

Brennan, M. J. and Cao, H. H. (1997). International portfolio investment flows. *Journal of Finance*, 52(5):1851–1880.

Brinson, G. P. and Fachler, N. (1985). Measuring non-U.S. equity portfolio performance. *Journal of Portfolio Management*, 11(3):73–76.

Cameron, A. C. and Miller, D. L. (2015). A practitioner's guide to cluster-robust inference. *Journal of Human Resources*, 50(2):317–372.

Carhart, M. M. (1997). On persistence in mutual fund performance. *The Journal of Finance*, 52(1):57–82.

Chevalier, J. and Ellison, G. (1999a). Are some mutual fund managers better than others? Cross-sectional patterns in behavior and performance. *The Journal of Finance*, 54(3):875–899.

Chevalier, J. and Ellison, G. (1999b). Career concerns of mutual fund managers. *The Quarterly Journal of Economics*, 114(2):389–432.

Chuprinin, O. and Sosyura, D. (2018). Family descent as a signal of managerial quality: Evidence from mutual funds. *The Review of Financial Studies*, 31(10):3756–3820.

Cohen, L., Frazzini, A., and Malloy, C. (2008). The small world of investing: Board connections and mutual fund returns. *Journal of Political Economy*, 116(5):951–979.

Coval, J. D. and Moskowitz, T. J. (2001). The geography of investment: Informed trading and asset prices. *Journal of Political Economy*, 109(4):811–841.

Cremers, K. J. M. and Petajisto, A. (2009). How active is your fund manager? a new measure that predicts performance. *The Review of Financial Studies*, 22(9):3329–3365.

Daniel, K., Grinblatt, M., Titman, S., and Wermers, R. (1997). Measuring mutual fund performance with characteristic-based benchmarks. *The Journal of Finance*, 52(3):1035–1058.

Demirci, I., Ferreira, M. A., Matos, P., and Sialm, C. (2022). How global is your mutual fund? international diversification from multinationals. *The Review of Financial Studies*, 35(7):3337–3372.

Fama, E. F. and French, K. R. (2010). Luck versus skill in the cross-section of mutual fund returns. *The Journal of Finance*, 65(5):1915–1947.

Fama, E. F. and French, K. R. (2015). A five-factor asset pricing model. *Journal of Financial Economics*, 116(1):1–22.

Fang, J., Kempf, A., and Trapp, M. (2014). Fund manager allocation. *Journal of Financial Economics*, 111(3):661–674.

Farber, H. S. and Gibbons, R. (1996). Learning and wage dynamics. *The Quarterly Journal of Economics*, 111(4):1007–1047.

French, K. R. and Poterba, J. M. (1991). Investor diversification and international equity markets. *American Economic Review*, 81(2):222–226.

Gantchev, N., Giannetti, M., and Li, R. (2024). Sustainability or performance? Ratings and fund managers' incentives. *Journal of Financial Economics*, 155:103831.

Gottesman, A. A. and Morey, M. R. (2006). Manager education and mutual fund performance. *Journal of Empirical Finance*, 13(2):145–182.

Graham, J. R., Harvey, C. R., and Huang, H. (2009). Investor competence, trading frequency, and home bias. *Management Science*, 55(7):1094–1106.

Grinblatt, M. and Keloharju, M. (2001). How distance, language, and culture influence stockholdings and trades. *The Journal of Finance*, 56(3):1053–1073.

Heath, C. and Tversky, A. (1991). Preference and belief: Ambiguity and competence in choice under uncertainty. *Journal of Risk and Uncertainty*, 4(1):5–28.

Huberman, G. (2001). Familiarity breeds investment. *The Review of Financial Studies*, 14(3):659–680.

Jagannathan, M., Jiao, W., and Karolyi, G. A. (2022). Is there a home field advantage in global markets? *Journal of Financial Economics*, 143(2):742–770.

Kacperczyk, M., Sialm, C., and Zheng, L. (2005). On the industry concentration of actively managed equity mutual funds. *The Journal of Finance*, 60(4):1983–2011.

Kacperczyk, M., Sialm, C., and Zheng, L. (2008). Unobserved actions of mutual funds. *The Review of Financial Studies*, 21(6):2379–2416.

Kang, J.-K. and Stulz, R. M. (1997). Why is there a home bias? An analysis of foreign portfolio equity ownership in Japan. *Journal of Financial Economics*, 46(1):3–28.

Khorana, A. (1996). Top management turnover: An empirical investigation of mutual fund managers. *Journal of Financial Economics*, 40(3):403–427.

Kuchler, T., Li, Y., Peng, L., Stroebel, J., and Zhou, D. (2022). Social proximity to capital: Implications for investors and firms. *The Review of Financial Studies*, 35(6):2743–2789.

Linnainmaa, J. T., Melzer, B. T., and Previtero, A. (2021). The misguided beliefs of financial advisors. *The Journal of Finance*, 76(2):587–621.

Lu, Y., Naik, N. Y., and Teo, M. (2024). Diverse hedge funds. *The Review of Financial Studies*, 37(2):639–683.

Mayer, T. and Zignago, S. (2011). Notes on CEPII's distances measures: The GeoDist database. CEPII Working Paper 2011-25.

Oster, E. (2019). Unobservable selection and coefficient stability: Theory and evidence. *Journal of Business & Economic Statistics*, 37(2):187–204.

Petersen, M. A. (2009). Estimating standard errors in finance panel data sets: Comparing approaches. *The Review of Financial Studies*, 22(1):435–480.

Phelps, E. S. (1972). The statistical theory of racism and sexism. *The American Economic Review*, 62(4):659–661.

Pool, V. K., Stoffman, N., and Yonker, S. E. (2012). No place like home: Familiarity in mutual fund manager portfolio choice. *The Review of Financial Studies*, 25(8):2563–2599.

Schumacher, D. (2018). Home bias abroad: Domestic industries and foreign portfolio choice. *The Review of Financial Studies*, 31(5):1654–1706.

Solon, G., Haider, S. J., and Wooldridge, J. M. (2015). What are we weighting for? *Journal of Human Resources*, 50(2):301–316.

Spence, M. (1973). Job market signaling. *The Quarterly Journal of Economics*, 87(3):355–374.

Van Nieuwerburgh, S. and Veldkamp, L. (2009). Information immobility and the home bias puzzle. *Journal of Finance*, 64(3):1187–1215.

Wermers, R. (2000). Mutual fund performance: An empirical decomposition into stock-picking talent, style, transactions costs, and expenses. *The Journal of Finance*, 55(4):1655–1695.

**Table 1:** Summary statistics

| | Mean | Median | Std. dev. | *N* |
|---|---|---|---|---|
| A. Portfolios and team education (fund-quarter) | | | | |
| Number of countries held | 18.99 | 19.00 | 8.44 | 67,380 |
| Number of manager education countries (including U.S.) | 1.57 | 1.00 | 0.92 | 63,510 |
| Number of non-U.S. manager education countries | 0.72 | 0.00 | 0.95 | 63,510 |
| B. Funds (fund-year) | | | | |
| Total net assets ($ billions) | 1.59 | 0.23 | 6.66 | 21,084 |
| Net expense ratio (%) | 1.22 | 1.17 | 0.50 | 19,695 |
| Turnover ratio (%) | 64.31 | 48.00 | 60.96 | 18,999 |
| Annual return (%) | 8.68 | 10.86 | 22.59 | 18,773 |
| Annualized volatility (%) | 16.46 | 14.81 | 7.09 | 18,773 |
| C. Managers (one observation per fund) | | | | |
| Average manager tenure (years) | 5.57 | 4.93 | 3.27 | 1,663 |
| Number of managers | 3.12 | 2.44 | 2.44 | 1,663 |
| D. Foreign education in the net-return panel | | | | |
| Foreign-educated manager share (fund-month) | 0.35 | | | 206,847 |
| Fund-quarters with ForeignShare = 0 (%) | 48.6 | | | 68,949 |
| Fund-quarters with partly unknown education (%) | 28.3 | | | 68,949 |

Notes: This table reports summary statistics for U.S. actively managed international equity funds (Morningstar), 2000–2024. Panel B summarizes fund characteristics. The NAV regressions use returns and assets of the oldest share class; economic-fund clustering combines identifiers linked by the crosswalk. Of the 2,992 managers with recorded post-secondary education, 26.9% studied only outside the United States. Panel A counts the distinct education countries of a fund's current managers. ForeignShare is the share of current managers with any recorded non-U.S. education among managers whose education is known.

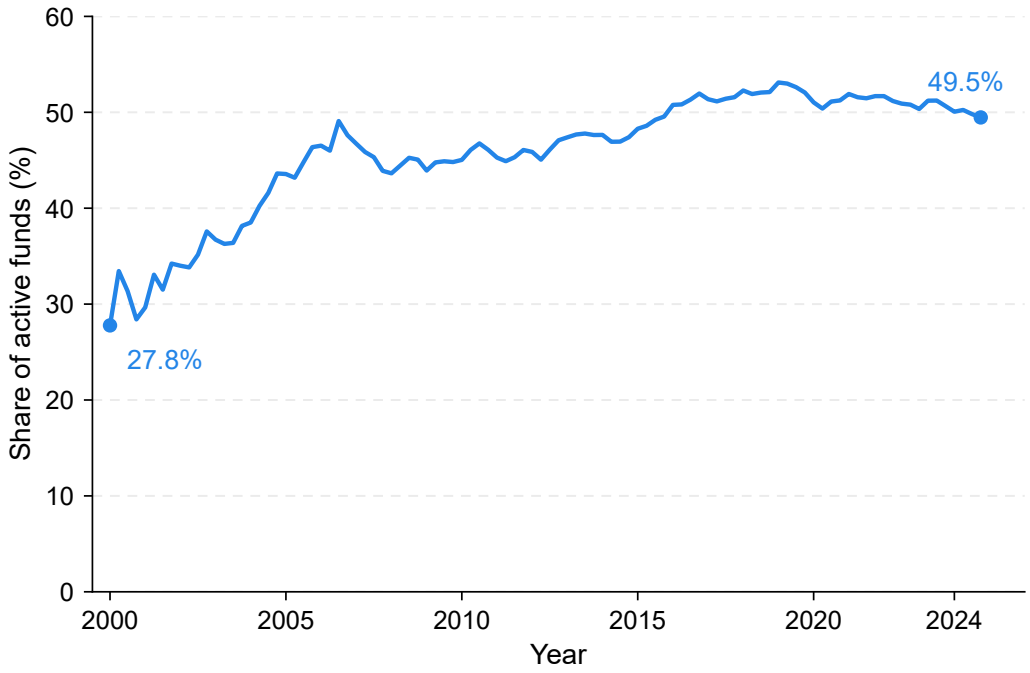



Figure 1: Share of active funds with foreign-educated managers

Notes: Quarterly percentage of active sample funds with at least one current manager with recorded non-U.S. education, 2000Q1–2024Q4. Active funds have positive reported non-U.S. equity holdings in that quarter; no return-availability or stock-classification requirement is imposed. Each economic fund is counted once, with equal weight. Manager status is measured at quarter-end and includes managers educated both in the United States and abroad. All active funds remain in the denominator; unknown education is not classified as U.S.-only. Changes in education coverage can affect the trend. The endpoints are 85 of 306 funds (27.8%) and 369 of 746 funds (49.5%).

**Table 2:** Foreign education and net fund returns

| Dependent variable | Factor-adjusted net NAV return | | | |
|---|---|---|---|---|
| Units | Annualized bps | | | |
| | (1) | (2) | (3) | (4) |
| Specification | Full controls | Broader sample | No operating controls | Full controls (WLS) |
| Foreign-educated share | −69.51** | −69.30* | −68.31* | −69.66*** |
| | (35.42) | (35.43) | (35.61) | (22.66) |
| Log team size | −88.89 | −87.85 | −90.36 | −72.93* |
| | (59.10) | (59.06) | (59.22) | (37.80) |
| Unknown-education share | −108.22 | −108.32 | −100.94 | −134.06*** |
| | (68.59) | (68.54) | (68.22) | (44.16) |
| Log lagged assets (USD millions) | −21.83** | −22.38** | −21.14** | −17.30** |
| | (9.90) | (9.84) | (9.91) | (7.38) |
| Assets spline basis 1 | −100.49*** | −99.74*** | −99.81*** | −62.79*** |
| | (26.04) | (25.98) | (26.16) | (18.26) |
| Assets spline basis 2 | 559.63*** | 556.76*** | 553.00*** | 327.21*** |
| | (158.52) | (158.37) | (158.96) | (106.46) |
| Team-size spline basis 1 | −78.04 | −79.95 | −77.85 | −24.61 |
| | (137.48) | (137.40) | (137.52) | (88.00) |
| Team-size spline basis 2 | 695.54 | 701.71 | 686.45 | 394.77 |
| | (590.07) | (589.75) | (589.82) | (374.04) |
| Female share (known gender) | −50.70 | −50.08 | −50.77 | −37.88 |
| | (38.54) | (38.52) | (38.58) | (27.60) |
| Unknown-gender share | −89.18 | −90.07 | −93.77 | −0.34 |
| | (93.07) | (93.05) | (92.41) | (53.01) |
| CFA share (observed biographies) | 6.58 | 6.77 | 7.99 | 33.02 |
| | (31.47) | (31.47) | (31.48) | (21.24) |
| Unknown-biography share | 227.18** | 228.44** | 227.79** | 80.74 |
| | (107.77) | (107.71) | (107.52) | (66.83) |
| Mean log(1 + experience) | −34.70** | −34.15** | −35.16** | −39.13*** |
| | (16.75) | (16.73) | (16.88) | (10.63) |
| Prior-year relative NAV return (pp) | −4.60*** | −4.77*** | −4.63*** | −2.92*** |
| | (1.46) | (1.46) | (1.47) | (0.95) |
| Log(1 + prior relative volatility) | 62.22** | 63.78** | 63.77** | 36.75** |
| | (31.00) | (30.88) | (31.67) | (18.59) |
| Prior-quarter flow (pp) | $1.57 \times 10^{-6}$ | $1.54 \times 10^{-6}$ | $1.55 \times 10^{-6}$ | $1.21 \times 10^{-6}$ |
| | $(2.25 \times 10^{-6})$ | $(2.24 \times 10^{-6})$ | $(2.24 \times 10^{-6})$ | $(1.51 \times 10^{-6})$ |
| Missing prior return history | 99.32 | 103.71* | 75.70 | 2.29 |
| | (62.86) | (62.40) | (57.18) | (38.49) |
| Missing prior-quarter flow | −41.44 | −38.72 | −43.26 | −66.19* |
| | (55.66) | (53.41) | (55.30) | (36.44) |
| Lagged expense ratio (bps) | −0.40 | −0.39 | — | −0.46** |
| | (0.34) | (0.34) | | (0.23) |
| Lagged log turnover | 84.01** | 82.51** | — | 30.18 |
| | (35.50) | (35.41) | | (25.07) |
| Top-ten equity concentration | 75.23 | 68.69 | — | 79.59 |
| | (138.23) | (137.84) | | (90.84) |
| Missing lagged expense ratio | −111.04** | −111.35** | — | −23.98 |
| | (54.10) | (53.80) | | (34.88) |
| Missing lagged turnover | 72.29** | 71.47* | — | 10.76 |
| | (36.75) | (36.70) | | (23.92) |
| Missing equity concentration | 26.85 | 25.74 | — | 18.74 |
| | (42.14) | (42.13) | | (27.61) |
| Fund FE | Yes | Yes | Yes | Yes |
| Benchmark × month FE | Yes | Yes | Yes | Yes |
| Observations | 206,847 | 208,425 | 206,847 | 206,847 |
| Fund clusters | 1,418 | 1,536 | 1,418 | 1,418 |

Notes: Monthly net NAV uses thirteen predetermined factor exposures, January 2000–December 2024. Coefficients are annualized bps; foreign share compares one and zero among known-schooling managers. Column 2 adds shorter-history funds with benchmark-peer loadings. Column 3 omits expenses, turnover and concentration. Column 4 retains column 1's sample and controls with inverse fund residual-variance weights; columns 1–3 give fund-months equal weight. Prior flow is uncapped and in raw percentage points, with a missingness indicator. Outcomes are not winsorized or zero-filled. Fund-clustered standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%.

**Table 3:** Fees and the net-return shortfall

| Dependent variable | Net NAV | Gross NAV | Net NAV | Gross NAV |
|---|---|---|---|---|
| Units | | Factor-adjusted returns, annualized bps | | |
| | (1) | (2) | (3) | (4) |
| Specification | Full controls | Full controls | No operating controls | No operating controls |
| Foreign-educated share | $-70.56^{**}$ | $-71.03^{**}$ | $-69.29^{*}$ | $-70.13^{**}$ |
| | (35.42) | (35.40) | (35.62) | (35.57) |
| Log team size | $-98.60^{*}$ | $-102.57^{*}$ | $-99.66^{*}$ | $-104.30^{*}$ |
| | (59.39) | (59.30) | (59.51) | (59.39) |
| Unknown-education share | −110.61 | −112.41 | −102.99 | −105.70 |
| | (68.97) | (69.14) | (68.57) | (68.76) |
| Log lagged assets (USD millions) | $-21.41^{**}$ | $-21.92^{**}$ | $-20.73^{**}$ | $-21.13^{**}$ |
| | (10.01) | (10.03) | (10.03) | (10.04) |
| Assets spline basis 1 | $-99.72^{***}$ | $-102.85^{***}$ | $-99.14^{***}$ | $-103.73^{***}$ |
| | (26.23) | (26.23) | (26.36) | (26.34) |
| Assets spline basis 2 | $551.43^{***}$ | $567.58^{***}$ | $544.25^{***}$ | $564.86^{***}$ |
| | (159.79) | (159.72) | (160.21) | (160.07) |
| Team-size spline basis 1 | −53.74 | −48.77 | −55.10 | −49.90 |
| | (137.51) | (137.24) | (137.46) | (137.12) |
| Team-size spline basis 2 | 598.98 | 590.68 | 597.53 | 592.21 |
| | (590.13) | (589.18) | (589.31) | (588.13) |
| Female share (known gender) | −54.16 | −54.52 | −53.78 | −54.23 |
| | (38.51) | (38.51) | (38.57) | (38.56) |
| Unknown-gender share | −89.22 | −89.81 | −94.35 | −95.36 |
| | (93.32) | (93.38) | (92.67) | (92.86) |
| CFA share (observed biographies) | 6.40 | 5.06 | 8.11 | 6.54 |
| | (31.83) | (31.88) | (31.86) | (31.91) |
| Unknown-biography share | $243.98^{**}$ | $248.18^{**}$ | $245.10^{**}$ | $250.14^{**}$ |
| | (108.10) | (108.14) | (107.86) | (107.95) |
| Mean log(1 + experience) | $-34.30^{**}$ | $-35.04^{**}$ | $-34.56^{**}$ | $-35.64^{**}$ |
| | (16.81) | (16.80) | (16.93) | (16.92) |
| Prior-year relative NAV return (pp) | $-4.46^{***}$ | $-4.50^{***}$ | $-4.48^{***}$ | $-4.50^{***}$ |
| | (1.48) | (1.48) | (1.48) | (1.48) |
| Log(1 + prior relative volatility) | $54.63^{*}$ | $55.14^{*}$ | $56.26^{*}$ | $57.68^{*}$ |
| | (31.13) | (31.17) | (31.82) | (31.85) |
| Prior-quarter flow (pp) | $1.43 \times 10^{-6}$ | $1.47 \times 10^{-6}$ | $1.40 \times 10^{-6}$ | $1.47 \times 10^{-6}$ |
| | $(2.25 \times 10^{-6})$ | $(2.26 \times 10^{-6})$ | $(2.24 \times 10^{-6})$ | $(2.25 \times 10^{-6})$ |
| Missing prior return history | $107.10^{*}$ | 104.68 | 78.87 | 78.88 |
| | (63.81) | (63.90) | (57.63) | (57.65) |
| Missing prior-quarter flow | −67.65 | −68.84 | −69.12 | −70.44 |
| | (55.95) | (56.00) | (55.76) | (55.81) |
| Lagged expense ratio (bps) | −0.36 | −0.07 | — | — |
| | (0.34) | (0.35) | | |
| Lagged log turnover | $83.38^{**}$ | $82.62^{**}$ | — | — |
| | (35.68) | (35.65) | | |
| Top-ten equity concentration | 71.59 | 67.49 | — | — |
| | (139.26) | (139.32) | | |
| Missing lagged expense ratio | $-120.73^{**}$ | −84.63 | — | — |
| | (53.46) | (54.45) | | |
| Missing lagged turnover | $80.45^{**}$ | $80.34^{**}$ | — | — |
| | (35.65) | (35.75) | | |
| Missing equity concentration | 32.49 | 30.96 | — | — |
| | (42.37) | (42.49) | | |
| Fund FE | Yes | Yes | Yes | Yes |
| Benchmark × month FE | Yes | Yes | Yes | Yes |
| Observations | 205,773 | 205,773 | 205,773 | 205,773 |
| Fund clusters | 1,418 | 1,418 | 1,418 | 1,418 |

Notes: Net and reported gross NAV use identical observations and thirteen predetermined factor exposures, 2000–2024. Columns 1–2 use full controls; 3–4 omit expense, turnover and concentration controls. Equal monthly weights; raw prior flow with a missing indicator; economic-fund clustering. Standard errors appear in parentheses below coefficients. $^{*}$, $^{**}$ and $^{***}$ denote two-sided significance at 10%, 5% and 1%. Gross-minus-net foreign-share differences are −0.47 (SE 1.01) for columns 2 minus 1 and −0.84 (SE 1.33) for columns 4 minus 3; paired fund-influence covariance is used.

**Table 4:** Relatedness and stock selection outside education countries

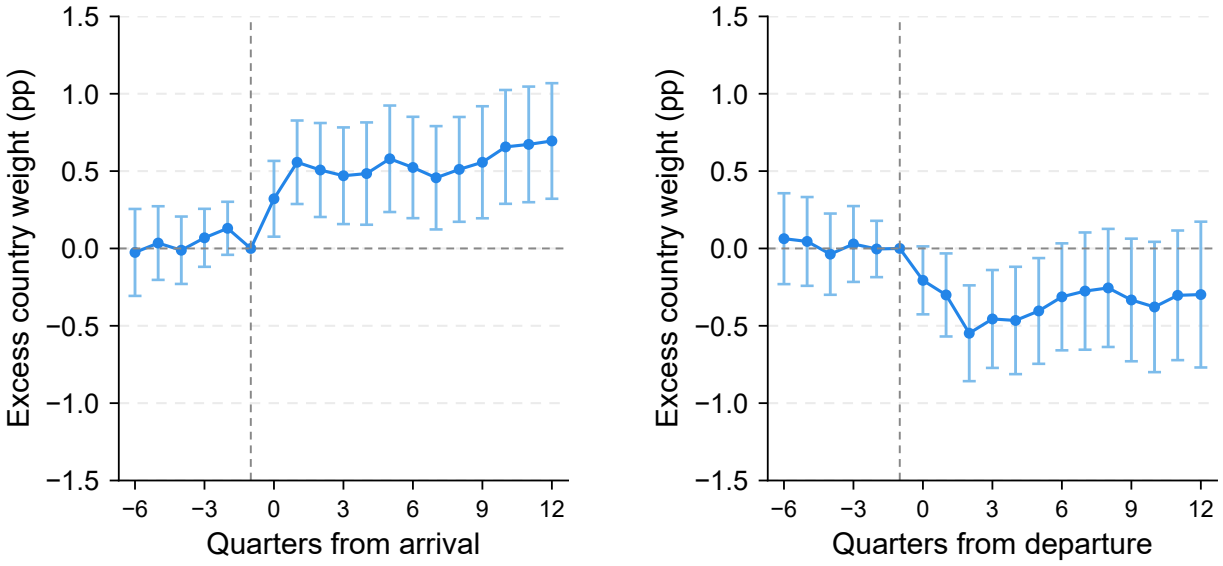
| Dependent variable | Adjusted country return | | |
|---|---|---|---|
| Units | Annualized bps | | |
| | (1) | (2) | (3) |
| Specification | Shared border | Official language | Social connectedness |
| Foreign education × tie ($\theta$) | $-484.20^{***}$ | $-230.69^{***}$ | $-109.98^{***}$ |
| | (158.36) | (67.31) | (42.05) |
| Tie ($\delta$) | $299.90^{**}$ | $155.35^{**}$ | 67.17 |
| | (134.65) | (75.45) | (43.53) |
| Foreign-educated share ($\gamma$) | −28.66 | 1.14 | $826.14^{**}$ |
| | (32.33) | (33.18) | (330.63) |
| Missing-tie share (MissingShare) | 8.29 | 38.62 | $-333.29^{*}$ |
| | (45.48) | (45.98) | (174.15) |
| Log country stock count | $-62.09^{***}$ | $-62.27^{***}$ | $-65.81^{***}$ |
| | (11.73) | (11.73) | (11.60) |
| Log team size | $-66.44^{***}$ | $-67.15^{***}$ | $-60.96^{***}$ |
| | (21.32) | (21.32) | (22.16) |
| Unknown-education share | 59.19 | 60.97 | 43.81 |
| | (84.35) | (85.02) | (83.59) |
| Female share (known gender) | $-95.46^{**}$ | $-96.27^{**}$ | $-103.92^{**}$ |
| | (45.61) | (45.61) | (47.46) |
| Unknown-gender share | 54.04 | 47.36 | 61.07 |
| | (69.76) | (69.79) | (71.85) |
| CFA share (observed biographies) | 43.11 | 42.28 | 44.36 |
| | (30.85) | (30.91) | (31.05) |
| Unknown-biography share | 22.70 | 30.46 | 7.04 |
| | (119.49) | (119.55) | (114.17) |
| Mean log(1 + experience) | $-44.05^{***}$ | $-44.47^{***}$ | $-38.68^{**}$ |
| | (15.57) | (15.60) | (16.04) |
| Fund × country FE | Yes | Yes | Yes |
| Country × quarter FE | Yes | Yes | Yes |
| Observations | 936,076 | 936,076 | 876,532 |
| Fund clusters | 1,423 | 1,423 | 1,421 |

Notes: Equation (4); the tie averages are defined in Section 4.2. Each column uses one familiarity measure. Column 1 is a shared border; column 2 is a common official language; column 3 is log social connectedness from the October 2021 snapshot, without standardization or centering. Its education-share and missing-share coefficients refer to log connectedness zero; at mean log connectedness 8.107, the comparable education-share level is −65.38 bps. The text translates the raw gradient into a standard-deviation comparison. Foreign-educated managers' ties use their non-U.S. schooling countries; U.S.-educated managers' ties use the United States. Rows report the coefficients of actual regressors in Equation (4). The first row is $\theta$, the coefficient on ForeignTie: the team average of each manager's foreign-education indicator interacted with that manager's tie, not foreign share times the team-average tie. It directly tests the foreign-minus-U.S. difference in slopes. The tie coefficient $\delta$ gives the U.S.-educated slope; the foreign-educated slope is their sum. All direct schooling destinations are excluded. Countries receive equal weight within fund-quarter. Standard errors are clustered by economic fund. Samples contain 1,424/1,422 ISINs and 1,423/1,421 economic fund clusters for discrete/SCI measures. Standard errors appear in parentheses below coefficients. $^{*}$, $^{**}$ and $^{***}$ denote two-sided significance at 10%, 5% and 1%.

**Table 5:** Education links and excess country weights

| Dependent variable | Country overweight | | | |
|---|---|---|---|---|
| Units | Percentage points | | | |
| | (1) | (2) | (3) | (4) |
| Specification | Any link | Link share | Any link | Link share |
| Any manager educated in country | 1.108*** | — | 1.091*** | — |
| | (0.220) | | (0.219) | |
| Share of managers educated in country | — | 2.626*** | — | 2.590*** |
| | | (0.459) | | (0.454) |
| Female share (known gender) | 0.019 | 0.025 | — | — |
| | (0.043) | (0.042) | | |
| Unknown-gender share | 0.087 | 0.085 | — | — |
| | (0.060) | (0.059) | | |
| CFA share (observed biographies) | −0.030 | −0.032 | — | — |
| | (0.032) | (0.032) | | |
| Unknown-biography share | −0.116 | −0.122 | — | — |
| | (0.080) | (0.080) | | |
| Mean log(1 + experience) | 0.014 | 0.013 | — | — |
| | (0.014) | (0.014) | | |
| Missing team-trait record | −0.060 | −0.067 | — | — |
| | (0.103) | (0.103) | | |
| Fund FE | Yes | Yes | No | No |
| Country × month FE | Yes | Yes | Yes | Yes |
| Fund × month FE | No | No | Yes | Yes |
| Observations | 5,613,030 | 5,613,030 | 5,611,449 | 5,611,449 |
| Fund clusters | 1,663 | 1,663 | 1,661 | 1,661 |

Notes: The outcome is country weight minus benchmark weight, in pp, January 1999–December 2024. Any link is an indicator; link share is the fraction of managers educated in the country. Fund-month effects in columns 3–4 absorb team traits, shown as dashes rather than zeros. Observations have equal weight. Standard errors are clustered by fund identifier. Standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%.




(a) Arrival of the first education-linked manager

(b) Departure of the last education-linked manager

Figure 2: Excess country weight around manager arrivals and departures

Notes: This figure plots event-study coefficients for the fund's country weight minus the benchmark's country weight (percentage points) around the quarter in which the fund gains its first manager with non-U.S. education in the country (left) or loses the last such manager (right). Windows run up to twelve quarters and end if the status reverses; events without a six-quarter clean pre-period and overlapping windows are removed (977 arrivals and 793 departures). Regressions include fund × country, country × quarter and fund × quarter fixed effects, with quarter −1 as the reference. Bars are 95% confidence intervals with standard errors clustered by fund.

**Table 6:** Stock selection in education countries relative to U.S.-educated teams

| Dependent variable | Adjusted country return | |
|---|---|---|
| Units | Annualized bps | |
| | (1) | (2) |
| Specification | OLS | WLS |
| Foreign-educated share ($\gamma$, outside gap) | −46.31 | −31.20 |
| | (31.35) | (28.87) |
| Education-country link ($\beta$, local increment) | 46.52 | 36.77 |
| | (49.90) | (47.44) |
| Log country stock count | −57.23*** | −52.91*** |
| | (11.42) | (11.36) |
| Log team size | −67.97*** | −38.56* |
| | (21.46) | (19.84) |
| Unknown-education share | 25.76 | 2.85 |
| | (84.74) | (78.94) |
| Female share (known gender) | −96.56** | −117.46*** |
| | (44.95) | (37.52) |
| Unknown-gender share | 94.11 | 132.75 |
| | (86.85) | (81.54) |
| CFA share (observed biographies) | 51.48* | 47.34 |
| | (30.20) | (29.64) |
| Unknown-biography share | −39.73 | −45.65 |
| | (123.43) | (115.07) |
| Mean log(1 + experience) | −52.48*** | −43.23*** |
| | (15.43) | (15.14) |
| Fund × country FE | Yes | Yes |
| Country × quarter FE | Yes | Yes |
| Observations | 974,924 | 974,924 |
| Fund clusters | 1,428 | 1,428 |

Notes: Equation (7) uses all held foreign countries and the same size/momentum-adjusted next-three-month return. $\mathbb{1}^{\text{Link}} = 1$ if a current manager studied in the country; ForeignShare is the fraction of known-education managers with foreign schooling. The linked-country comparison sets $\mathbb{1}^{\text{Link}} = 1, \text{ForeignShare} = 1$ against $\mathbb{1}^{\text{Link}} = 0, \text{ForeignShare} = 0$. The $\mathbb{1}^{\text{Link}}$ slope alone is not that comparison. Countries have equal weight within each fund-quarter; WLS also weights by inverse fund residual variance. Outcomes cover January 2000–December 2024; 1,429 identifiers map to 1,428 economic-fund clusters. Standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%. The focal comparison is $\beta + \gamma$: an entirely foreign-educated team investing in an education country versus an entirely U.S.-educated team in the same market. The estimates are 0.21 (SE 56.61) and 5.57 (51.39) bps in columns 1 and 2, using joint covariance.

**Table 7:** Local expertise and high-conviction stock selection

| Dependent variable | Portfolio excess return | | | |
|---|---|---|---|---|
| Units | Annual alpha in bps; factor loadings dimensionless | | | |
| | (1) | (2) | (3) | (4) |
| Specification | Local top | Local ordinary | Outside top | Outside ordinary |
| Alpha (annualized bps) | 400.2*** | 40.1 | 13.4 | 38.1 |
| | (133.3) | (95.9) | (54.8) | (39.9) |
| Global ex-U.S. benchmark excess return | 0.148 | 0.135* | 0.208*** | 0.183*** |
| | (0.106) | (0.076) | (0.043) | (0.032) |
| Developed ex-U.S. market | 0.778*** | 0.723*** | 0.638*** | 0.647*** |
| | (0.097) | (0.069) | (0.040) | (0.029) |
| Developed ex-U.S. size | −0.012 | −0.146*** | 0.059** | −0.048*** |
| | (0.059) | (0.043) | (0.024) | (0.018) |
| Developed ex-U.S. value | −0.011 | 0.021 | 0.063** | −0.013 |
| | (0.068) | (0.049) | (0.028) | (0.020) |
| Developed ex-U.S. investment | 0.030 | −0.059 | −0.080** | −0.029 |
| | (0.093) | (0.067) | (0.038) | (0.028) |
| Developed ex-U.S. profitability | 0.015 | −0.057 | 0.055 | −0.008 |
| | (0.093) | (0.067) | (0.038) | (0.028) |
| Emerging-market market | 0.103** | 0.175*** | 0.192*** | 0.183*** |
| | (0.044) | (0.031) | (0.018) | (0.013) |
| Emerging-market size | 0.000 | −0.029 | 0.023 | −0.040** |
| | (0.064) | (0.046) | (0.026) | (0.019) |
| Emerging-market value | −0.011 | −0.019 | −0.065** | −0.049** |
| | (0.066) | (0.047) | (0.027) | (0.020) |
| Emerging-market investment | −0.041 | 0.001 | 0.129*** | −0.020 |
| | (0.077) | (0.055) | (0.032) | (0.023) |
| Emerging-market profitability | −0.064 | 0.041 | 0.073** | 0.072*** |
| | (0.085) | (0.061) | (0.035) | (0.025) |
| Observations | 300 | 300 | 300 | 300 |

Notes: Quarter-end active stock weights identify top-quartile and ordinary holdings. Portfolios are value-weighted and reweighted to benchmark country shares, January 2000–December 2024. Annual alpha is $12 \times 10^4 \alpha_p$ basis points; factor loadings are dimensionless. Individual regressions use conventional OLS standard errors. Direct alpha differences and Wald tests use the robust stacked-system covariance without calendar-month clustering. Benchmark annual excess return is 4.30%. Standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%. The local top-minus-ordinary alpha is 360.1 bps (SE 137.1, $p = 0.009$); the outside counterpart is −24.7 (SE 60.3, $p = 0.682$). Local-minus-outside equality tests give $p = 0.002$ for top and $p = 0.981$ for ordinary portfolios. Figure 3 displays these four tests.

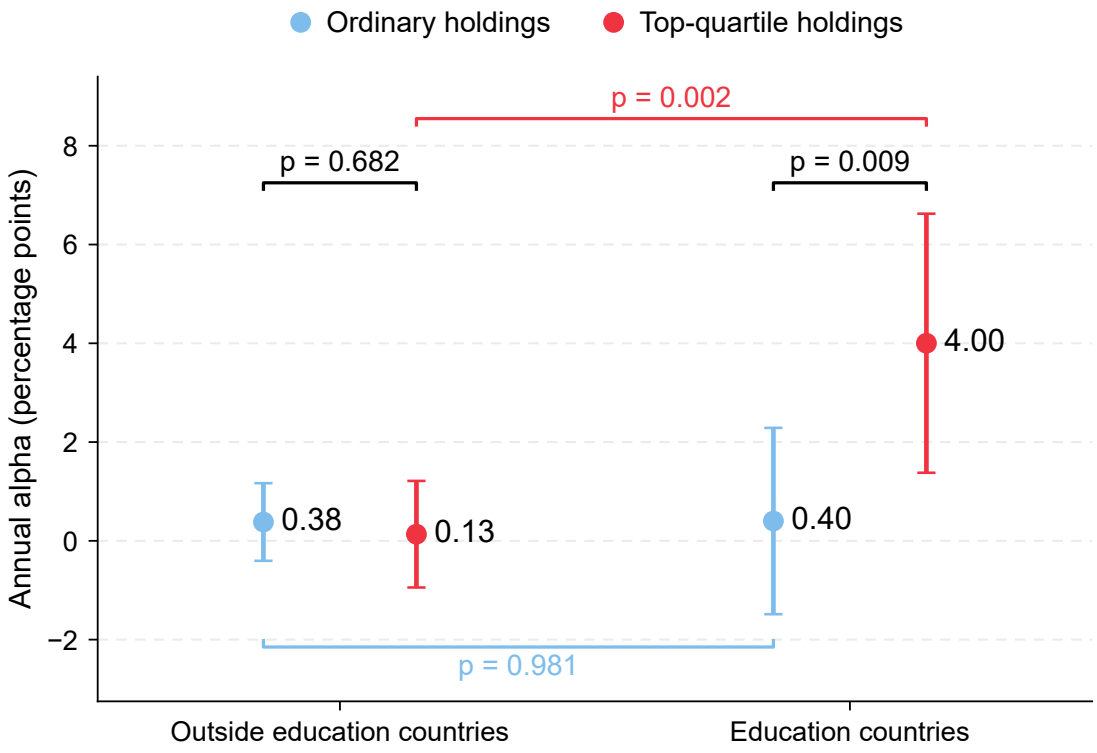
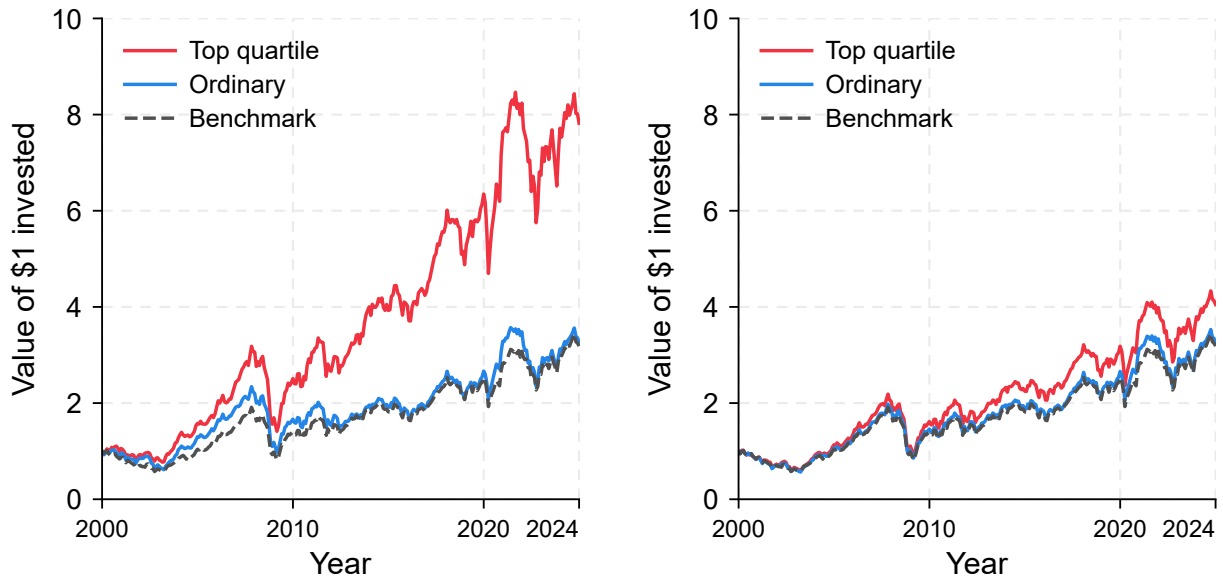



Figure 3: Conviction sorting: portfolio alphas and direct comparisons

Notes: The figure displays the four regressions in Table 7, using January 2000–December 2024. Alpha and its 95% confidence interval are annualized percentage points. Top denotes the highest within-country I-measure quartile; ordinary denotes the other three quartiles. The brackets report all four Wald tests: top versus ordinary within each country group, and education versus outside countries within each conviction group. Individual intervals use conventional OLS inference; differences use a robust stacked covariance. Country portfolios are value-weighted and reweighted to the common benchmark country mix.




(a) Education countries

(b) Outside education countries

Figure 4: Cumulative returns of conviction-sorted portfolios

Notes: Each panel compounds the monthly gross returns of the same top and ordinary strategies used in Table 7. One dollar is invested immediately before January 2000; all 300 monthly returns through December 2024 are included. The dashed line is the common Morningstar Global ex-U.S. benchmark. These are returns on country-reweighted disclosed-holdings strategies, not actual fund NAV, capital contributions or cumulative risk-adjusted alpha. The two panels use the same vertical scale.

**Table 8:** Actual equity-capital contributions of education-country holdings

| Dependent variable | Excess-return contribution | | |
|---|---|---|---|
| Units | Annual alpha in bps; factor loadings dimensionless | | |
| | (1) | (2) | (3) |
| Specification | All local | Top local | Ordinary local |
| Alpha (annualized bps) | −9.8 | 0.3 | −10.1* |
| | (10.8) | (6.1) | (5.8) |
| Global ex-U.S. benchmark excess return | 0.015* | 0.008 | 0.007 |
| | (0.009) | (0.005) | (0.005) |
| Developed ex-U.S. market | 0.078*** | 0.035*** | 0.043*** |
| | (0.008) | (0.004) | (0.004) |
| Developed ex-U.S. size | −0.018*** | −0.005* | −0.013*** |
| | (0.005) | (0.003) | (0.003) |
| Developed ex-U.S. value | 0.021*** | 0.008*** | 0.013*** |
| | (0.006) | (0.003) | (0.003) |
| Developed ex-U.S. investment | −0.013* | −0.003 | −0.010** |
| | (0.008) | (0.004) | (0.004) |
| Developed ex-U.S. profitability | 0.029*** | 0.013*** | 0.015*** |
| | (0.007) | (0.004) | (0.004) |
| Emerging-market market | −0.001 | −0.004** | 0.003* |
| | (0.004) | (0.002) | (0.002) |
| Emerging-market size | 0.014*** | 0.006** | 0.008*** |
| | (0.005) | (0.003) | (0.003) |
| Emerging-market value | 0.008 | 0.000 | 0.007** |
| | (0.005) | (0.003) | (0.003) |
| Emerging-market investment | −0.007 | 0.000 | −0.007** |
| | (0.006) | (0.004) | (0.003) |
| Emerging-market profitability | −0.006 | −0.003 | −0.003 |
| | (0.007) | (0.004) | (0.004) |
| Observations | 300 | 300 | 300 |

Notes: Columns 1–3 report capital-weighted excess contributions per dollar of covered disclosed equity, including U.S. equities. Local capital shares average 8.71% overall, 3.62% top and 5.10% ordinary; raw annual contributions are 57.5, 27.3 and 30.1 bps, respectively. All use 300 months, January 2000–December 2024. Loadings are dimensionless; alphas are annualized bps with conventional OLS standard errors. Actual country weights and changing monthly capital shares differ from the benchmark country mix used for the normalized strategies in Table 7. These holdings outcomes are distinct from NAV. Standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%.

**Table 9:** Country performance and education-related hiring

| Dependent variable | Direct-country appointment | Bordering-country appointment |
|---|---|---|
| Units | Quarterly appointment probability, bps | |
| | (1) | (2) |
| Prior country-market loss (pp) | 0.043** | −0.014 |
| | (0.021) | (0.028) |
| Prior own country underperformance (pp) | 0.048** | 0.036 |
| | (0.024) | (0.023) |
| Log prior country weight | 1.226 | −1.227 |
| | (0.818) | (0.920) |
| Log prior country stock count | 0.834 | 2.061 |
| | (1.520) | (1.527) |
| Incumbent direct-schooling share | −344.225*** | 5.472 |
| | (40.964) | (14.110) |
| Incumbent foreign-border-schooling share | 5.629 | −399.461*** |
| | (13.202) | (43.656) |
| Fund × country FE | Yes | Yes |
| Fund × quarter FE | Yes | Yes |
| Observations | 978,521 | 978,521 |
| Fund clusters | 1,540 | 1,540 |

Notes: Equation (11). Appointments use corrected schooling at all degree levels and verified spell starts. Column 1 indicates an entrant educated in the held country. Column 2 indicates a foreign-educated entrant who studied in a bordering country but not in the held country. Both outcomes are indicators multiplied by 10,000, so coefficients are probability basis points; one basis point is 0.01 percentage point. Return predictors remain in unscaled percentage points. The loss measures are minus prior returns in percentage points; positive values mean weaker performance. Country-market returns compound twelve preceding months; own underperformance averages annualized country-market-adjusted returns over the preceding four quarters, requiring at least three. The remaining controls are measured before appointment. Incumbent shares divide by all team members; team size and overall missing education are absorbed by fund-quarter effects. Each fund-quarter receives equal weight across its countries. Appointments span 2001Q1–2024Q4. Standard errors appear in parentheses below coefficients and are clustered by economic fund. *, ** and *** denote two-sided significance at 10%, 5% and 1%.

**Table 10:** Local, outside-country and NAV performance following linked appointments

| Dependent variable | Adjusted local return | Adjusted outside return | Factor-adjusted NAV |
|---|---|---|---|
| Units | Basket bps/year | Basket bps/year | Fund bps/year |
| | (1) | (2) | (3) |
| Linked appointment × Post | 228.18*** | −14.94 | 36.82 |
| | (80.48) | (33.93) | (37.37) |
| Log team size | −945.39** | −583.91*** | −200.67 |
| | (460.95) | (176.73) | (242.97) |
| Unknown-education share | 1427.32* | 6.06 | 496.76** |
| | (763.87) | (225.07) | (247.31) |
| Log lagged assets (USD millions) | −20.11 | −113.83 | −114.38* |
| | (115.84) | (70.79) | (69.29) |
| Assets spline basis 1 | −103.60 | 60.01 | −96.08 |
| | (288.40) | (136.72) | (167.19) |
| Assets spline basis 2 | −591.91 | −896.10 | −33.99 |
| | (1823.30) | (756.91) | (937.12) |
| Team-size spline basis 1 | 928.86 | 938.84** | 403.82 |
| | (1005.21) | (383.95) | (523.96) |
| Team-size spline basis 2 | −2699.45 | −3006.56* | −1414.81 |
| | (4093.10) | (1584.55) | (2156.91) |
| Female share (known gender) | −69.39 | −16.20 | 8.81 |
| | (320.13) | (146.05) | (165.84) |
| Unknown-gender share | −1155.27* | −368.35 | −377.52 |
| | (614.03) | (318.51) | (245.47) |
| CFA share (observed biographies) | 346.36 | 160.48* | 190.81 |
| | (270.98) | (96.26) | (135.54) |
| Unknown-biography share | 250.16 | 264.22 | −49.08 |
| | (894.74) | (371.03) | (325.80) |
| Mean log(1 + experience) | −290.48** | 4.85 | −56.31 |
| | (142.55) | (50.04) | (64.65) |
| Prior-year relative NAV return (pp) | −25.32*** | −27.24*** | −35.58*** |
| | (8.25) | (3.41) | (3.86) |
| Log(1 + prior relative volatility) | 307.59 | −55.50 | −81.62 |
| | (210.11) | (72.74) | (82.49) |
| Prior-quarter flow (pp) | $-8.79 \times 10^{-5}$ | $-3.56 \times 10^{-4***}$ | $-2.00 \times 10^{-4***}$ |
| | $(1.84 \times 10^{-4})$ | $(7.67 \times 10^{-5})$ | $(6.24 \times 10^{-5})$ |
| Missing prior return history | 302.45 | 16.42 | 131.43 |
| | (501.24) | (181.38) | (205.46) |
| Missing prior-quarter flow | 169.39 | −225.40 | −451.38* |
| | (504.41) | (243.61) | (242.37) |
| Lagged expense ratio (bps) | 3.17 | −1.36 | −0.19 |
| | (3.93) | (1.13) | (1.65) |
| Lagged log turnover | 94.77 | 161.03 | 358.33*** |
| | (251.56) | (103.32) | (108.65) |
| Top-ten equity concentration | −904.39 | −371.90 | 290.82 |
| | (1160.77) | (553.58) | (565.07) |
| Missing lagged expense ratio | 307.28 | −121.37 | −322.34 |
| | (487.00) | (193.21) | (250.14) |
| Missing lagged turnover | 15.94 | 33.22 | 145.02 |
| | (283.24) | (112.15) | (119.25) |
| Fund × matched-case FE | Yes | Yes | Yes |
| Matched-case × quarter FE | Yes | Yes | Yes |
| Observations | 13,237 | 13,237 | 13,237 |
| Country-appointment cases | 511 | 511 | 511 |
| Hiring funds | 267 | 267 | 267 |
| Fund clusters | 610 | 610 | 610 |

Notes: Equation (12). All columns use identical observations and controls. Linked appointments follow disappointing country-market or own country-relative performance. Comparison funds hold the same country under the same benchmark in the same appointment quarter, matched on prior conditions, with no appointment that quarter. Pre- and post-periods each cover four quarters, excluding quarter zero and requiring at least three common quarters per side. Geography is fixed at appointment for both groups. Equal hiring-fund-quarter weights are divided across cases, hiring/comparison sides, phases and observed quarters. The concentration-missingness control is absorbed. Basket returns are characteristic-adjusted; NAV uses the headline factor adjustment. Basket coefficients have separate capital denominators and do not add to NAV. Returns end in 2024Q4. Fund-clustered standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%.

**Table 11:** Persistence of the local gain following linked appointments

| Dependent variable<br>Units | Adjusted local return<br>Basket bps/year<br>(1) | Factor-adjusted NAV<br>Fund bps/year<br>(2) |
|---|---|---|
| Linked appointment × Year 1 | 194.80** | −13.90 |
| | (78.39) | (38.08) |
| Linked appointment × Year 2 | −10.54 | 12.12 |
| | (83.83) | (40.61) |
| Linear combination of the two appointment coefficients | | |
| Year 2 minus Year 1 | −205.34** | 26.03 |
| | (96.72) | (34.02) |
| Log team size | −551.22 | −91.36 |
| | (347.78) | (225.61) |
| Unknown-education share | 1274.38** | 390.96 |
| | (499.16) | (237.49) |
| Log lagged assets (USD millions) | −56.86 | −40.56 |
| | (99.45) | (52.69) |
| Assets spline basis 1 | 99.46 | −218.64* |
| | (231.40) | (124.96) |
| Assets spline basis 2 | −1878.87 | 757.42 |
| | (1395.73) | (725.05) |
| Team-size spline basis 1 | 281.64 | −141.41 |
| | (879.99) | (435.46) |
| Team-size spline basis 2 | −889.26 | 921.12 |
| | (3750.55) | (1707.10) |
| Female share (known gender) | −110.56 | −26.70 |
| | (271.66) | (134.32) |
| Unknown-gender share | −517.29 | −195.35 |
| | (486.74) | (179.67) |
| CFA share (observed biographies) | 329.78 | 105.77 |
| | (217.80) | (97.87) |
| Unknown-biography share | −153.07 | −255.32 |
| | (624.31) | (279.48) |
| Mean log(1 + experience) | −302.30*** | −118.01** |
| | (110.66) | (55.58) |
| Prior-year relative NAV return (pp) | −22.98*** | −29.75*** |
| | (7.56) | (3.66) |
| Log(1 + prior relative volatility) | 173.83 | −23.87 |
| | (152.43) | (67.05) |
| Prior-quarter flow (pp) | $-1.12 \times 10^{-4}$ | $-1.40 \times 10^{-4}$** |
| | $(1.68 \times 10^{-4})$ | $(5.45 \times 10^{-5})$ |
| Missing prior return history | 79.59 | 136.21 |
| | (518.35) | (189.33) |
| Missing prior-quarter flow | −284.37 | −887.02*** |
| | (597.20) | (292.45) |
| Lagged expense ratio (bps) | 0.91 | 0.11 |
| | (3.07) | (1.45) |
| Lagged log turnover | −54.73 | 304.88*** |
| | (213.12) | (109.01) |
| Top-ten equity concentration | −1821.10* | 171.01 |
| | (1013.13) | (487.20) |
| Missing lagged expense ratio | 479.59 | −219.53 |
| | (449.77) | (225.04) |
| Missing lagged turnover | −165.75 | 89.68 |
| | (198.16) | (127.18) |
| Fund × matched-case FE | Yes | Yes |
| Matched-case × quarter FE | Yes | Yes |
| Observations | 15,862 | 15,862 |
| Country-appointment cases | 430 | 430 |
| Hiring funds | 231 | 231 |
| Fund clusters | 514 | 514 |

Notes: Equation (12) with separate hiring interactions for quarters +1 to +4 and +5 to +8; quarters −4 to −1 are the baseline and quarter zero is omitted. Both columns use the same cases, observations, controls and original matched non-hiring funds, requiring at least three observed quarters in each phase. Appointments end by 2022Q4 and returns by 2024Q4. Equal hiring-fund-quarter weights are divided across cases, hiring/comparison sides, phases and observed quarters. The concentration-missingness control is absorbed. The year difference uses the joint covariance. Standard errors appear in parentheses below coefficients and are clustered by fund. *, ** and *** denote two-sided significance at 10%, 5% and 1%.

**Table 12:** Prior records at appointment

| Dependent variable | Prior adjusted return | Prior fund flow |
|---|---|---|
| Units | Annualized basket bps | Quarterly pp |
| | (1) | (2) |
| Foreign-educated appointee | −86.41** | −1.83* |
| | (38.18) | (1.06) |
| Log pre-hire destination team size | 6.17 | 0.30 |
| | (65.17) | (1.02) |
| Pre-hire destination unknown education | 246.69 | 1.10 |
| | (172.46) | (2.91) |
| Log origin team size | −13.50 | −2.83** |
| | (49.99) | (1.18) |
| Origin-team unknown education | 66.20 | −7.84 |
| | (287.65) | (7.12) |
| Log origin country stock count | −80.15 | −1.47 |
| | (63.12) | (1.14) |
| Appointee: top-100 school | 54.42 | −0.89 |
| | (35.41) | (0.73) |
| Appointee: school ranked 101–500 | 106.35** | 0.10 |
| | (50.63) | (1.10) |
| Appointee: female | −21.00 | 0.83 |
| | (33.75) | (0.85) |
| Appointee: unknown gender | 58.50 | 1.30 |
| | (85.40) | (2.53) |
| Appointee: CFA | −56.18* | 1.91** |
| | (31.32) | (0.78) |
| Log(1 + manager experience) | 50.49* | −1.89*** |
| | (29.18) | (0.60) |
| Prior origin relative NAV (pp) | — | 1.73*** |
| | | (0.47) |
| Prior benchmark: China | 238.93 | — |
| | (246.40) | |
| Prior benchmark: Developed Asia-Pacific | −1851.57* | — |
| | (969.62) | |
| Prior benchmark: Developed Asia-Pacific ex Japan | 238.91* | — |
| | (139.68) | |
| Prior benchmark: Developed Europe | 569.03*** | — |
| | (193.48) | |
| Prior benchmark: Emerging Americas | −358.95** | — |
| | (176.43) | |
| Prior benchmark: Emerging markets | 34.22 | — |
| | (104.25) | |
| Prior benchmark: Global growth | 336.90* | — |
| | (192.76) | |
| Prior benchmark: Global large cap | −55.15 | — |
| | (242.52) | |
| Prior benchmark: Global | −82.44 | — |
| | (127.64) | |
| Prior benchmark: Global small/mid cap | 14.81 | — |
| | (187.87) | |
| Prior benchmark: Global value | −107.66 | — |
| | (228.04) | |
| Prior benchmark: Global ex-U.S. growth | 7.68 | — |
| | (120.20) | |
| Prior benchmark: Global ex-U.S. small/mid cap | 180.53 | — |
| | (135.85) | |
| Prior benchmark: Global ex-U.S. value | −170.82 | — |
| | (112.42) | |
| Prior benchmark: Japan | 3214.77 | — |
| | (2386.77) | |
| Hiring-fund FE | Yes | Yes |
| Appointment-year FE | Yes | Yes |
| Observations | 1,321 | 1,322 |
| Hiring-fund clusters | 300 | 300 |

Notes: Equation (13). Reference group: U.S.-educated appointees. Returns include all supported non-U.S. countries with size/past-return adjustment and equal country weights. Flows are benchmark-relative. Omitted benchmark: Global ex-U.S. Equal appointment weights; hiring-fund-clustered standard errors in parentheses. *, ** and *** denote two-sided significance at 10%, 5% and 1%.

**Table 13:** Demonstrated performance in countries needing coverage

| Dependent variable | Prior adjusted return in needed country |
|---|---|
| Units | Annualized basket bps |
| | (1) |
| Own schooling link to needed country | −218.86** |
| | (103.19) |
| Foreign-educated appointee | −55.14 |
| | (35.89) |
| Log pre-hire destination team size | 9.54 |
| | (74.69) |
| Pre-hire destination unknown education | 1035.08*** |
| | (257.23) |
| Log origin team size | 1.43 |
| | (55.61) |
| Origin-team unknown education | 113.97 |
| | (254.52) |
| Log origin country stock count | −193.92** |
| | (76.70) |
| Appointee: top-100 school | −46.52 |
| | (34.20) |
| Appointee: school ranked 101–500 | 6.88 |
| | (47.37) |
| Appointee: female | 55.12 |
| | (44.47) |
| Appointee: unknown gender | −23.44 |
| | (126.33) |
| Appointee: CFA | −21.10 |
| | (32.48) |
| Log(1 + manager experience) | 57.99 |
| | (36.41) |
| Prior origin relative NAV (pp) | 245.86*** |
| | (22.87) |
| Continuing-team unknown education | −582.72** |
| | (251.81) |
| Hiring-fund × country FE | Yes |
| Country × appointment-year FE | Yes |
| Country-appointment observations | 9,446 |
| Appointments | 1,083 |
| Hiring-fund clusters | 257 |

Notes: Equation (14). The outcome is prior team performance in the same needed country over four full pre-hire quarters. The own-schooling link identifies the recruit's exact education country. The linked foreign-minus-U.S. comparison is −274.00 (SE 100.61), the sum of the two focal slopes with joint covariance. This model conditions on prior overall NAV performance. Each appointment has equal total weight across supported countries. The 152 linked observations cover 145 appointments at 85 funds. Hiring-fund-clustered standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%.

**Table 14:** Career evaluation and local performance

| Dependent variable | Departure | New assignment | Departure | New assignment |
|---|---|---|---|---|
| Units | | Probability in pp | | |
| | (1) | (2) | (3) | (4) |
| Specification | Baseline | Baseline | With local performance | With local performance |
| Foreign-educated × fund return (pp) | 0.145*** | −0.107** | 0.138*** | −0.108** |
| | (0.044) | (0.053) | (0.044) | (0.054) |
| Observed education-country holdings | — | — | −0.17 | 0.65* |
| | | | (0.35) | (0.39) |
| Local holdings × local return (pp) | — | — | 0.017 | 0.002 |
| | | | (0.013) | (0.016) |
| Log recorded fund spell length | 2.70*** | −2.43*** | 2.71*** | −2.43*** |
| | (0.28) | (0.35) | (0.28) | (0.35) |
| Female × fund return (pp) | 0.071 | −0.029 | 0.071 | −0.030 |
| | (0.056) | (0.076) | (0.056) | (0.076) |
| Unknown gender × fund return (pp) | 0.006 | 0.468** | 0.007 | 0.469** |
| | (0.139) | (0.210) | (0.139) | (0.210) |
| CFA × fund return (pp) | −0.050 | −0.044 | −0.050 | −0.044 |
| | (0.043) | (0.050) | (0.043) | (0.050) |
| Unknown biography × fund return (pp) | −0.107 | −0.577 | −0.109 | −0.580 |
| | (0.248) | (0.380) | (0.249) | (0.380) |
| Log(1 + experience) × fund return (pp) | 0.045 | −0.027 | 0.045 | −0.027 |
| | (0.029) | (0.036) | (0.029) | (0.036) |
| Log(1 + manager experience) | −3.15*** | 1.74*** | −3.15*** | 1.73*** |
| | (0.41) | (0.56) | (0.41) | (0.56) |
| Fund × quarter FE | Yes | Yes | Yes | Yes |
| Fund × manager FE | Yes | Yes | Yes | Yes |
| Observations | 154,677 | 154,677 | 154,677 | 154,677 |
| Fund clusters | 1,334 | 1,334 | 1,334 | 1,334 |

Notes: All columns estimate Equation (15) separately for departures and new assignments. Columns 3–4 add the observed-local-holdings indicator and its interaction with local performance. Outcomes are next-quarter departures and new assignments, in percentage points. Prior-quarter benchmark-relative fund return and local return are in percentage points; interaction coefficients are percentage points per return percentage point. The foreign interaction is a difference in performance slopes relative to U.S.-educated teammates, not an absolute exit probability. Managers receive inverse team-size weights so each fund-quarter has equal total weight. Standard errors are clustered by economic fund. Standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%.

# A Descriptive statistics

Tables A1–A4 describe fund mandates, holdings and recorded schooling links. Every test draws from the same manuscript roster; the estimation subsets differ with outcome availability and the support needed for each comparison.

## A.1 The within-fund appointment trend

Figure 1 describes the prevalence of foreign-educated managers on current fund teams. Here we examine new appointments. An appointment is a new manager spell at an existing observed team; initial appearances at a fund's launch or the beginning of its history are excluded. The 6,303 known-education appointments include assignments within fund families and moves between firms. The foreign-educated share rises from 32.3% in 2000–2004 to 42.5% in 2020–2024. This supplementary regression asks whether the rise also occurs within funds, rather than reflecting only changes in which funds appoint managers.

To distinguish a rise within funds from a change in the mix of funds, we estimate

$$H_{jq} = \alpha_j + \tau t_q + \Gamma' X_{jq} + e_{jq}. \tag{16}$$

Here $H_{jq}$ is the percentage of known-education appointees who are foreign-educated, measured from 0 to 100. Calendar time $t_q$ is the year of appointment quarter $q$ minus 2012. Controls $X$ contain the size and five traits of the hiring fund's team before the appointments and the unknown-education fraction among new appointees. Observations are fund-quarters with known-education appointments, weighted by their number, with fund effects and fund-clustered errors. The focal coefficient $\tau$ is the within-fund appointment-share change per year: +0.60 percentage points per year (+6.0 per decade), significant at 1%, on 4,072 fund-quarters at 1,218 funds (Table A5). Column 2 omits the five team traits on the same observations and estimates +0.57 percentage points per year, also significant at 1%. The within-fund increase is similar with or without those traits.

# B Supplementary results

The appendix follows the paper's evidence chain. We first examine mandate relevance and the NAV comparison's weighting, controls and appointment timing, followed by the outside-country time profile and familiarity results with raw country returns. We then examine a possible commercial payoff, recruits' comparability and country coverage in careers. Finally, local-portfolio checks assess the concentration of investment gains. Panel models use economic-fund clustering; portfolio alphas use the time-series inference in Section 4.5.

## B.1 Country relevance measured before appointment

This extension of Equation (3) tests whether the performance association is more favorable when managers' schooling countries have greater benchmark relevance at appointment. Let $a_{ih}$ denote benchmark capital in manager $i$'s distinct non-U.S. education countries, averaged over the four quarter-ends strictly before appointment $h$. Schooling includes undergraduate and graduate degrees. The denominator is total benchmark capital, including U.S. equities, and multiple degrees in the same country count once. All four quarters must have at least 95% of benchmark weight mapped to countries; a 105% upper bound allows rounding. Missing pre-appointment coverage is classified as unknown. The recorded benchmark identifier is static, so $a_{ih}$ uses historical weights of that index rather than a verified historical mandate.

The added regressor $\text{Relevance}_{jq}$ is the sum of measured $a_{ih}$ across current foreign-educated managers divided by the number of current managers with known education; unmeasured contributions are set to zero and identified separately by $\text{UnknownRelevance}_{jq}$, the share foreign-educated with unknown relevance. We add $\theta\text{Relevance}_{j,q-1}$ and $\eta\text{UnknownRelevance}_{j,q-1}$ as separate terms to Equation (3), with its existing $\rho\text{ForeignShare}_{j,q-1}$ retained. Unknown education remains a distinct control. Relevance is fixed within each appointment spell; changes in the current team's membership and composition generate variation within

funds. No fund-month is dropped for missing relevance, which affects 50.4% of foreign manager-quarter observations.

Table A6, column 2, also includes foreign education-country shares. A manager with $K$ distinct foreign education countries contributes $1/K$ to each, aggregated over the same team denominator. Their sum is ForeignShare, so the UK share is omitted; Lebanon is absorbed by the fixed effects. Accordingly, $\rho$ in this column is conditional on the omitted country and zero measured relevance, not the main paper's average foreign-share comparison. The coefficient of interest is $\theta$, which asks whether a given foreign-educated share performs better when its schooling is more relevant to the mandate. The additional controls separate differences in educational geography from relevance: for example, the team share educated in Japan is distinct from how important Japan was to the benchmark before those managers joined. The change from column 1 to column 2 therefore reflects conditioning on educational geography, rather than a new sample or risk model. The positive foreign-share coefficients in these augmented models describe the reference point of zero measured relevance; they are not the average share comparison in Table 2. The raw units of $\theta$ are annual NAV basis points per unit of team relevance. The interquartile contrast is $0.1050\theta$ for a fully foreign-educated team with known relevance: $-48.6$ in column 1 and $-72.3$ in column 2, with 95% intervals $[-109.4, 12.2]$ and $[-122.7, -21.9]$. At a smaller fixed foreign share, the contrast scales with that share if known-relevance managers' exposure changes by the same amount. Using current benchmark weights instead of pre-appointment weights gives imprecise gradients with and without country-composition controls; that alternative also changes which managers have measured relevance. The adverse association reported here concerns relevance recorded at appointment.

## B.2 Precision weighting

Table 2, column 4 asks whether less noisy funds show a similar performance gap. It retains the factor-adjusted net NAV outcome, observations, controls and fixed effects of Table 2, column 1, and weights observations by the inverse of the fund's residual return variance. The foreign-education coefficient is $-69.7$ annual basis points (standard error 22.7), close to the equally weighted estimate. The two weighting choices appear side by side in the main table.

## B.3 Further net-return specifications

Quarterly flow is $\text{Flow}_{jq} = 100[\text{TNA}_{jq} - \text{TNA}_{j,q-1}(1 + R^{\text{net}}_{jq})]/\text{TNA}_{j,q-1}$, where TNA is quarter-end assets and $R^{\text{net}}_{jq}$ the compounded quarterly net return in decimals. Thus Flow is in percentage points of beginning-quarter assets; the NAV model uses the preceding quarter's $\text{Flow}_{j,q-1}$ for the months of quarter $q$. On the identical 206,847 fund-months, replacing raw prior-quarter flow with $\text{asinh}(\text{Flow}_{j,q-1}/10)$ changes the foreign-education coefficient from $-69.51$ to $-69.49$ annual basis points. The paired raw-minus-transformed difference is $-0.02$ basis points, with a 95% interval of $[-0.45, 0.42]$. We use raw flow for its simpler interpretation. Both comparisons retain uncapped flow observations; the exercise tests the sensitivity of the education coefficient to the control's transformation.

Table A7 retains Equation (3), its sample and fixed effects. Column 1 adds portfolio size and momentum tilts, the holdings-weighted average size and past-return terciles (coded 0 to 2) of the fund's foreign stocks within the country groups that define the stock benchmarks in Section 3.3, to the model without operating controls; column 2 instead adds top-ten concentration and turnover. Their missing-information indicators retain unsupported controls. Column 3 uses the full controls and winsorizes the risk-adjusted outcome at the 1st and 99th percentiles within benchmark-month cells. All use equal fund-month weights and economic-fund clustering. The focal education-share coefficients are $-66$, $-69$ and $-69$ annual basis points. These comparisons assess the stability of the return gap to measured portfolio composition and extreme outcomes.

## B.4 Staffing timing and selection sensitivity

Two diagnostics examine staffing timing and selection on observed characteristics. If weak current returns forecast a future shift toward foreign-educated managers, future team composition could help explain the current association. We add future foreign-educated share and future unknown-education share to Equation (3),

measured four quarters after the team in Equation (3): $\rho_{+4}\text{ForeignShare}_{j,q+3}$ and $\xi_{+4}\text{UnknownShare}_{j,q+3}$, where $q$ is again the quarter containing month $m$.

The controls $X$ are those of Equation (3), including the current unknown-education share. The coefficient $\rho_{+4}$ measures the additional predictive content of future foreign-educated share, conditional on the current team and controls. On the 193,986 fund-months with teams observed four quarters ahead, the current-share coefficient is −75 basis points (Table A8, column 1). Including future foreign-educated and unknown-education shares leaves it at −72; the future foreign-educated share has a coefficient of −3 with a standard error of 37 (column 2). The current association is thus stable to future team composition, which adds no clear independent predictive relation.

The second diagnostic asks whether observed fund characteristics account for the negative coefficient. With only the unknown-education fraction controlled, the estimate is −59 basis points; adding the other controls makes it −70 (column 3 and Table 2). Within the proportional-selection calibration of Oster (2019), the adjustment at equal observed and unobserved selection gives −73 basis points, while the selection parameter needed for a zero coefficient is −20.6.[30] The observed-control adjustment moves the coefficient away from zero. Together, these checks document stability to the measured staffing and fund conditions in Equation (3).

## B.5 Performance beyond the initial appointment period

To test whether the NAV association is confined to newly appointed managers, Table A9 modifies Equation (3) by replacing $\text{ForeignShare}_{j,q-1}$ with three shares: $\text{ForeignShare}^{\text{new}}_{j,q-1}$, $\text{ForeignShare}^{\text{est}}_{j,q-1}$ and $\text{USShare}^{\text{new}}_{j,q-1}$. Their coefficients are $\rho^{\text{new}}_F$, $\rho^{\text{est}}_F$ and $\rho^{\text{new}}_{US}$, respectively.

The three shares count new foreign-educated managers, established foreign-educated managers and new U.S.-educated managers, respectively, divided by all managers with known education. Established U.S.-educated managers form the omitted category. New means within the first two years (eight quarters) at the fund, and established means later; as in the NAV equation, $q$ contains the return month and the shares are measured at quarter-end $q-1$. The reduced controls $X$ contain unknown schooling, team and asset scale with spline terms, and the five team traits. Fund and benchmark-month effects, the predetermined thirteen-factor outcome and fund clustering are retained; OLS and precision-weighted columns use the same model. The focal established-share coefficient $\rho^{\text{est}}_F$ is −81 annual basis points in OLS and −82 in WLS, significant at 5% and 1%. The new foreign-minus-U.S. contrast, $\rho^{\text{new}}_F - \rho^{\text{new}}_{US}$, is −35 in OLS and imprecise. The evidence of underperformance therefore extends beyond a temporary arrival period.

## B.6 Changes in the geographic performance gap

We next ask whether the foreign-versus-U.S. comparison in outside countries changes over the twenty-five-year sample. To make the local and outside comparisons consistent, we retain the full country panel in Equation (7) and allow both education associations to vary with calendar time:

$$\begin{aligned} R_{jcq} = \alpha_{jc} + \lambda_{cq} + \beta \mathbb{1}^{\text{Link}}_{jcq} + \gamma \text{ForeignShare}_{jq} \\ + \beta^T \mathbb{1}^{\text{Link}}_{jcq} \times t_{q+1} + \gamma^T \text{ForeignShare}_{jq} \times t_{q+1} + \Gamma' X_{jcq} + \varepsilon_{jcq}. \end{aligned} \tag{17}$$

As in Equation (16), $t_q$ is the year of quarter $q$ minus 2012, in single years; the superscript $T$ marks the time-interaction coefficients. Holdings and education at quarter-end $q$ predict returns in $q+1$, so the interactions use the payoff year $t_{q+1}$. The sample, controls, weights, fixed effects and clustering are those of the joint country model in Section 4.4.

The outside-country gap at date $t$ is $g_{\text{out}}(t) = \gamma + \gamma^T t$. For a fully foreign-educated team in an education country, the comparison with a U.S.-educated team is $g_{\text{local}}(t) = \beta + \gamma + \beta^T t + \gamma^T t$. Each uncertainty

[30] We set $R_{\max} = 1.3$ times the within-fund $R^2$ of the controlled regression. Within explanatory power is low for monthly returns, so the calibration is driven substantially by the direction of coefficient movement. It is a sensitivity calculation under proportional selection, not a measured amount of unobserved confounding.

calculation uses the joint covariance of its components. The endpoint gaps are fitted values from the full-sample trend regression.

The outside-country gap becomes more negative over time. In Table A10, column 1, $\gamma^T$ is $-7.06$ annualized basket basis points per calendar year, significant at 5%. The fitted gap reaches $-124.5$ by 2024, with a standard error of 48.3. Inverse-residual-variance weighting gives a similar deterioration and endpoint gap (column 2). Figure A1 plots the outside and local comparisons from these same regressions. The late-sample outside shortfall is about 1.25 percentage points per dollar of the country basket.

The education-country comparison remains imprecise in 2024 under both weighting schemes. The evidence for local expertise comes from the direct conviction-portfolio contrasts in Section 4.5.

Country-quarter effects remove common national-market returns, and the stock comparisons control size and momentum. The estimate captures the time pattern in stock selection after these adjustments.

## B.7 Familiarity results with raw country returns

The adjusted country return in Equation (2) subtracts the return on a matched portfolio of local stocks with similar size and past returns. Table A11 re-estimates Equation (4) with the raw return on the fund's holdings in each country instead. The observations, controls, fixed effects, weights and clustering are those of Table 4. Country-quarter effects remain, so the comparison is still among funds holding the same country in the same quarter; only the matching on stock size and past returns is dropped.

The familiarity pattern remains. The difference between the foreign- and U.S.-educated slopes, $\theta$, is $-346$ basis points for a shared border (standard error 155, significant at 5%), $-195$ for a common official language (standard error 69, significant at 1%) and $-81$ basis points per log point of social connectedness (standard error 41, significant at 5%). The foreign-educated slopes, $\delta + \theta$, are $-157$ for borders (standard error 74, significant at 5%), $-62$ for official language (standard error 64) and $-35$ per log point of social connectedness (standard error 17, significant at 5%). The raw differences are 15 to 30 percent smaller than those in Table 4. For borders, the change comes mainly from U.S.-educated teams' holdings in Canada and Mexico, whose size and past-return characteristics earned lower returns: without the benchmark, the U.S.-educated border slope falls from +300 to +188 basis points, while the foreign-educated slope moves only from $-184$ to $-157$.

## B.8 Performance-conditioned monthly flows

A commercial payoff could make the background valuable even without stronger investment performance; investor preferences can shape fund incentives (Gantchev et al., 2024). The broad monthly flow test separates a potential commercial value of foreign education from investors' responses to prior returns. Let $\text{TNA}_{jm}$ be end-of-month assets and $R^{\text{net}}_{jm}$ the monthly net return in decimal units. Flow in percentage points is $\text{Flow}_{jm} = 100[\text{TNA}_{jm} - \text{TNA}_{j,m-1}(1 + R^{\text{net}}_{jm})]/\text{TNA}_{j,m-1}$. Before estimation, this monthly flow measure is winsorized at the pooled 1st and 99th percentiles; the cutoffs appear in Table A12. This treatment applies to the monthly flow outcome, not the raw quarterly flow control in the NAV model. We estimate

$$\begin{aligned}\text{Flow}_{jm} = \alpha_j + \lambda_{bm} + \delta\text{ForeignShare}_{j,q-1} \\ + \Gamma_S' S_{j,m-1} + \Gamma_X' X_{j,m-1} + \Gamma_Z' Z_{j,q-1} + u_{jm}.\end{aligned} \tag{18}$$

$\text{Rank}_{j,m-1}$ is the zero-to-one percentile rank of the twelve-month compounded return ending in $m-1$ among same-benchmark funds. Suppressing those subscripts within the three expressions, $S_{j,m-1}$ contains $\min(\text{Rank}, .2)$, $\min(\max(\text{Rank} - .2, 0), .6)$ and $\max(\text{Rank} - .8, 0)$. These terms allow flows to respond differently to poor, middle and strong prior performance. $X$ contains log lagged assets, log fund age, the standard deviation of the preceding twelve monthly returns, lagged annual expenses and log(1+turnover). $Z$ contains log team size, unknown-education share and the five biography traits. As in Equation (3), $b$ is the assigned benchmark and team measures use the quarter-end $q-1$ preceding the quarter $q$ that contains month $m$. The observed-flow sample has 185,748 months at 1,494 funds; missing required characteristics are not filled with zero.

The coefficient $\delta$ asks whether foreign-educated representation predicts additional flows among funds with comparable prior performance and characteristics. Table A12 gives $\delta = 0.207$ monthly percentage points for the full-share difference, with a standard error of 0.153 and a 95% interval from $-0.093$ to $+0.508$. Thus a positive commercial premium is possible but not precisely established. The model conditions on prior observed performance and measures subsequent flows associated with team composition. The quarterly and appointment comparisons in Table A13 retain their own outcome definitions and samples. Together these tests compare prior fundraising records with subsequent asset gathering as possible sources of commercial value. Column 2 omits expenses and turnover on the same observations. The foreign-share coefficient remains 0.21 percentage points (standard error 0.15); conditioning on these operating choices does not explain the imprecision of the flow comparison.

## B.9 Commercial outcomes at quarterly and appointment horizons

Table A13 asks whether the qualification brings a commercial payoff despite its weaker investment-return association. The outcomes $Y_{jq}^{(v)}$ follow the team observed at quarter-end $q$: flow in quarter $q{+}1$ (columns 1–2), the sum of flows over quarters $q+1$ to $q+4$ (column 3), and the expense ratio reported for the previous year (column 5). Flow is measured in percentage points of beginning-quarter assets and expenses in annual basis points. For each outcome $v$, we estimate

$$Y_{jq}^{(v)} = \alpha_j + \lambda_{bq} + \delta_v \text{ForeignShare}_{jq} + \Gamma_v' X_{jq} + u_{jq}^{(v)}. \tag{19}$$

Fund effects $\alpha_j$ and benchmark-quarter effects $\lambda_{bq}$ follow Equation (3). The focal coefficient $\delta_v$ compares an entirely foreign-educated team with an entirely U.S.-educated team, conditional on the stated controls. A positive flow coefficient would indicate greater subsequent asset gathering; a positive expense coefficient would indicate a higher reported fee rate. The latter is a comparison of existing fees, not a subsequent fee change. The controls $X$ contain UnknownShare, log team size and lagged assets with their spline terms, and the five team traits. Column 2 adds $R_{jq}^{\text{past}}$ and the interaction $\text{ForeignShare}_{jq} \times R_{jq}^{\text{past}}$ as separate regressors, where $R_{jq}^{\text{past}}$ is the prior-year relative NAV return, the same variable as the NAV-model control, in annual percentage points. It differs from the single-quarter career signal $R^{\text{rel}}$. Its interaction measures the foreign-minus-U.S. difference in flow-performance sensitivity.

Column 4 asks the more specific question of whether foreign-educated appointments are followed by stronger fundraising. Its outcome is the sum of flows over the four quarters after appointment. In Equation (19), it replaces current-team $\text{ForeignShare}_{jq}$ with the appointee fraction $s_{jq}^H$ and benchmark-quarter effects with appointment-year effects; we denote the appointee-share coefficient by $\delta_H$.

The fraction $s_{jq}^H$ is measured among known-education appointees. It represents the same composition as $H_{jq}$ in Equation (16), expressed from zero to one rather than zero to 100. Thus $\delta_H$ compares subsequent four-quarter flows after all-foreign versus all-U.S. appointments, conditional on prior fund conditions. The controls $X$ contain pre-appointment four-quarter flows, the prior-year relative NAV return, lagged assets, the size and traits of the hiring fund's team before the appointment, and unknown education among new appointees. All commercial models use equal observation weights and cluster by economic fund. The full-share differences are $-0.29$ flow percentage points next quarter, $-0.26$ over four quarters, and $+0.22$ over four quarters after appointment. The expense difference is $-0.39$ annual basis points. These estimates do not establish a commercial premium. The flow-performance interaction is $-0.04$ percentage points per annual NAV percentage point (standard error 0.06), also imprecise; it asks whether investors' flow response to performance differs with the team's education share.

## B.10 Performance following country-linked appointments

Section 5.1 assesses the payoff to seeking local expertise after disappointing performance. Starting with the country-hiring risk set, we retain direct-linked appointments through 2023Q4, allowing four subsequent payoff quarters through 2024Q4. A disappointing prior record means a negative twelve-month country-market return or a negative own country-relative return. Each appointment is matched to up to three other

economic funds sharing the investment country, assigned benchmark, appointment quarter and disappointing-performance status, with no appointment that quarter. The closest controls minimize standardized distance in prior country-relative returns, log country capital, log stock count and incumbent schooling coverage. Matching uses only information available before appointment; controls may already employ foreign-educated managers and may hire later.

Equation (12) compares changes within each fund-case with changes at its matched funds in the same payoff quarter. We retain quarters −4 through −1 and +1 through +4, requiring at least three jointly observed quarters on each side and omitting quarter zero. The common panel contains 13,237 observations in 511 cases, 267 hiring funds and 610 economic-fund clusters. Matching is unchanged when we require common support for the three outcomes, and unsupported controls are not replaced. Each hiring fund-quarter has equal total weight, divided across its country cases, hiring and comparison sides, pre- and post-appointment phases, and observed quarters within each phase. The controls are those of the headline NAV model; its foreign-share regressor is replaced by the hiring-by-post interaction. The concentration-missingness indicator is zero throughout this supported panel and is absorbed. Fund clustering accounts for repeated hiring and comparison roles.

The local outcome follows the characteristic-adjusted country-return construction in Section 3.3. The outside outcome pools the corresponding adjusted country returns at their monthly capital weights. For each case, the education geography consists of the non-U.S. schooling countries of the hiring team's current managers and dated appointees in the appointment quarter. We hold this set fixed for all quarters and apply it to both sides of the comparison, so appointment does not mechanically reclassify holdings. Outside countries here are outside that common set, rather than outside each comparison fund's own schooling geography. NAV uses the headline factor-adjusted monthly return, averaged within the actual payoff quarter. All outcomes use the paper's existing return treatment; complete stock-return coverage is not required and missing country baskets are not assigned zero returns.

Table 10 reports one regression per outcome on exactly these observations. The local coefficient is +228 annualized basket basis points; the outside-country and NAV coefficients are −15 and +37, respectively. The local estimate is significant at 1%; the other two estimates do not establish an outside offset or a whole-fund gain. The basket coefficients have different capital denominators and cannot be added to obtain the NAV coefficient. The purpose of the common design is to compare the scope of improvement after a targeted appointment, rather than to treat the full-period team-composition coefficient as its hiring effect. The appointments are observational and the controls evolve during the window, so these are conditional relative changes.

To assess persistence, Table 11 extends the original matches through eight subsequent quarters. Appointments must occur by 2022Q4 to allow two full years within the manuscript period. We require at least three jointly observed local-return and NAV quarters in each of three phases: quarters −4 to −1, +1 to +4, and +5 to +8, omitting quarter zero. The common cohort contains 430 country-appointment cases at 231 hiring funds, 1,339 fund-case units, 15,862 observations and 514 economic-fund clusters. We retain the original matches, without requiring that recruits stay or that comparison funds refrain from later hiring. The cohort is smaller than the first-year comparison because of the longer calendar and outcome-support requirements.

We replace $\beta_H \mathbb{1}_{ja}^{\text{Hire}} \times \mathbb{1}_{at}^{\text{Post}}$ in Equation (12) with $\beta_{H,1} \mathbb{1}_{ja}^{\text{Hire}} \times \mathbb{1}_{at}^{\text{Year1}} + \beta_{H,2} \mathbb{1}_{ja}^{\text{Hire}} \times \mathbb{1}_{at}^{\text{Year2}}$. The year indicators select quarters +1 to +4 and +5 to +8, respectively; both coefficients measure improvement relative to the pre-appointment year and to comparison funds. Year two is the average return during months 13–24, not the cumulative two-year return. The controls and fixed effects are unchanged, and equal hiring-fund-quarter weights are divided across cases, hiring/comparison sides, the three phases and observed quarters. The contrast $\beta_{H,2} - \beta_{H,1}$ uses their joint fund-clustered covariance. The estimated local decline is −205.34 basis points (standard error 96.72, $p = 0.034$). The NAV contrast is +26.03 (standard error 34.02), so the local fading pattern does not establish a decline in whole-fund performance.

## B.11 Timing of the full-sample NAV association

To relate the appointment comparison to the headline NAV result, Table A14 locates the observations contributing to the unchanged full-sample coefficient. We retain all 206,847 fund-months, the original controls, fund effects and benchmark-month effects. After removing those controls and effects from both foreign share

and factor-adjusted NAV, each observation contributes its residual share times its residual return, divided by the full-sample sum of squared residual shares. Summing these terms reproduces the −69.5-basis-point coefficient exactly. Grouping the terms by appointment timing is descriptive accounting, not a set of subgroup regressions or hiring effects.

The 511 country cases identify 460 distinct appointment quarters at 267 hiring funds. We classify their monthly returns as before the first studied appointment, in an appointment quarter, in the following year, in years two through five, or later; the clock resets after another studied appointment. Funds without a studied appointment form the remaining group. The first studied appointment is not necessarily the fund's first foreign-educated hire: foreign-educated managers already represent 41.7% of teams, on average, in the pre-appointment observations. Those observations contribute −37.1 basis points to the −69.5 headline coefficient. The full-history association therefore substantially predates the targeted appointments whose local payoff we estimate. The table clarifies how a positive local appointment comparison can coexist with a negative broad NAV association, without assigning the latter to the appointments.

## B.12 Prior records within origin peers and hiring rounds

Direct benchmark controls in the main hiring comparison allow different mean records across origin mandates. The checks here retain the earlier outside-country outcome. A finer comparison also accounts for the particular countries and quarters in which the previous funds invested. For each origin-country-quarter record, we subtract the mean selection of other economic funds sharing its assigned benchmark, investment country and quarter; all share classes of the focal economic origin are excluded. Peer share classes are combined before averaging economic funds. We then apply the same equal-country, equal-quarter and equal-economic-origin record weights to form $\bar{R}_h^{\text{peer}}$, which replaces $\bar{R}_h^{\text{pre}}$ as the outcome in Equation (13).

The outside-country record and its peer-adjusted counterpart use identical supported countries, 1,321 appointments and 27 regressors. The main all-country record adds supported education-country holdings for those same appointments. Both retain hiring-fund and year effects, equal appointment weights and fund clustering; neither controls for prior NAV. Benchmarks are supplied assigned mandates, rather than independently reconstructed historical mandate changes.

The peer-adjusted foreign-education coefficient is −71.8 annualized basket basis points, with a standard error of 41.0, significant at 10% (Table A15, column 1). The point remains negative after the finer origin-country/time comparison. The corresponding outside-country estimate without peer subtraction is −100.8; the all-country main estimate is −86.4. These comparisons distinguish peer adjustment from country scope.

A separate comparison asks whether the record gap remains among recruits accepted together. Table A15, column 2 uses the outside-country version of $\bar{R}_h^{\text{pre}}$ as the outcome in Equation (13), replaces separate fund and year effects with hiring-fund-by-appointment-quarter effects $\alpha_{jq}$, where $q$ is the appointment quarter, and omits $\mathbf{B}_h$. We denote its foreign-education coefficient by $\delta_{\text{round}}$.

Hiring-fund-by-appointment-quarter effects hold common recruitment conditions fixed; destination team size and unknown schooling are absorbed. This model uses all available outside-country records and no origin benchmark or prior NAV control. Equal appointment weights and hiring-fund clustering are retained. On 832 appointees, $\delta_{\text{round}}$ is −81 annualized basket basis points, with a standard error of 41 ($p = 0.053$). Thus foreign-educated recruits have weaker observed prior team records even within a common appointment round. The negative point remains among appointees accepted together, separately from the origin-mandate adjustments above.

## B.13 Country coverage and career evaluation

Table A16 separates the career comparison by schooling coverage: a foreign-educated manager has unique coverage if at least one held education country lacks another current manager's schooling link. Coverage is duplicated when the manager matches held countries but all those links are also supplied by colleagues; it is unmatched when no education country is held and unclassified when prior holdings are missing. These

categories are measured each quarter from the previous quarter's holdings and the current team. The equation replaces $\mathbb{1}_i^{\text{Foreign}} \times R_{jq}^{\text{rel}}$ in Equation (15) with category interactions:

$$100 \times \mathbb{1}_{ijq}^{\text{Exit}} = \mu_{jq} + \nu_{ij} + \sum_g \kappa_g \mathbb{1}_{ijq}^g \times R_{jq}^{\text{rel}} + \sum_{g \neq \text{NoMatch}} \eta_g \mathbb{1}_{ijq}^g + \Gamma' X_{ijq} + e_{ijq}. \tag{20}$$

Here $g$ indexes unique, duplicated, no-match and unclassified coverage, and $\mathbb{1}_{ijq}^g$ is the corresponding foreign-educated-manager indicator; U.S.-educated colleagues are the comparison. Because the four indicators sum to $\mathbb{1}_i^{\text{Foreign}}$, which the fund-manager effects absorb, the no-match level is omitted, and all four performance interactions enter alongside the career controls, fund-quarter and fund-manager effects, inverse team-size weights and fund clustering. The focal $\kappa_g$ coefficients are relative exit-response slopes per percentage point of better performance: +0.180 for unique coverage, +0.006 for duplicated coverage and +0.122 for no held-country match. Multiplying by a ten-point deterioration gives relative departure differences of −1.80, −0.06 and −1.22 percentage points. Unique and no-match slopes individually exclude zero, but direct group differences are imprecise; the joint zero-response test for duplicated and no-match coverage has $p = 0.141$. Relative protection can therefore appear beyond currently matched holdings without precisely distinguishing the coverage groups. Coverage measures recorded schooling in held countries, rather than verified responsibilities or future country plans. Column 2 removes the other observed traits' performance interactions on the identical sample. The unique-coverage slope remains +0.177 (standard error 0.056), significant at 1%; the no-match slope is +0.113 (standard error 0.061), significant at 10%. The similar points preserve the pattern, while the no-match comparison is less precisely estimated.

## B.14 Alternative local-portfolio constructions

Table A17 uses Equation (9) to ask whether the local high-conviction result depends on its stock-ranking or risk model. Columns 1–4 retain the baseline factors while changing the within-country reference weights, the two-year reference universe, U.K. inclusion or undergraduate-only link definition. Columns 5–6 add developed and emerging momentum, retaining or omitting the common portfolio benchmark. Column 7 retains only that benchmark, and column 8 deducts estimated bid-ask trading costs. Each column reports one top-portfolio regression with all loadings; the table notes report the paired Wald tests of top-minus-ordinary alpha. The baseline is shown only in Table 7. Alphas range from 2.75% to 5.74%. The spread remains significant at 5% for the U.K., undergraduate, momentum, benchmark-only and trading-cost variants; it is marginal for the expanded two-year reference set ($p = 0.057$) and imprecise under benchmark reference weights ($p = 0.251$).

# C Local Portfolio Weighting Reconciliation

This reconciliation separates the value of stock choices under a common country mix from their payoff at actual portfolio allocations. Table A18 holds the source countries and months fixed while comparing top, ordinary and combined local portfolios under benchmark and actual country weights. The main contribution test in Table 8 then weights each month's actual local return by its share of covered equity capital. These comparisons concern the constructed local strategies; the joint country panel in Table 6 separately compares teams with U.S.-educated peers.

The country-weighting comparison holds local stock baskets fixed and changes the relative capital assigned to their countries. On 77,188 identical fund-country-month cells at 749 identifiers, actual country weights lower the combined local alpha by 2.3 percentage points per year relative to benchmark weights ($p = 0.007$; Table A18). This is a conditional comparison within the local book. It is not a 2.3-percentage-point loss on total fund capital and cannot be added to the panel's education coefficient.

Table A18 re-estimates Equation (9) for six portfolios on identical source support and months. Columns 1–3 use benchmark country shares for top, ordinary and combined local holdings; columns 4–6 use actual capital weights. Risk factors, the common portfolio benchmark and time-series inference are unchanged. The focal comparison is $12 \times 10^4(\alpha_{\text{actual,all}} - \alpha_{\text{benchmark,all}})$, reported in the table notes:

−234 annual basis points, significant at 1%. Actual country deployment captures less alpha than the common-country comparison. The combined portfolios are estimated directly, since a constant average sleeve share cannot reproduce time-varying weights.

# D Variable Definitions and Timing

Table A19 defines the main variables. A basis point is one hundredth of a percentage point. Coefficients on ForeignShare compare foreign-educated shares of one and zero among managers with known schooling, holding the unknown-education fraction fixed. Fund returns, adjusted country returns and portfolio alphas are all annualized but have different capital denominators and cannot be added. Missing education is coded as unknown, and an unavailable return is not treated as zero.

Fractions are coded from zero to one unless a percentage-point unit is stated. Return controls and signals use percentage points; capital coverage uses percentage points; calendar interactions use years from the stated reference date. Social connectedness enters in log units without standardization. Economic changes such as ten percentage points or one standard deviation are calculated in the text. Log experience is $\log(1 + \text{years of experience})$; the team measure is its mean. The two nonlinear asset terms are restricted-cubic-spline bases in log lagged assets, with knots $(0.5921, 4.1586, 5.8772, 8.4417)$; the corresponding team-size knots are $\log(1, 2, 3, 5)$. The linear log term is reported separately. The prior relative NAV control in the NAV and quarterly commercial models is the preceding year's annualized monthly mean in percentage points; the monthly flow model instead uses ranks of compounded twelve-month returns. Prior relative volatility is annualized in percentage points before applying $\log(1 + \cdot)$. The main and peer-adjusted appointment selection models contain origin benchmark indicators and no prior NAV control. The appointment-flow and needed-country prior-record models retain a mean pre-appointment quarterly benchmark-relative NAV signal in percentage points; its payoff quarters run from five to two quarters before the appointment quarter. Prior flow enters directly in percentage points of beginning-of-quarter assets, with a missing-information indicator. Separate missing-information indicators retain unavailable controls. Fixed-effect intercepts and regressors absorbed by them are identified in the table notes rather than assigned estimated zero coefficients. The predetermined factor exposures used to construct NAV risk-adjusted returns are outcome inputs, not common second-stage slope regressors. The portfolio-alpha tables instead report every estimated factor loading, in dimensionless units, alongside annualized alpha.

**Table A1:** Fund assets by assigned benchmark

| Morningstar Index | Mean assets (USD billions) | Mean active funds |
|---|---|---|
| Morningstar Gbl NR USD | 4.672 | 51.55 |
| Morningstar Gbl xUS Val TME NR USD | 2.853 | 86.63 |
| Morningstar Gbl Growth TME NR USD | 2.790 | 51.36 |
| Morningstar Gbl xUS Growth TME NR USD | 1.787 | 86.45 |
| Morningstar Gbl xUS NR USD | 1.260 | 164.27 |
| Morningstar EM Americas NR USD | 1.091 | 2.57 |
| Morningstar DM APAC xJpn NR USD | 0.800 | 14.87 |
| Morningstar EM NR USD | 0.757 | 125.59 |
| Morningstar Gbl Val TME NR USD | 0.606 | 38.64 |
| Morningstar Gbl xUS SMID NR USD | 0.550 | 56.65 |
| Morningstar DM Eur NR USD | 0.528 | 10.16 |
| Morningstar Gbl SMID NR USD | 0.460 | 18.04 |
| Morningstar Jpn NR USD | 0.367 | 6.99 |
| Morningstar DM APAC NR USD | 0.257 | 3.15 |
| Morningstar China NR USD | 0.180 | 13.05 |
| Morningstar India NR USD | 0.121 | 2.34 |
| Morningstar Gbl Lrg NR USD | 0.093 | 28.97 |

Notes: This table reports the mean fund-level total net assets and the mean number of funds in each Morningstar benchmark category, computed at quarterly frequency over the 1,663-fund sample. Because the counts are per-quarter averages, the "Mean active funds" column reflects funds active in a given quarter and sums to about 760—the average number of funds active per quarter—rather than the 1,663 distinct funds observed over the full sample, since funds enter and exit over time.

**Table A2:** Portfolio holdings

| | Time-series average | | | |
|---|---|---|---|---|
| | Mean | Median | Std. dev. | *N* |
| Sample Funds | | | | |
| # of countries held | 18.99 | 19 | 8.44 | 67,380 |
| Country-level portfolio share(%) | 4.83 | 2.17 | 9.47 | 1,279,345 |
| # of stocks held | 210.26 | 81 | 589.15 | 71,742 |
| Stock-level portfolio share(%) | 0.45 | 0.09 | 0.88 | 15,084,718 |
| Morningstar Gbl xUS NR USD | | | | |
| # of countries held | 49.47 | 51 | 3.46 | 88 |
| Country-level portfolio share(%) | 1.97 | 0.58 | 3.35 | 4,353 |
| # of stocks held | 5,136.20 | 5,104 | 982.78 | 88 |
| Stock-level portfolio share(%) | 0.02 | 0.00 | 0.06 | 451,986 |
| All Benchmarks (equal weights) | | | | |
| # of countries held | 27.55 | 26 | 20.28 | 1,947 |
| Country-level portfolio share(%) | 3.43 | 0.57 | 10.15 | 53,639 |
| # of stocks held | 1,887.58 | 1,344 | 1,841.74 | 1,947 |
| Stock-level portfolio share(%) | 0.05 | 0.01 | 0.23 | 3,675,116 |

Notes: This table reports country-level and stock-level holding counts and portfolio shares for the sample funds, the Morningstar Global ex-US benchmark, and the average across all Morningstar benchmarks assigned to sample funds. The sample-fund rows are computed on the same 1,663-fund sample and 2000–2024 window as Table 1. The "# held" rows are computed at the fund-quarter (or benchmark-quarter) level; the "portfolio share" rows are averaged across individual held positions (fund-country or fund-stock), so that the mean number held times the mean share equals the average total portfolio weight (≈100%, below 100 because funds also hold some U.S. equity and cash). Positions with zero weight are excluded.

**Table A3:** Education countries of managers

| Country | # Mgrs | Share | Country | # Mgrs | Share |
|---|---|---|---|---|---|
| USA | 2188 | 0.7313 | ESP | 6 | 0.0020 |
| GBR | 580 | 0.1939 | NZL | 6 | 0.0020 |
| CAN | 77 | 0.0257 | AUT | 5 | 0.0017 |
| IND | 70 | 0.0234 | CHL | 5 | 0.0017 |
| CHN | 63 | 0.0211 | POL | 4 | 0.0013 |
| FRA | 51 | 0.0170 | PAK | 4 | 0.0013 |
| AUS | 44 | 0.0147 | VEN | 4 | 0.0013 |
| DEU | 35 | 0.0117 | TUR | 3 | 0.0010 |
| JPN | 32 | 0.0107 | ARG | 3 | 0.0010 |
| IRL | 26 | 0.0087 | NGA | 3 | 0.0010 |
| HKG | 18 | 0.0060 | NOR | 3 | 0.0010 |
| ZAF | 16 | 0.0053 | EGY | 2 | 0.0007 |
| ITA | 14 | 0.0047 | CZE | 2 | 0.0007 |
| SGP | 12 | 0.0040 | GRC | 2 | 0.0007 |
| KOR | 11 | 0.0037 | PRT | 2 | 0.0007 |
| CHE | 11 | 0.0037 | BGR | 1 | 0.0003 |
| NLD | 10 | 0.0033 | ROU | 1 | 0.0003 |
| DNK | 10 | 0.0033 | GTM | 1 | 0.0003 |
| SWE | 9 | 0.0030 | UKR | 1 | 0.0003 |
| BRA | 8 | 0.0027 | THA | 1 | 0.0003 |
| TWN | 7 | 0.0023 | EST | 1 | 0.0003 |
| RUS | 7 | 0.0023 | LBN | 1 | 0.0003 |
| MEX | 7 | 0.0023 | COL | 1 | 0.0003 |
| BEL | 7 | 0.0023 | IDN | 1 | 0.0003 |
| ISR | 7 | 0.0023 | | | |
| Total # of Managers = 2,992 | | | | | |

Notes: The final share column in each panel divides managers educated in the listed country by the 2,992 managers with recorded education countries (49 countries after hand review). The shares sum to more than one because a manager can have education ties to multiple countries.

**Table A4:** Education-country links across funds

| Country | # Funds | Share | Country | # Funds | Share |
|---|---|---|---|---|---|
| USA | 1492 | 0.898 | AUT | 15 | 0.009 |
| GBR | 639 | 0.384 | MEX | 14 | 0.008 |
| IND | 188 | 0.113 | POL | 14 | 0.008 |
| CAN | 173 | 0.104 | BRA | 12 | 0.007 |
| CHN | 133 | 0.080 | VEN | 8 | 0.005 |
| FRA | 129 | 0.078 | NGA | 8 | 0.005 |
| AUS | 88 | 0.053 | CZE | 8 | 0.005 |
| JPN | 67 | 0.040 | PRT | 8 | 0.005 |
| ITA | 51 | 0.031 | CHL | 7 | 0.004 |
| IRL | 51 | 0.031 | EGY | 7 | 0.004 |
| HKG | 46 | 0.028 | ARG | 6 | 0.004 |
| DEU | 44 | 0.026 | GRC | 6 | 0.004 |
| SGP | 41 | 0.025 | PAK | 6 | 0.004 |
| ZAF | 39 | 0.023 | TUR | 6 | 0.004 |
| SWE | 38 | 0.023 | ROU | 6 | 0.004 |
| KOR | 32 | 0.019 | NOR | 6 | 0.004 |
| ISR | 32 | 0.019 | IDN | 3 | 0.002 |
| NLD | 32 | 0.019 | THA | 2 | 0.001 |
| CHE | 29 | 0.017 | LBN | 2 | 0.001 |
| NZL | 28 | 0.017 | GTM | 2 | 0.001 |
| DNK | 28 | 0.017 | UKR | 2 | 0.001 |
| ESP | 23 | 0.014 | EST | 1 | 0.001 |
| RUS | 20 | 0.012 | COL | 1 | 0.001 |
| TWN | 19 | 0.011 | BGR | 1 | 0.001 |
| BEL | 16 | 0.010 | | | |
| Total # of Funds = 1,662 | | | | | |

Notes: The last column reports the share of funds with at least one manager educated in each country, computed as the number of such funds divided by the total number of funds with an educated manager (1,662). This descriptive denominator includes funds with a recorded education link and does not restrict any regression sample. The shares sum to more than one because a fund can have education ties to multiple countries through its managers.

**Table A5:** The increasing foreign-educated appointment share

| Dependent variable | Foreign appointment share | Foreign appointment share |
|---|---|---|
| Units | Percentage points | |
| | (1) | (2) |
| Specification | Team traits | Without team traits |
| Calendar years from 2012 | 0.60*** | 0.57*** |
| | (0.18) | (0.17) |
| Log pre-hire destination team size | 0.78 | 1.03 |
| | (1.43) | (1.44) |
| Unknown education among appointees | −0.78 | −0.18 |
| | (5.08) | (5.01) |
| Female share (known gender) | 4.99 | — |
| | (4.03) | |
| Unknown-gender share | −5.10 | — |
| | (6.76) | |
| CFA share (observed biographies) | 1.06 | — |
| | (3.16) | |
| Unknown-biography share | 5.37 | — |
| | (8.01) | |
| Mean log(1 + experience) | −0.69 | — |
| | (1.75) | |
| Fund FE | Yes | Yes |
| Appointment-year FE | No | No |
| Observations | 4,072 | 4,072 |
| Fund clusters | 1,218 | 1,218 |

Notes: The dependent variable is the foreign-educated percentage of known-education appointments. Time is measured in single calendar years from 2012. Both columns retain pre-appointment team size and unknown education among appointees. Column 1 adds five observed team traits; column 2 omits those traits on the identical sample. Appointment shares are weighted by the number of known-education appointments. Errors are clustered by economic fund. Standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%.

**Table A6:** Pre-appointment country relevance and net fund returns

| Dependent variable | Factor-adjusted net NAV return | |
|---|---|---|
| Units | Annualized bps | |
| | (1) | (2) |
| Specification | Baseline controls | Add country shares |
| Pre-appointment country relevance | −463.18 | −688.30*** |
| | (295.12) | (244.59) |
| Foreign-educated share | 32.55 | 11.82 |
| | (48.28) | (63.37) |
| Foreign share with unknown relevance | −147.74** | −224.94*** |
| | (58.44) | (61.37) |
| Log team size | −87.43 | −78.48 |
| | (59.12) | (59.75) |
| Unknown-education share | −106.00 | −84.24 |
| | (68.38) | (68.57) |
| Log lagged assets (USD millions) | −21.75** | −22.49** |
| | (9.83) | (9.80) |
| Assets spline basis 1 | −101.28*** | −105.86*** |
| | (25.89) | (25.73) |
| Assets spline basis 2 | 571.88*** | 602.09*** |
| | (157.85) | (155.38) |
| Team-size spline basis 1 | −80.16 | −86.49 |
| | (137.49) | (139.47) |
| Team-size spline basis 2 | 688.02 | 708.37 |
| | (591.04) | (601.64) |
| Female share (known gender) | −56.00 | −58.83 |
| | (38.09) | (38.36) |
| Unknown-gender share | −72.03 | −208.71** |
| | (91.37) | (96.61) |
| CFA share (observed biographies) | 6.87 | 4.11 |
| | (31.42) | (31.69) |
| Unknown-biography share | 209.45* | 350.28*** |
| | (107.00) | (108.49) |
| Mean log(1 + experience) | −29.37* | −32.39* |
| | (16.59) | (16.89) |
| Prior-year relative NAV return (pp) | −4.63*** | −4.83*** |
| | (1.45) | (1.45) |
| Log(1 + prior relative volatility) | 62.83** | 60.31** |
| | (30.99) | (30.65) |
| Prior-quarter flow (pp) | $1.55 \times 10^{-6}$ | $1.57 \times 10^{-6}$ |
| | $(2.25 \times 10^{-6})$ | $(2.27 \times 10^{-6})$ |
| Missing prior return history | 99.70 | 93.63 |
| | (62.75) | (62.37) |
| Missing prior-quarter flow | −41.63 | −41.04 |
| | (55.61) | (55.58) |
| Lagged expense ratio (bps) | −0.41 | −0.45 |
| | (0.33) | (0.33) |
| Lagged log turnover | 85.11** | 88.08** |
| | (35.28) | (34.70) |
| Top-ten equity concentration | 65.36 | 125.57 |
| | (137.46) | (136.30) |
| Missing lagged expense ratio | −111.35** | −117.46** |
| | (53.86) | (53.49) |
| Missing lagged turnover | 73.17** | 74.54** |
| | (36.67) | (36.03) |
| Missing equity concentration | 23.62 | 36.41 |
| | (42.02) | (41.86) |
| Education-country composition controls | No | Yes |
| Fund FE | Yes | Yes |
| Benchmark × month FE | Yes | Yes |
| Observations | 206,847 | 206,847 |
| Fund clusters | 1,418 | 1,418 |

Notes: Both columns add pre-appointment country relevance and the foreign share with unknown relevance to Table 2, column 1. Column 2 also controls for education-country shares. All degree levels enter; definitions appear in Appendix B.1. Relevance holds foreign representation constant. The foreign-share slopes describe zero measured relevance. Outcomes, sample, baseline controls and equal fund-month weights are unchanged. Fund-clustered standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%.

**Table A7:** Portfolio controls and return tails

| Dependent variable | Factor-adjusted net NAV return | | |
|---|---|---|---|
| Units | Annualized bps | | |
| | (1) | (2) | (3) |
| Specification | Style controls | Portfolio controls | Winsorized |
| Foreign-educated share | $-65.55^{*}$ | $-68.72^{*}$ | $-68.66^{**}$ |
| | (36.51) | (35.44) | (33.08) |
| Log team size | −89.65 | −87.40 | $-89.27^{*}$ |
| | (59.49) | (59.07) | (54.09) |
| Unknown-education share | −110.43 | −106.10 | −97.95 |
| | (71.04) | (68.58) | (67.21) |
| Log lagged assets (USD millions) | $-20.96^{**}$ | $-21.48^{**}$ | $-21.04^{**}$ |
| | (9.87) | (9.87) | (9.39) |
| Assets spline basis 1 | $-100.14^{***}$ | $-97.97^{***}$ | $-92.84^{***}$ |
| | (25.91) | (26.13) | (24.74) |
| Assets spline basis 2 | $555.51^{***}$ | $547.88^{***}$ | $506.05^{***}$ |
| | (158.18) | (158.47) | (149.87) |
| Team-size spline basis 1 | −79.80 | −79.90 | −68.71 |
| | (138.05) | (137.39) | (129.38) |
| Team-size spline basis 2 | 694.90 | 698.49 | 647.42 |
| | (592.19) | (589.83) | (560.66) |
| Female share (known gender) | −49.50 | −50.55 | −43.03 |
| | (38.37) | (38.53) | (37.14) |
| Unknown-gender share | −94.23 | −88.81 | −84.47 |
| | (92.32) | (92.95) | (88.79) |
| CFA share (observed biographies) | 7.61 | 7.26 | 3.59 |
| | (31.38) | (31.45) | (30.19) |
| Unknown-biography share | $228.55^{**}$ | $226.85^{**}$ | $213.12^{**}$ |
| | (107.30) | (107.68) | (102.99) |
| Mean log(1 + experience) | $-35.24^{**}$ | $-33.29^{**}$ | $-34.78^{**}$ |
| | (16.95) | (16.76) | (15.21) |
| Prior-year relative NAV return (pp) | $-4.45^{***}$ | $-4.63^{***}$ | $-4.20^{***}$ |
| | (1.54) | (1.47) | (1.37) |
| Log(1 + prior rel. volatility) | $62.66^{**}$ | $60.26^{*}$ | $54.03^{*}$ |
| | (31.36) | (31.10) | (27.87) |
| Prior-quarter flow (pp) | $1.57 \times 10^{-6}$ | $1.49 \times 10^{-6}$ | $1.65 \times 10^{-6}$ |
| | $(2.24 \times 10^{-6})$ | $(2.25 \times 10^{-6})$ | $(2.24 \times 10^{-6})$ |
| Missing prior return history | 73.20 | 71.98 | 79.14 |
| | (56.93) | (59.88) | (57.92) |
| Missing prior-quarter flow | −44.21 | −46.10 | −37.84 |
| | (55.44) | (55.55) | (53.42) |
| Holdings size tilt | −15.74 | — | — |
| | (65.56) | | |
| Holdings momentum tilt | −23.54 | — | — |
| | (38.03) | | |
| Missing size tilt | 249.20 | — | — |
| | (371.87) | | |
| Missing momentum tilt | −292.73 | — | — |
| | (346.07) | | |
| Top-ten equity concentration | — | 76.34 | 116.12 |
| | | (138.37) | (124.50) |
| Lagged log turnover | — | $82.80^{**}$ | $70.81^{**}$ |
| | | (35.43) | (33.73) |
| Missing equity concentration | — | 26.52 | 36.72 |
| | | (42.11) | (39.17) |
| Missing lagged turnover | — | 40.67 | $57.81^{*}$ |
| | | (31.75) | (33.67) |
| Lagged expense ratio (bps) | — | — | −0.39 |
| | | | (0.32) |
| Missing lagged expense ratio | — | — | $-95.70^{*}$ |
| | | | (51.41) |
| Fund FE | Yes | Yes | Yes |
| Benchmark × month FE | Yes | Yes | Yes |
| Observations | 206,847 | 206,847 | 206,847 |
| Fund clusters | 1,418 | 1,418 | 1,418 |

Notes: All columns use thirteen-factor-adjusted NAV. Columns 1–2 add style or concentration and turnover; column 3 adds expenses and 1st/99th-percentile benchmark-month winsorization. Table 2 uses uncapped NAV. All columns retain missing indicators, raw prior flow and equal weights. Fund-clustered standard errors appear in parentheses below coefficients. $^{*}$, $^{**}$ and $^{***}$ denote two-sided significance at 10%, 5% and 1%.

**Table A8:** Timing and coefficient stability of the fund-return gap

| Dependent variable | Factor-adjusted net NAV return | | |
|---|---|---|---|
| Units | Annualized bps | | |
| Specification | (1) Lead sample | (2) With future team | (3) Unknown share only |
| Foreign-educated share | $-74.53^{**}$ | $-72.28^{*}$ | $-58.61^{*}$ |
| | (37.81) | (43.87) | (35.54) |
| Future foreign-educated share | — | −2.60 | — |
| | | (37.28) | |
| Future unknown-education fraction | — | −25.23 | — |
| | | (61.67) | |
| Log team size | −77.10 | −77.42 | — |
| | (60.76) | (60.79) | |
| Unknown-education share | $-134.59^{*}$ | −116.77 | −69.42 |
| | (75.46) | (80.49) | (48.05) |
| Log lagged assets (USD millions) | $-21.89^{**}$ | $-21.86^{**}$ | — |
| | (9.95) | (9.94) | |
| Assets spline basis 1 | $-105.21^{***}$ | $-105.21^{***}$ | — |
| | (25.92) | (25.91) | |
| Assets spline basis 2 | $587.47^{***}$ | $587.16^{***}$ | — |
| | (157.98) | (158.01) | |
| Team-size spline basis 1 | −111.24 | −110.75 | — |
| | (142.09) | (142.14) | |
| Team-size spline basis 2 | 824.35 | 822.52 | — |
| | (612.93) | (613.13) | |
| Female share (known gender) | −56.32 | −56.17 | — |
| | (39.90) | (39.93) | |
| Unknown-gender share | −65.51 | −65.84 | — |
| | (101.26) | (101.33) | |
| CFA share (observed biographies) | 1.45 | 1.44 | — |
| | (33.24) | (33.24) | |
| Unknown-biography share | $226.39^{*}$ | $225.87^{*}$ | — |
| | (123.04) | (123.07) | |
| Mean log(1 + experience) | $-39.42^{**}$ | $-39.55^{**}$ | — |
| | (17.74) | (17.74) | |
| Prior-year relative NAV return (pp) | $-4.78^{***}$ | $-4.78^{***}$ | — |
| | (1.55) | (1.55) | |
| Log(1 + prior relative volatility) | $62.86^{**}$ | $62.82^{**}$ | — |
| | (31.62) | (31.61) | |
| Prior-quarter flow (pp) | $1.19 \times 10^{-6}$ | $1.19 \times 10^{-6}$ | — |
| | $(2.27 \times 10^{-6})$ | $(2.27 \times 10^{-6})$ | |
| Missing prior return history | 105.34 | 105.20 | — |
| | (64.36) | (64.37) | |
| Missing prior-quarter flow | −40.02 | −40.01 | — |
| | (56.29) | (56.30) | |
| Lagged expense ratio (bps) | −0.38 | −0.38 | — |
| | (0.43) | (0.43) | |
| Lagged log turnover | $91.39^{**}$ | $91.57^{**}$ | — |
| | (35.99) | (35.97) | |
| Top-ten equity concentration | 48.94 | 49.82 | — |
| | (143.21) | (143.24) | |
| Missing lagged expense ratio | $-110.58^{*}$ | $-110.62^{*}$ | — |
| | (62.49) | (62.46) | |
| Missing lagged turnover | 60.13 | 60.08 | — |
| | (37.94) | (37.93) | |
| Missing equity concentration | 16.94 | 17.33 | — |
| | (43.68) | (43.71) | |
| Fund FE | Yes | Yes | Yes |
| Benchmark × month FE | Yes | Yes | Yes |
| Observations | 193,986 | 193,986 | 206,847 |
| Fund clusters | 1,418 | 1,418 | 1,418 |

Notes: Risk-adjusted net NAV is in annualized bps. Columns 1–2 require an observed team four quarters ahead; column 2 adds the future team's foreign-educated and unknown-education shares to Equation (3). Column 3 uses only those two current shares on the full sample. Against Table 2, column 1, Oster's $\delta$ for a zero coefficient is −20.6 and the bias-adjusted coefficient at Oster's $\delta = 1$ is −72.87 (Oster, 2019), with $R_{\max} = 1.3R^2$. Standard errors clustered by economic fund are in parentheses. $^{*}$, $^{**}$ and $^{***}$ denote two-sided significance at 10%, 5% and 1%.

**Table A9:** Net performance beyond the initial appointment period

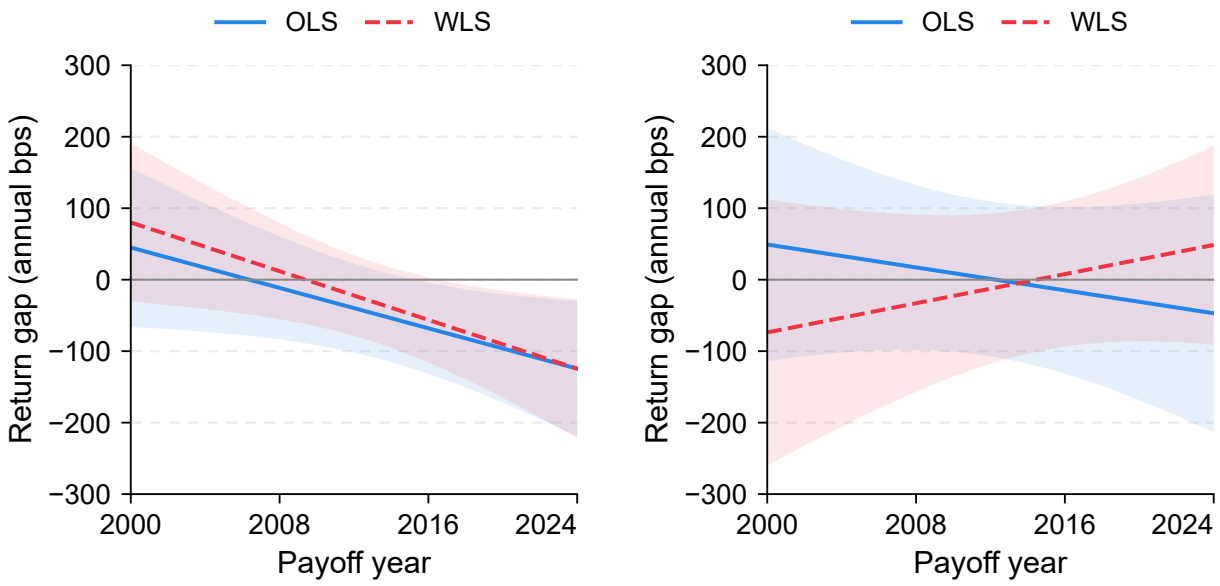
| Dependent variable | Factor-adjusted net NAV return | |
|---|---|---|
| Units | Annualized bps | |
| Specification | (1) OLS | (2) WLS |
| Foreign-educated share: established | −80.91** | −81.82*** |
| | (38.05) | (24.28) |
| Foreign-educated share: first two years | −37.91 | −50.15* |
| | (40.87) | (27.14) |
| U.S.-educated share: first two years | −2.56 | −12.13 |
| | (21.51) | (14.54) |
| Log team size | −89.98 | −70.02* |
| | (57.87) | (37.58) |
| Unknown-education share | −91.04 | −123.01*** |
| | (68.25) | (43.69) |
| Log lagged assets (USD millions) | −16.14* | −12.65* |
| | (9.44) | (7.33) |
| Assets spline basis 1 | −101.79*** | −63.72*** |
| | (26.09) | (18.25) |
| Assets spline basis 2 | 548.67*** | 321.81*** |
| | (158.23) | (106.71) |
| Team-size spline basis 1 | −71.06 | −25.95 |
| | (134.60) | (87.51) |
| Team-size spline basis 2 | 648.80 | 388.29 |
| | (578.47) | (371.78) |
| Female share (known gender) | −51.66 | −38.00 |
| | (38.38) | (27.27) |
| Unknown-gender share | −95.04 | −1.06 |
| | (91.55) | (52.86) |
| CFA share (observed biographies) | 9.43 | 32.91 |
| | (31.25) | (20.91) |
| Unknown-biography share | 230.43** | 81.34 |
| | (106.28) | (66.35) |
| Mean log(1 + experience) | −25.58 | −33.77*** |
| | (17.42) | (11.53) |
| Fund FE | Yes | Yes |
| Benchmark × month FE | Yes | Yes |
| Observations | 206,847 | 206,847 |
| Fund clusters | 1,418 | 1,418 |

Notes: The net NAV model separates managers in their first eight quarters at the fund from established managers. Raw category coefficients use established U.S.-educated managers as reference. The first-two-years direct contrast subtracts the recent U.S.-educated coefficient from the recent foreign-educated coefficient. Outcomes use predetermined risk adjustment and reduced controls, in annualized basis points. WLS weights fund return precision. Standard errors are clustered by economic fund. OLS gives fund-months equal weight; WLS uses inverse fund residual variance. Standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%. The recent foreign-minus-U.S. contrasts are −35.35 (SE 42.14) and −38.02 (27.52), using joint covariance. Established U.S.-educated managers are the omitted category.

**Table A10:** Changes in the foreign-education return gap over time

| Dependent variable | Adjusted country return | |
|---|---|---|
| Units | Annualized bps | |
| | (1) | (2) |
| Specification | OLS | WLS |
| Foreign-educated share × year ($\gamma^T$) | $-7.06^{**}$ | $-8.52^{**}$ |
| | (3.50) | (3.72) |
| Foreign-educated share ($\gamma$) | −39.76 | −22.20 |
| | (31.72) | (28.75) |
| Education-country link × year ($\beta^T$) | 3.05 | $13.62^{**}$ |
| | (4.98) | (5.40) |
| Education-country link ($\beta$) | 40.89 | 9.61 |
| | (48.78) | (49.80) |
| Log country stock count | $-57.88^{***}$ | $-53.49^{***}$ |
| | (11.41) | (11.19) |
| Log team size | $-70.17^{***}$ | $-44.30^{**}$ |
| | (21.50) | (18.92) |
| Unknown-education share | 33.08 | 15.90 |
| | (84.36) | (77.82) |
| Female share (known gender) | $-90.37^{**}$ | $-109.49^{***}$ |
| | (44.90) | (37.13) |
| Unknown-gender share | 94.05 | 134.65 |
| | (87.05) | (82.20) |
| CFA share (observed biographies) | $54.13^{*}$ | $49.53^{*}$ |
| | (30.10) | (28.45) |
| Unknown-biography share | −47.78 | −68.59 |
| | (123.27) | (111.68) |
| Mean log(1 + experience) | $-53.72^{***}$ | $-47.69^{***}$ |
| | (15.50) | (14.13) |
| Fund × country FE | Yes | Yes |
| Country × quarter FE | Yes | Yes |
| Observations | 974,924 | 974,924 |
| Fund clusters | 1,428 | 1,428 |

Notes: Equation (17) adds both schooling-link and foreign-share interactions with payoff calendar year minus 2012 to the common panel in Table 6. The first coefficient is the annual change in the outside-country foreign-minus-U.S. return gap; the share coefficient gives that gap in 2012. The 2024 gaps use the entire fitted time profile and the joint coefficient covariance. Shares remain in 0–1 units; time interactions are per single year. Column 1 gives countries equal weight within each fund-quarter; column 2 additionally uses inverse fund residual variance. Both columns use fund–country and country–quarter effects, eight displayed controls and economic-fund clustering; the payoff period is 2000–2024. Standard errors appear in parentheses below coefficients. $^{*}$, $^{**}$ and $^{***}$ denote two-sided significance at 10%, 5% and 1%. Fitted 2024 outside gaps are −124.50 (SE 48.28) and −124.50 (49.38); linked-country gaps are −46.96 (84.80) and 48.59 (71.06), in columns 1 and 2. These sums use joint covariance and are plotted in Figure A1.




(a) Outside education countries

(b) Education countries

Figure A1: Education and outside-country selection gaps over time

Notes: Both panels use the joint country regressions in Table A10. Panel A plots $\gamma + \gamma^T t$; Panel B plots $\beta + \gamma + \beta^T t + \gamma^T t$, where $t$ is years from 2012. Each compares an all-foreign-educated team with an all-U.S.-educated team; Panel B additionally requires a current manager's schooling link to the destination. Solid lines are OLS, dashed lines WLS; shaded bands are 95% intervals based on the complete economic-fund-clustered covariance matrix. The local-increment coefficient by itself is not plotted as a team-performance gap.

**Table A11:** Relatedness and raw country returns outside education countries

| Dependent variable | Raw country return | | |
|---|---|---|---|
| Units | Annualized bps | | |
| | (1) | (2) | (3) |
| Specification | Shared border | Official language | Social connectedness |
| Foreign education × tie ($\theta$) | −345.60** | −194.62*** | −81.09** |
| | (154.53) | (68.89) | (40.85) |
| Tie ($\delta$) | 188.34 | 132.31* | 46.21 |
| | (126.83) | (74.09) | (42.15) |
| Foreign-educated share ($\gamma$) | −27.33 | 1.41 | 613.09* |
| | (33.83) | (34.68) | (318.73) |
| Missing-tie share (MissingShare) | 5.70 | 34.80 | −302.82* |
| | (47.49) | (48.03) | (168.92) |
| Log country stock count | −53.07*** | −53.25*** | −58.83*** |
| | (12.25) | (12.25) | (12.14) |
| Log team size | −85.29*** | −85.81*** | −80.88*** |
| | (21.64) | (21.65) | (22.41) |
| Unknown-education share | −10.45 | −9.43 | −21.72 |
| | (93.67) | (94.10) | (93.54) |
| Female share (known gender) | −76.51 | −77.01 | −90.77* |
| | (47.08) | (47.02) | (48.93) |
| Unknown-gender share | 37.16 | 31.78 | 53.70 |
| | (76.06) | (76.15) | (79.30) |
| CFA share (observed biographies) | 70.73** | 70.11** | 74.14** |
| | (31.65) | (31.69) | (31.92) |
| Unknown-biography share | 79.16 | 85.82 | 69.45 |
| | (123.40) | (123.29) | (121.99) |
| Mean log(1 + experience) | −57.50*** | −57.83*** | −52.22*** |
| | (16.73) | (16.76) | (17.07) |
| Fund × country FE | Yes | Yes | Yes |
| Country × quarter FE | Yes | Yes | Yes |
| Observations | 936,076 | 936,076 | 876,532 |
| Fund clusters | 1,423 | 1,423 | 1,421 |

Notes: The specifications, samples, fixed effects, weights and clustering are those of Table 4; only the dependent variable differs. The raw country return is the return on the fund's holdings in the country over the three months after quarter-end, annualized in basis points, without subtracting the size and past-return matched benchmark of Equation (2). Country-quarter effects still remove the national market return common to all funds holding the country in that quarter. Column 1 is a shared border; column 2 is a common official language; column 3 is log social connectedness from the October 2021 snapshot. The first row is $\theta$, the foreign-minus-U.S. difference in slopes; the tie coefficient $\delta$ gives the U.S.-educated slope. Standard errors in parentheses are clustered by economic fund. *, ** and *** denote two-sided significance at 10%, 5% and 1%.

**Table A12:** Foreign education and performance-conditioned monthly flows

| Dependent variable | Monthly flow | Monthly flow |
|---|---|---|
| Units | Percentage points | |
| | (1) | (2) |
| Specification | Full controls | No operating controls |
| Foreign-educated share | 0.207 | 0.207 |
| | (0.153) | (0.153) |
| Unknown-education share | −0.458 | −0.459 |
| | (0.340) | (0.340) |
| Log lagged assets | −0.426*** | −0.428*** |
| | (0.039) | (0.039) |
| Log team size | −0.076 | −0.078 |
| | (0.087) | (0.087) |
| Log fund age | −1.991*** | −1.986*** |
| | (0.153) | (0.153) |
| Prior-return rank: bottom segment | 5.586*** | 5.576*** |
| | (0.605) | (0.605) |
| Prior-return rank: middle segment | 1.642*** | 1.642*** |
| | (0.124) | (0.124) |
| Prior-return rank: top segment | 8.855*** | 8.863*** |
| | (0.731) | (0.730) |
| Prior monthly-return volatility (pp) | −0.077* | −0.076* |
| | (0.043) | (0.043) |
| Lagged annual expense ratio (bps) | 0.0004 | — |
| | (0.0017) | |
| Log(1 + turnover) | 0.104 | — |
| | (0.188) | |
| Female share (known gender) | −0.361* | −0.363* |
| | (0.188) | (0.188) |
| Unknown-gender share | −0.220 | −0.227 |
| | (0.381) | (0.382) |
| CFA share (observed biographies) | −0.051 | −0.052 |
| | (0.138) | (0.138) |
| Unknown-biography share | 0.467 | 0.471 |
| | (0.494) | (0.494) |
| Mean log(1 + experience) | 0.021 | 0.016 |
| | (0.080) | (0.080) |
| Fund FE | Yes | Yes |
| Benchmark × month FE | Yes | Yes |
| Observations | 185,748 | 185,748 |
| Fund clusters | 1,494 | 1,494 |

Notes: Equation (18) conditions monthly asset growth net of returns on prior performance ranks, characteristics and team traits. Prior-return rank is on a 0–1 scale, with knots at 0.2 and 0.8; the three spline terms enter the same regression. Column 2 omits expense ratio and turnover on the identical observations; all other regressors and fixed effects are unchanged. The pooled 1st/99th percentile flow caps are −21.435 and 47.589 pp. Fund age is measured from inception. Fund-months have equal weight and standard errors are clustered by economic fund. Standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%.

**Table A13:** Flows and fees

| Dependent variable | Next-quarter flow | Next-quarter flow | Four-quarter flow | Flow after hire | Expense ratio |
|---|---|---|---|---|---|
| Units | | Flows in pp; expense ratio in annual bps | | | |
| | (1) | (2) | (3) | (4) | (5) |
| Specification | Next quarter | Return sensitivity | Four quarters | After appointment | Expense ratio |
| Foreign-educated share | −0.29 | 0.38 | −0.26 | — | −0.39 |
| | (0.81) | (0.64) | (2.76) | | (1.49) |
| Foreign-educated share × prior-year relative NAV return (pp) | — | −0.04 | — | — | — |
| | | (0.06) | | | |
| Foreign-educated share of appointees | — | — | — | 0.22 | — |
| | | | | (1.97) | |
| Unknown-education share | −4.36** | −3.14** | −14.41** | — | −3.27 |
| | (1.85) | (1.51) | (6.61) | | (3.43) |
| Log team size | −0.40 | −0.26 | −2.11 | — | −3.73 |
| | (1.40) | (1.18) | (4.65) | | (2.35) |
| Log lagged assets (USD millions) | −8.08*** | −4.64*** | −22.84*** | −21.25*** | −0.14 |
| | (0.53) | (0.48) | (1.42) | (2.37) | (0.43) |
| Assets spline basis 1 | 3.93*** | 0.80 | 0.61 | — | −5.04*** |
| | (0.97) | (0.85) | (2.79) | | (1.19) |
| Assets spline basis 2 | −8.98* | 2.09 | 28.74* | — | 22.27*** |
| | (5.03) | (4.27) | (15.14) | | (6.92) |
| Team-size spline basis 1 | −1.86 | −1.21 | −8.79 | — | 1.86 |
| | (3.20) | (2.68) | (10.48) | | (5.48) |
| Team-size spline basis 2 | 10.81 | 7.75 | 55.47 | — | 9.70 |
| | (13.43) | (11.30) | (43.82) | | (22.90) |
| Female share (known gender) | −0.72 | −1.38* | −5.29 | 1.65 | −1.14 |
| | (1.07) | (0.83) | (3.55) | (4.28) | (1.61) |
| Unknown-gender share | −1.11 | −1.04 | −2.38 | −6.94 | −1.41 |
| | (1.93) | (1.46) | (6.77) | (12.95) | (2.52) |
| CFA share (observed biographies) | −0.88 | −0.71 | −3.65 | −3.33 | −1.33 |
| | (0.73) | (0.60) | (2.44) | (4.38) | (1.26) |
| Unknown-biography share | 3.12 | 1.97 | 8.18 | 15.67 | 4.87 |
| | (2.51) | (2.08) | (9.20) | (18.28) | (4.02) |
| Mean log(1 + experience) | −1.59*** | −0.76** | −2.70** | 0.24 | −1.24** |
| | (0.40) | (0.33) | (1.27) | (2.41) | (0.61) |
| Prior-year relative NAV return (pp) | — | 0.38*** | — | 0.68*** | — |
| | | (0.03) | | (0.17) | |
| Pre-appointment four-quarter flow (pp) | — | — | — | 0.07* | — |
| | | | | (0.04) | |
| Log pre-hire destination team size | — | — | — | 0.55 | — |
| | | | | (2.62) | |
| Unknown education among appointees | — | — | — | −1.05 | — |
| | | | | (4.80) | |
| Fund FE | Yes | Yes | Yes | Yes | Yes |
| Benchmark × quarter FE | Yes | Yes | Yes | No | Yes |
| Year FE | No | No | No | Yes | No |
| Observations | 67,343 | 63,869 | 62,657 | 2,973 | 61,639 |
| Fund clusters | 1,418 | 1,418 | 1,418 | 897 | 1,418 |

Notes: Flows are net flows as percentages of assets; the final column uses annual expense-ratio basis points. Columns 1–2 explain next-quarter flows, column 3 the next four quarters, and column 4 the four quarters following an appointment conditional on prior flows. Column 2 adds the interaction of foreign-educated share with prior relative performance, in annual NAV percentage points. Team information precedes subsequent flows. All five regressions use equal observation weights and economic-fund clustering. Standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%.

**Table A14:** Timing of observations contributing to the full-sample NAV association

| Timing group | Fund-months | Mean foreign share (%) | Contribution to NAV coefficient (bps) |
|---|---|---|---|
| Before first studied appointment | 25,635 | 41.7 | -37.10 |
| Appointment quarter | 1,377 | 56.2 | -1.37 |
| First four subsequent quarters | 5,133 | 67.5 | -1.65 |
| Years two–five after most recent appointment | 13,104 | 62.2 | -6.59 |
| More than five years after most recent appointment | 10,377 | 46.3 | -18.21 |
| Funds with no studied appointment | 151,221 | 29.3 | -4.59 |
| Full sample | 206,847 | — | −69.51 |

Notes: This is an exact descriptive partition of the coefficient in Table 2, not additional regressions. The sample, controls, fund and benchmark-month fixed effects are unchanged. Each contribution sums the product of residual foreign share and residual factor-adjusted NAV in the indicated group, divided by the full-sample sum of squared residual shares. Contributions add to the headline coefficient; they are neither subgroup return gaps nor hiring effects. The 511 country cases in Table 10 correspond to 460 appointment quarters at 267 funds. Timing uses the actual return quarter and resets with another studied appointment. The first studied appointment need not be the first foreign-educated hire; comparison and no-appointment funds can already employ foreign-educated managers. Months are mutually exclusive across rows. Long-horizon observations do not require the original appointee to remain. See Appendix B.11.

**Table A15:** Prior-record comparisons within origin peers and hiring rounds

| Dependent variable | Peer-adjusted return | Prior adjusted return |
|---|---|---|
| Units | Annualized basket bps | |
| | (1) | (2) |
| Specification | Origin peers | Same hiring round |
| Foreign-educated appointee | −71.77* | −80.52* |
| | (40.96) | (41.29) |
| Log pre-hire destination team size | −13.85 | — |
| | (66.08) | |
| Pre-hire destination unknown education | 422.18** | — |
| | (206.91) | |
| Log origin team size | −43.59 | 69.06 |
| | (55.09) | (91.83) |
| Origin-team unknown education | 161.62 | −546.09** |
| | (330.54) | (260.01) |
| Log origin country stock count | −68.35 | −126.69 |
| | (77.72) | (138.88) |
| Appointee: top-100 school | 54.35 | −17.06 |
| | (34.48) | (27.92) |
| Appointee: school ranked 101–500 | 134.55** | 23.94 |
| | (56.31) | (27.75) |
| Appointee: female | −18.41 | −17.97 |
| | (38.26) | (30.38) |
| Appointee: unknown gender | 43.13 | 270.17** |
| | (70.74) | (105.25) |
| Appointee: CFA | −45.16 | −14.23 |
| | (35.06) | (25.84) |
| Log(1 + manager experience) | 22.20 | 78.88*** |
| | (31.79) | (29.10) |
| Prior benchmark: China | 70.61 | — |
| | (305.31) | |
| Prior benchmark: Developed Asia-Pacific | −1029.96 | — |
| | (953.70) | |
| Prior benchmark: Developed Asia-Pacific ex Japan | 32.28 | — |
| | (179.00) | |
| Prior benchmark: Developed Europe | 492.95** | — |
| | (234.47) | |
| Prior benchmark: Emerging Americas | 707.99** | — |
| | (338.04) | |
| Prior benchmark: Emerging markets | 31.50 | — |
| | (128.52) | |
| Prior benchmark: Global growth | 191.20 | — |
| | (237.58) | |
| Prior benchmark: Global large cap | 127.49 | — |
| | (212.64) | |
| Prior benchmark: Global | 96.97 | — |
| | (164.44) | |
| Prior benchmark: Global small/mid cap | 102.20 | — |
| | (270.14) | |
| Prior benchmark: Global value | 20.29 | — |
| | (220.97) | |
| Prior benchmark: Global ex-U.S. growth | −66.31 | — |
| | (118.35) | |
| Prior benchmark: Global ex-U.S. small/mid cap | 134.34 | — |
| | (145.04) | |
| Prior benchmark: Global ex-U.S. value | −23.98 | — |
| | (101.81) | |
| Prior benchmark: Japan | 908.97 | — |
| | (2120.85) | |
| Hiring-fund FE | Yes | No |
| Appointment-year FE | Yes | No |
| Hiring-fund × appointment-quarter FE | No | Yes |
| Observations | 1,321 | 832 |
| Hiring-fund clusters | 300 | 189 |

Notes: Both outcomes average four pre-appointment quarters of outside-country adjusted returns. Column 1 subtracts benchmark-country-quarter peers and controls origin benchmarks (Global ex-U.S. omitted). Column 2 compares 832 appointments in 271 common hiring rounds, 126 with both education groups, without peer subtraction or origin-benchmark controls; destination team size and unknown schooling are absorbed. Neither model controls prior NAV. Appointments have equal weight. Hiring-fund-clustered standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%.

**Table A16:** Country coverage and relative departure responses

| Dependent variable | Departure | Departure |
|---|---|---|
| Units | Probability in pp | |
| | (1) | (2) |
| Specification | Other trait slopes | No other trait slopes |
| Unique coverage × fund return (pp) | 0.180*** | 0.177*** |
| | (0.056) | (0.056) |
| Duplicate coverage × fund return (pp) | 0.006 | 0.000 |
| | (0.118) | (0.116) |
| No match × fund return (pp) | 0.122** | 0.113* |
| | (0.062) | (0.061) |
| Unclassified coverage × fund return (pp) | 0.051 | 0.048 |
| | (0.157) | (0.156) |
| Unique held-country coverage | −0.12 | −0.12 |
| | (0.41) | (0.41) |
| Duplicate held-country coverage | −0.02 | −0.01 |
| | (0.78) | (0.78) |
| Unclassified held-country coverage | −0.83 | −0.82 |
| | (0.81) | (0.81) |
| Log recorded fund spell length | 2.70*** | 2.70*** |
| | (0.28) | (0.28) |
| Female × fund return (pp) | 0.067 | — |
| | (0.056) | |
| Unknown gender × fund return (pp) | 0.012 | — |
| | (0.138) | |
| CFA × fund return (pp) | −0.051 | — |
| | (0.044) | |
| Unknown biography × fund return (pp) | −0.111 | — |
| | (0.249) | |
| Log(1 + experience) × fund return (pp) | 0.045 | — |
| | (0.029) | |
| Log(1 + manager experience) | −3.16*** | −3.15*** |
| | (0.41) | (0.41) |
| Fund × quarter FE | Yes | Yes |
| Fund × manager FE | Yes | Yes |
| Observations | 154,677 | 154,677 |
| Fund clusters | 1,334 | 1,334 |

Notes: Both columns use the same observations and fixed effects. Column 2 omits the five other-trait interactions with performance, retaining spell length and experience. Coverage is measured using prior holdings and incumbent colleagues: unique, duplicated, unmatched or unclassified. Return interactions and their direct differences are percentage points per percentage point of better prior-quarter performance. Downside examples are calculated in the text. These are relative foreign-minus-U.S. exit responses. Managers receive inverse team-size weights, and standard errors are clustered by economic fund. Standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%. In column 1, duplicate minus unique and no-match minus unique return slopes are −0.175 (SE 0.119) and −0.058 (0.076). Jointly testing the duplicate and no-match slopes equal to zero gives $F = 1.96$, $p = 0.141$.

**Table A17:** Conviction portfolios: alternative constructions

| Dependent variable | Portfolio excess return | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| Units | Annual alpha in bps; factor loadings dimensionless | | | | | | | |
| Specification | (1) B-measure | (2) U-measure | (3) Ex-U.K. | (4) Undergrad. | (5) Momentum | (6) Mom., no bm. | (7) Benchmark only | (8) Net costs |
| Alpha (annualized bps) | 275.4* | 318.3** | 574.1*** | 492.8*** | 380.5*** | 369.8*** | 379.9*** | 341.4*** |
| | (147.5) | (132.1) | (148.0) | (134.3) | (136.8) | (136.8) | (124.8) | (124.8) |
| Global ex-U.S. benchmark excess return | 0.101 | 0.158 | 0.095 | 0.182* | 0.146 | — | 1.004*** | 0.184* |
| | (0.117) | (0.105) | (0.117) | (0.106) | (0.107) | | (0.021) | (0.099) |
| Developed ex-U.S. market | 0.790*** | 0.775*** | 0.781*** | 0.752*** | 0.780*** | 0.902*** | — | 0.749*** |
| | (0.107) | (0.096) | (0.107) | (0.097) | (0.098) | (0.043) | | (0.090) |
| Developed ex-U.S. size | −0.079 | −0.065 | 0.020 | −0.001 | −0.015 | −0.015 | — | 0.007 |
| | (0.066) | (0.059) | (0.066) | (0.060) | (0.062) | (0.062) | | (0.055) |
| Developed ex-U.S. value | −0.051 | −0.028 | −0.100 | −0.092 | −0.001 | 0.012 | — | −0.015 |
| | (0.076) | (0.068) | (0.076) | (0.069) | (0.072) | (0.071) | | (0.064) |
| Developed ex-U.S. investment | −0.104 | 0.070 | 0.021 | 0.087 | 0.020 | 0.017 | — | −0.073 |
| | (0.103) | (0.092) | (0.104) | (0.094) | (0.096) | (0.097) | | (0.087) |
| Developed ex-U.S. profitability | −0.125 | 0.052 | −0.156 | −0.092 | 0.011 | 0.025 | — | −0.024 |
| | (0.102) | (0.092) | (0.103) | (0.093) | (0.093) | (0.093) | | (0.087) |
| Emerging-market market | 0.176*** | 0.101** | 0.162*** | 0.101** | 0.104** | 0.128*** | — | 0.108*** |
| | (0.048) | (0.043) | (0.048) | (0.044) | (0.044) | (0.040) | | (0.041) |
| Emerging-market size | 0.044 | 0.009 | −0.056 | 0.014 | −0.004 | −0.014 | — | 0.015 |
| | (0.071) | (0.064) | (0.071) | (0.065) | (0.065) | (0.064) | | (0.060) |
| Emerging-market value | −0.113 | −0.029 | 0.002 | −0.034 | −0.012 | −0.013 | — | −0.069 |
| | (0.073) | (0.065) | (0.073) | (0.066) | (0.066) | (0.066) | | (0.062) |
| Emerging-market investment | 0.203** | −0.027 | −0.080 | −0.015 | −0.046 | −0.048 | — | 0.082 |
| | (0.085) | (0.076) | (0.086) | (0.078) | (0.078) | (0.078) | | (0.072) |
| Emerging-market profitability | 0.125 | −0.081 | −0.100 | 0.040 | −0.076 | −0.080 | — | 0.022 |
| | (0.094) | (0.084) | (0.094) | (0.085) | (0.087) | (0.087) | | (0.079) |
| Developed ex-U.S. momentum | — | — | — | — | 0.001 | 0.007 | — | — |
| | | | | | (0.043) | (0.043) | | |
| Emerging-market momentum | — | — | — | — | 0.025 | 0.021 | — | — |
| | | | | | (0.050) | (0.050) | | |
| Observations | 300 | 300 | 300 | 300 | 300 | 300 | 300 | 300 |

Notes: Each column reports one top-portfolio factor regression. Annual alpha is $12 \times 10^4 \alpha_p$ basis points; loadings are dimensionless. The B-measure uses benchmark weights over held stocks, and the U-measure expands that reference set to the preceding eight quarters. The last two constructions use only the benchmark, or deduct estimated trading costs. All use January 2000–December 2024 and unchanged portfolio weights. Portfolio standard errors are conventional OLS; direct Wald tests use the robust stacked covariance. Standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%. Top-versus-ordinary Wald $p$-values for the eight columns are 0.251, 0.057, 0.007, $< 0.001$, 0.025, 0.025, 0.024 and 0.003, using the robust stacked covariance.

**Table A18:** Local alpha under common source support and alternative weights

| Dependent variable | Portfolio excess return | | | | | |
|---|---|---|---|---|---|---|
| Units | Annual alpha in bps; factor loadings dimensionless | | | | | |
| Specification | (1) Common mix: top | (2) Common mix: ordinary | (3) Common mix: combined | (4) Actual: top | (5) Actual: ordinary | (6) Actual: combined |
| Alpha (annualized bps) | 406.7*** | 3.3 | 130.8 | 16.6 | −177.5 | −103.2 |
| | (134.1) | (92.2) | (94.9) | (159.3) | (109.1) | (119.2) |
| Global ex-U.S. benchmark excess return | 0.155 | 0.116 | 0.137* | 0.249** | 0.117 | 0.180* |
| | (0.106) | (0.073) | (0.075) | (0.126) | (0.086) | (0.094) |
| Developed ex-U.S. market | 0.777*** | 0.731*** | 0.749*** | 0.895*** | 0.858*** | 0.872*** |
| | (0.097) | (0.067) | (0.069) | (0.115) | (0.079) | (0.086) |
| Developed ex-U.S. size | −0.007 | −0.138*** | −0.085** | −0.155** | −0.326*** | −0.248*** |
| | (0.060) | (0.041) | (0.042) | (0.071) | (0.048) | (0.053) |
| Developed ex-U.S. value | −0.008 | 0.050 | 0.036 | 0.170** | 0.136** | 0.158** |
| | (0.069) | (0.047) | (0.049) | (0.082) | (0.056) | (0.061) |
| Developed ex-U.S. investment | 0.008 | −0.004 | 0.009 | 0.018 | −0.026 | −0.008 |
| | (0.094) | (0.065) | (0.066) | (0.111) | (0.076) | (0.083) |
| Developed ex-U.S. profitability | 0.007 | 0.033 | 0.050 | 0.267** | 0.167** | 0.220*** |
| | (0.093) | (0.064) | (0.066) | (0.111) | (0.076) | (0.083) |
| Emerging-market market | 0.101** | 0.176*** | 0.138*** | −0.113** | 0.040 | −0.031 |
| | (0.044) | (0.030) | (0.031) | (0.052) | (0.036) | (0.039) |
| Emerging-market size | 0.000 | −0.037 | −0.024 | 0.158** | 0.121** | 0.139** |
| | (0.065) | (0.045) | (0.046) | (0.077) | (0.053) | (0.058) |
| Emerging-market value | −0.020 | −0.020 | −0.016 | −0.009 | 0.071 | 0.037 |
| | (0.066) | (0.046) | (0.047) | (0.079) | (0.054) | (0.059) |
| Emerging-market investment | −0.018 | −0.075 | −0.056 | 0.057 | −0.039 | 0.008 |
| | (0.078) | (0.053) | (0.055) | (0.092) | (0.063) | (0.069) |
| Emerging-market profitability | −0.028 | −0.006 | 0.001 | 0.012 | −0.040 | −0.014 |
| | (0.085) | (0.059) | (0.060) | (0.101) | (0.069) | (0.076) |
| Observations | 300 | 300 | 300 | 300 | 300 | 300 |

Notes: All portfolios use the same 77,188 fund-country-month cells at 749 identifiers and 300 payoff months. Columns 1–3 use benchmark country shares and columns 4–6 actual capital. Alpha is annualized; factor loadings are dimensionless monthly slopes with conventional OLS standard errors. The combined actual-minus-country-reweighted alpha uses the joint covariance. Different top/ordinary country mixtures and time-varying capital shares prevent combining their alphas using a single average weight. Standard errors appear in parentheses below coefficients. *, ** and *** denote two-sided significance at 10%, 5% and 1%. The combined actual-minus-common-mix alpha, column 6 minus column 3, is −233.98 bps (SE 85.45, $p = 0.007$), using the joint covariance.

**Table A19:** Principal variables, units and timing

| Variable | Unit | Definition and observation window |
|---|---|---|
| Foreign-educated manager share $\text{ForeignShare}_{jq}$ | Fraction of known-education managers | Any non-U.S. post-secondary education, including dual U.S./foreign degrees. Quarter-end team used for the following quarter's returns. Measures education location, not nationality or diversity. |
| Unknown-education share $\text{UnknownShare}_{jq}$ | Fraction of all current managers | Managers without identifiable education divided by the recorded team count; entered separately from ForeignShare. |
| Education-country link | Country indicator or team share | Current managers' recorded education ties to the destination. An outside destination has no such tie. |
| Factor-adjusted fund return, $R^a_{jm}$ | Annualized fund NAV basis points | Monthly net NAV less the risk-free rate and thirteen predetermined factor-exposure returns. Uses preceding returns and the stated peer fallback; covers the entire fund. |
| Adjusted country return, $R_{jcq}$ | Annualized basis points | Equation (2): twelve times the mean of the three monthly size/past-return-adjusted returns after quarter-end. Positions drift within the quarter; stocks without returns are dropped. Team and holdings then refresh. |
| Appointee's prior record, $\bar{R}^{\text{pre}}_h$ | Annualized country-basket basis points | Origin-team selection over four full pre-hire payoff quarters. Equal supported-country weights, then averages over quarters and distinct economic origin funds. The main hiring comparison includes all non-U.S. countries and controls origin benchmarks; the $\bar{R}^{\text{peer}}_h$ check uses outside countries only and subtracts benchmark-country-quarter peers. A team record, not personal NAV. |
| Career performance signal, $R^{\text{rel}}_{jq}$ | Quarter-$q$ return in percentage points | Compounded NAV in $q$ relative to other funds sharing the benchmark; predicts careers between the ends of $q$ and $q+1$. Distinct from prior-year controls in the NAV and flow models. |
| Career outcomes, $\mathbb{1}^{\text{Exit}}_{ijq}$ and $\mathbb{1}^{\text{NewFund}}_{ijq}$ | Probability in percentage points | Departure from $q$ to $q+1$, or new recorded appearance at another economic fund in $q+1$. Assignments need not be promotions. |
| Country-coverage need | Pre-hire matched holdings | Prior-quarter education-country exposure and continuing incumbents' ties. Missing coverage lacks an incumbent tie; no match means no held education country. Missing books remain unclassified. |
| Conviction, $I_{jkq}$ | Within-country active weight | Stock weight less capitalization weight in the same held-country basket. Quartiles precede future returns; portfolio alphas use monthly country-reweighted, factor-adjusted returns. |

Notes: The sources, fixed effects, controls and samples of each comparison are described with the corresponding analysis. Panel regressions cluster standard errors by economic fund, except the country-allocation regressions, which cluster by fund identifier; calendar-time conviction portfolios use the time-series covariance specified in Table 7. Education comes from retrospectively collected biographies assigned to dated fund spells.